FINAL REPORT

For

CONDUCTING IMPACT AND EVALUATION STUDY OF THE CENTRAL SECTOR SCHEMEs BEING IMPLEMENTED BY MINISTRY OF MINORITY AFFAIRS, GOVERNMENT OF INDIA

FOR THE SCHEME "NATIONAL MINORITIES DEVELOPMENT & FINANCE CORPORATION (NMDFC)"

For

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PREFACE

The study conducts impact and evaluation of the Central sector scheme "NMDFC (National Minorities Development & Finance Corporation)" being implemented by the Ministry of Minorities Affairs (MoMA), Government of India, for the benefit of the notified minority communities.

The National Minorities Development & Finance Corporation (NMDFC) was incorporated on 30th September 1994, as a company not for profit, under Section 25 of the Companies Act 1956 (now Section-8 of Companies Act,2013). It is a National Level Apex Body for the benefit of Minorities as defined under the National Commission for Minorities Act 1992.

The prime mandate of NMDFC is to provide concessional finance to the Minorities for self-employment/ income generation activities. As per the National Commission for Minorities Act, 1992, the notified Minorities are Muslims, Christians, Sikhs, and Buddhists & Parsis. Subsequently, the Jain community was also added to the list of notified Minority Communities in January 2014. Under the NMDFC programme, preference is given to Artisans & Women.

Why the scheme was introduced?

- To promote economic and developmental activities for the benefit of "Backward Sections" amongst the Minorities, preference being given to the occupational groups and women
- To promote self-employment and other ventures for the benefits of Minorities.
- To grant loans and advances at such rates of interest as may be determined from time to time in accordance with the guidelines or schemes prescribed by the Central Government or by the Reserve Bank of India.
- To extend loans and advances to the eligible members belonging to the minorities for pursuing general/professional/technical education or training at graduate and higher level.
- To assist in the up-gradation of technical and entrepreneurial skills of minorities for the proper and efficient management of production units.
- To assist the state-level organizations dealing with the development of the minorities by providing financial assistance or equity contribution and obtaining commercial funding or refinancing.
- To work as an apex institution for coordinating and monitoring the work of all corporations/boards/other bodies set up by the State Government/Union Territory Administrations for, or given the responsibility of assisting the minorities for their economic development.
- To help in furthering the Government policies and programmes for the development of Minorities.

Features of this scheme

NMDFC is implementing the following schemes through its State Channelizing Agencies:

- Term loans scheme
- Education loans scheme
- Microfinancing scheme
- Virasat scheme
- Mahila samridhi yojana
- Kaushal se Kushalta Scheme
- Marketing Assistance Scheme

The prime mandate of NMDFC

- The Corporation's mandate is to provide concessional credit for self-employment activities to the backward sections amongst the minorities.
- Under Credit Line-1, the benefits are available for persons with annual family incomes of up to Rs.98,000/- in rural areas and Rs.1.20 lakhs in urban areas.
- Under Credit Line-2, the benefits are available to persons with an annual family income of up to Rs.6.00 lacs. Additional household income eligibility criterion has been introduced to expand the coverage of the scheme.
- Under micro financing scheme, group of individuals belonging to the Minorities will include such groups in which predominantly (75% and above) members belong to Minority community. In very exceptional cases this may include those groups also where up to 60% members belong to Minority community provided other members belong to weaker sections including scheduled castes/scheduled tribes, other backward classes and disabled.

Impact and Evaluation Study

Management Development Institute Gurgaon was selected to carry out the impact and evaluation study wide letter-number NMDFC -15014/17/2019-NMDFC-MoMA dated 30th July 2020. The objective was to critically examine the impact of the schemes on the Socio-economic status of the beneficiaries and their family, Performance of the SCAs, and constraints faced by the SCAs in executing the scheme on the ground, etc. The impact and evaluation study was done in nine Indian states. Questionnaires were developed to collect data from beneficiaries and SCAs using a stratified sampling method. The sample size was 1242 for beneficiaries and 15 for SCAs. Beneficiaries were selected as per the guidelines of TOR. The detailed objectives of the scheme, research methodology, data analysis collected from beneficiaries and SCAs, and finally, the study's findings and recommendations are done in the respective chapters of the report.

EXECUTIVE SUMMARY

National Minorities Development and Finance Corporation (NMDFC) is a Government of India Undertaking under Ministry of Minority Affairs, Govt. of India, incorporated on 30th September 1994 as a company Not for Profit, under Section 25 of the Companies Act, 1956, now under Section 8 of the Companies Act, 2013. The prime mandate of NMDFC is to provide concessional finance to the "Backward Sections" amongst Notified Minorities for self-employment income generation activities having the family Annual Household Income of Rs. 98,000/- in Rural areas and Rs. 1,20,000/- in Urban areas under Credit line 1 and the family Annual Household Income of Rs. 6 Lacs under Credit Line 2. As per the National Commission for Minorities Act, 1992, the notified Minorities are Muslims, Christians, Sikhs, Buddhists, Jains & Parsis. Women & Artisans are given preference. At present, the Authorized share capital of NMDFC is Rs.3,000 crores, and the Paid-up capital is Rs.2077.51 crores. NMDFC is jointly promoted by the Central Government & respective State Govts/UT Administration & also institutions/organizations/individuals interested in the upliftment of the targeted Minorities. NMDFC is implementing the schemes through its State Channelizing Agencies all over India. Currently, state Channelizing Agencies (SCAs) are in 27 States/UTs nominated by the respective State Governments.

Ministry of Minorities Affairs (MoMA) has, vide letter No. 24/01/2019-Coord, Ministry of minorities affairs, dated 16.01.2020, proposed to conduct an "Impact and Evaluation study of central sector Schemes of "National Minorities Development and Finance Corporation" being implemented by MoMA across India." The objective was to critically examine the impact of the credit-based scheme on the Socio-economic status of the beneficiaries and their family, Performance of the SCAs, and constraints faced by the SCAS and NMDFC in executing the scheme on the ground, etc. The critical impact areas need to be explored, and evidence-based information should be provided. The areas include (i) Improved quality of self and family of beneficiaries, (iii) Contribution of the scheme to Skill India Mission, and (iv) What difference it is making in beneficiaries' life – a comparative study. Besides, the study should bring out success factors in the processes adopted during the Implementations, such as: (i) Awareness of the scheme among the beneficiaries, (ii) review of the eligibility criteria, (iii) Loaning process, (iv) impact of the NMDFCs schemes, (v) evaluation of recovery mechanism, (vi) level of computerization, (vii) documentation and reporting, and (v) Fund utilization. A specific set of 'Terms of Reference (ToR)' for conducting the study on the implementation of the NMDFC schemes across Indian states was a follows:

1. To Study the Impact of NMDFC schemes (Term Loan, Education Loan, Micro Financing, Vocational Training & Marketing Assistance) for increasing income, the standard of education and social status of six notified minorities.

2. The recovery mechanism adopted by the SCA is to be evaluated and suggest measures, systems & procedures for improving the existing recovery system, with a view to boosting grass-root level recoveries.
3. The current procedure adopted by the SCA for Publicity & Advertisement of schemes of NMDFC schemes & integrate it with the loaning process, to bring the schemes of NMDFC nearer to the targeted Minority communities.
4. To study the existing level of computerization of activities in the SCA & suggest the further scope of computerization through process re-engineering by integrating all the activities of the SCA, starting with the loan application, loan sanction/disbursement, its recovery & accounting, to make loan faster, credible & transparent.
5. To review the relevance of the prevailing schemes being implemented for the target group's socio-economic development and suggest the areas of the possible expansion/deletion/modification of schemes.
6. To review the present procedure for sanction and disbursement of loan to the target group, i.e., Channel Finance System, and suggest possible improvement interventions.
7. To examine the relationship between NMDFC and its Channelizing Agencies and suggest an alternative mechanism for better coordination, implementation of the scheme, repayment of the loan, etc., in a time-bound manner.
8. Adequacy of the organization's current structure and architecture in terms of its size, reach, and mode of working through SCAs and suggestions or improvement.
9. Whether the NMDFC has met the objectives of its creation.
10. Whether there is a need for continued government funding to the organization.
11. Adequacy of the current schemes operated by NMDFC to meet the target population's demands/needs and suggestions for improvement.
12. How does NMDFC meet SDG (Sustainable Development Goal) and NDP (National Development Plan) goals?

To study the impact and evaluation study on the above points across the Indian states, questionnaires were developed to collect data from beneficiaries and SCAs. The sample size was 1242 for beneficiaries and 15 for SCAs. Beneficiaries were selected as per the guidelines of TOR.

Some of the observations of the study are discussed below:

- It was observed that the beneficiaries' average income is enhanced through the NMDFC Scheme. 45% of the beneficiaries were not earning anything before, but with the help of the NMDFC schemes, almost 36% of the respondent started to earn. The Study revealed that upto 29% of the beneficiaries started to earn more than Rs. 10000 after joining the scheme. Similarly, 58% of the beneficiaries started to make more than Rs 5000, after joining the schemes.

- Most of the beneficiaries started to save from earning after joining the scheme compared to before. Extra 40 % of the beneficiaries started to savings. An increase of 39% of the beneficiaries started saving money more than Rs 5000 after joining the scheme.
- Approx. 40 % of the beneficiaries have acquired higher, technical or professional education like engineering, medical, management, etc. After availing of the loans through NMDFC schemes compared to 0% postgraduate or having no technical/ professional education before joining the scheme.
- More than 75% of the beneficiaries were very or highly satisfied with the following indicators a) loaning process, b) disbursement of loans, c) living standard, d) type of work, e) increase in income, and f) social prestige.
- More than 50% of the SCAs have computerization for the disbursement of loans, maintaining the beneficiaries list, administration, or account keeping. Only a few SCAs utilize computerization for the application's receipt, scrutiny of the applications, and sanctioning of the loan. Thus, more effort towards computerization at the initial loan process is required
- The NMDFC schemes helped the beneficiaries in a) self-dependence (42%), b) Increase in skills (58%), c) improved social prestige (88%), d) better educational facilities (70%), e) better health (85%), f) increase in saving (85%), g) increase in income (90%), h) increase in desire for self-employments (81%). The beneficiaries' most crucial help is the increase in income, increased savings, social prestige, and willingness to self-employment.
- 89% of the beneficiaries denied any difficulty or procedural delay in getting the loans, while 11% confirmed the existence of such problems. 27% of the beneficiaries stressed the margin money, while 22% each emphasized loan amount sanctioned and time taken for disbursements. 20% of the beneficiaries indicated to increase the duration of repayments.

Some of the suggestions for improvement of the schemes of NMDFC based on this study are as follows:

- The Annual Income Eligibility Criteria should be enhanced from Rs.6.00 lacs to Rs.8.00 lacs under Credit Line-2. This is in line with the increase in the OBC Creamy layer criteria announced by the Central Govt. This will help to increase the coverage of NMDFC schemes in the income group with enhanced capacity to utilize funds and provide indirect employment.
- The Eligibility criteria on family Annual Household Income of Rs. 98,000/- in Rural areas and Rs. 1,20,000/- in Urban areas may be revised to Rs. 1,50,000/- in Rural areas and Rs. 2,00,000/- in Urban areas. Though the Annual Family income eligibility criteria is based on the double the Poverty Line concept for Rural & Urban Areas approved by the Central Govt. it is still suggested to have some other robust measures for setting the income criteria. Apart, special segments for Metro city’s under very large Urban Agglomerations (10 million) (census, 2011) may be set at different family income.

- More awareness camps should be organised especially in the Minority Concentrated areas to publicize schemes of NMDFC. The Panchayat institutions may also be involved in organising awareness camps.
- SCAs have the impression of giving loans to a larger number of beneficiaries. Thus the loan amounts maximum of 5 lakhs is sanctioned, though allowed up to 18 Lakhs in terms and education loans. The SCAs sanction loans based on collateral or guarantee received from the beneficiaries. The SCAs are encouraged to finance higher quantum projects as they provide greater opportunity for indirect employment
- NMDFC has provided concessional credit in excess of Rs.6100.00 crores to over 17.60 lacs families from the target groups. However looking at the number of families from the target group roughly estimated to be about 2.06 crores (Total Minority population – 23.48 crs as per 2001 census of which 44% are below double poverty line having average 5 persons in each family), the coverage under NMDFC scheme so far is less than 9% of target population. Thus to increase the annual coverage of beneficiaries under NMDFC schemes for which the Authorised Share Capital needs to be increased from Rs.3,000 crores to Rs.6,000 crores or more.
- Though the SCAs have the delegated authority to sanction and disburse loans to the beneficiaries and provisions for seeking guarantors as mentioned in the lending policy of NMDFC, still defaulters in such schemes are inevitable. Thus SCAs may be encouraged to have some kind of insurance scheme to mitigate the risk. A potion from allocated GIA may be used for insurance purpose.
- There should be synergy between the Seekho Aur Kamao Scheme with financing scheme of NMDFC. The trainees after completion of training and capacity building under Seekho Aur Kamao scheme may be encouraged to avail financial assistance under Term Loan scheme & Micro-Finance scheme to start their own venture

CHAPTER-3

OVERVIEW OF THE SCHEME

3.1 About Ministry of Minority Affairs

The Ministry of Minority Affairs was carved out of the Ministry of Social Justice & Empowerment and created on 29th January 2006 to ensure a more focused approach towards issues relating to the notified minority communities, namely Muslim, Christian, Buddhist, Sikhs, Parsis, and Jain. The Ministry's mandate includes the formulation of overall policy and planning, coordination, evaluation, and review of the regulatory framework and development programs for the benefit of the minority communities.

Vision of Ministry of Minority Affairs

Empowering the minority communities and creating an enabling environment for strengthening the multi-racial, multi-ethnic, multi-cultural, multi-lingual, and multi-religious character of our nation

Mission

To improve the minority communities' socio-economic conditions through affirmative action and inclusive development so that every citizen has an equal opportunity to participate actively in building a vibrant nation. To facilitate an equitable share for minority communities in education, employment, economic activities and to ensure their upliftment.

3.2 Overview of the NMDFC Schemes

The National Minorities Development and Finance Corporation (NMDFC) was incorporated as a Government company on 30th Sept.1994 under Section 25 of the Companies Act, 1956 (now section 8 of Companies Act 2013). It is a “C” schedule company operating under the administrative control of the Ministry of Minority Affairs, Government of India.

The Corporation has been set up to promote economic development for the benefit of "Backward Sections" amongst the minorities, preference being given to the occupational group and women. The Muslims, Christians, Sikhs, Buddhists, Parsis & Jains have been notified as National Minorities by the Central Government under the National Minorities Commission Act, 1992.

3.2.1. Equity structure of NMDFC

At present, the Authorized share capital of NMDFC is Rs.3,000 crores, and the Paid-up capital is Rs.2077.51 crores. NMDFC is jointly promoted by the Central Government & respective State Govts/UT Administration & also institutions/organizations/individuals interested in the upliftment of the targeted Minorities.

The break-up of the contributions to be made in the Authorized Share Capital of NMDFC & the Equity contribution received by NMDFC till 31/03/2020 is indicated in the following table:-

(Amt in Rs. Cr.)

Shareholders	%-age Shares	Share in Authorized Share Capital	Paid-up Capital	% age of contribution to Earmarked Share	Amount yet to be paid
GOI	73 %	2,190.00	1700.00	**77.63**	490.00
State/UT Govt.	26 %	780.00	377.50	**48.40**	402.50
Institutions/ Individuals	1 %	30.00	0.01	**0.01**	29.99
Total	**100%**	**3,000.00**	**2077.51**	**69.25**	**922.49**

3.2.2. State channelizing agencies (SCA)

The State Channelising Agencies (SCAs) are the main channel for implementing the schemes of NMDFC. The individual beneficiaries are assisted through the SCAs under the Term Loan, Educational Loan, and Micro Finance Schemes & Mahila Samridhi Yojana of NMDFC. The SCAs are nominated by the respective State Governments / UT Administrations. Funds to SCAs are released against Sovereign Guarantee issued by respective State Govts. / UT Administration.

At present, NMDFC has 47 SCAs in 28 States & 8 UTs. Presently, 37 SCAs are operational, while 8 SCAs are in-operational mainly due to reasons like pending General Loan Agreement (GLA) & furnishing of Government Guarantee by the respective State Government/UT Administrations. The SCAs are in-operational in the States/UTs of Arunachal Pradesh, Meghalaya, Sikkim, A&N Islands, Daman & Diu, Lakshadweep & D&N Haveli. The SCA in Goa, though, has completed the formalities of GLA & Govt. Guarantee, it is yet to draw funds from NMDFC. Telangana's government is yet to nominate an agency for the implementation of NMDFC schemes in the State.

3.2.3. Financial assistance schemes of NMDFC

- The mandate of the Corporation is to provide concessional credit for self-employment activities to the backward sections amongst the Minorities comprising of Muslims, Christians, Sikhs, Buddhists, Parsis & Jains.
- Financing Schemes of NMDFC have been segregated into following two categories with differential quantum of loan & interest rates for beneficiaries from different income groups: -

- **Credit Line 1: -** It is the existing stream of concessional credit available for beneficiaries with annual family income of Rs.1.20 lacs in Urban areas & Rs. 98, 000/- in Rural areas.
- **Credit Line 2: -** Under this credit line, concessional credit is provided to the section of Minority population, defined on the basis of "Creamy Layer" criterion of OBC, i.e., with household income of Rs.6.00 lacs p.a. This group will get concessional credit at a higher rate of interest than available under Credit Line – 1.

The detail of the financing schemes of NMDFC with quantum of loan & rates of interest is as given below: -

1. Term Loan Scheme

This scheme is for individual beneficiaries and is implemented through the SCAs. Loan of up to Rs.20.00 lacs under Credit Line-1 and up to Rs.30.00 lacs under Credit line -2 is extended to beneficiaries at 6% p.a & 8% p.a respectively. Further, a concession of 2% p.a. is extended to women beneficiaries under Credit Line-2.

Assistance under Term Loan Scheme is available for any commercially viable and technically feasible venture, which for convenience, are classified into the following sectors- a) Agriculture & allied; b) Technical trades; c) Small business; d) Artisan and traditional occupations; e) Transport and services sector

2. Educational Loan Scheme

This scheme is also for the individual beneficiaries and is implemented through the SCAs. NMDFC extends Educational Loans with the objective to facilitate job oriented education for the eligible persons belonging to Minorities. Under this scheme, the loan is available for **'technical and professional courses'** of durations not exceeding five years. Loan of up to Rs.20.00 lacs for domestic courses & Rs.30.00 lacs for courses abroad under Credit Line-1 and Credit line -2 is extended to beneficiaries at 3% p.a & 8% p.a respectively. Further, a concession of 3% p.a. is extended to women beneficiaries under Credit Line-2.

3. Micro-Finance Scheme

Under the Micro Financing Scheme, micro-credit is extended to the members of the Self Help Groups (SHGs), especially the minority women scattered in remote villages and urban slums, who are not able to take advantage of the formal banking credit. The scheme 'requires that the beneficiaries are organized into Self Help Groups (SHGs) and get into the habit of thrift & credit, however small. Under the scheme, an amount of Rs.1.00 lacs under credit Line-1 & up to Rs.1.50 lacs under Credit Line-2 is extended to each member of SHG at an interest rate of 7% & 10%, respectively. Concession of 2% is extended to women beneficiaries under Credit Line-2.

3.2.5. Promotional Schemes

1. Mahila Samridhi Yojana (MSY)

It is a unique scheme linking micro-credit with the training to the women members in the trades

such as tailoring, cutting, and embroidery, etc. It is being implemented by the SCAs. Under the MSY, training is given to a group of around 20 women in any suitable women friendly craft activity. The women are formed into SHGs during the training itself and after the training, micro-credit is provided to the members of the SHG so formed. The maximum duration of the training is of 6 months, with maximum training expenses of Rs—1,500 per month per trainee. During the training, a stipend of Rs. 1,000 p.m. is also paid to the trainees. After the training, need based micro credit subject to a maximum of Rs. 1.00 lac is made available to each member of SHG, at an interest rate of 7% p.a.

2. Kaushal Se Kushalta Scheme

The vocational training scheme of NMDFC has been modified & realigned on the common norms of the Ministry of Skill Development and named as '**Kaushal Se Kushalta Scheme.'** This scheme aims at imparting skills to the targeted individual beneficiaries leading to self/wage employment. The scheme is implemented through the State Channelising Agencies, which organize need based skill development training in their States with the help of agencies empaneled by NSDC / related Sector Skill Council / State Skill Mission / Directorate of Technical Education. The training agency should preferably be accredited through NSDC SMART portal.

The SCAs are required to submit their proposals to NMDFC in the prescribed formats for approval/release of funds. Brief detail of this scheme is as under:

S. No.	*Parameters of the Scheme*	*Particulars of the Parameters*
1	*Base cost of Training*	*This will be based on per hour fee notified by the MOSD&E, Govt. of India. The present per hour fee (all inclusive) is as given below:* ***Category I – Rs. 42.4 per hour*** ***Category II - Rs. 36.4 per hour*** ***Category III - Rs. 30.3 per hour*** The courses having duration between 200 to 250 hours (theory & practical) would be considered under this program. Per hour fee would be subject to revision by MOSD&E, from time to time.
2	*Duration of Training*	*200 to 250 hours subject to minimum four (4) hours per day and five days a week training.*
3	*Stipend*	*Rs. 1,000/- per month per trainee, maximum up to 6 months, to be borne by NMDFC.*
4	*Means of Financing*	*100% cost will be borne by the NMDFC including stipend*
5	*Placement*	*70% of pass out trainees with at least 50% of the total trainees placed in wage employment.*
6	*Implementing Agency*	*State Channelizing Agencies (SCAs) of NMDFC*

3. Marketing Assistance Scheme

The Marketing Assistance Scheme is for individual crafts-persons/beneficiaries/SHGs and is

implemented through SCAs. NMDFC provides a grant to SCAs for organizing State/District level exhibitions at selected locations. In these exhibitions, handloom /handicraft products of Minority crafts-persons are exhibited and sold. Such exhibitions also serve the purpose of organizing "buyer seller meet." The participants are given a stall-free of cost along with TA/DA for participation.

"Hunar Haat" Exhibitions:-

As a unique initiative, NMDFC has been organizing the **"**Hunar Haat" Exhibitions on behalf of the Ministry of Minority Affairs under the USTTAAD scheme. Hunar Haat is a large format exhibition wherein 100 stalls for artisans, and 25 stalls for Culinary experts are set-up. Generally, Hunar Haat is organized for a duration of 9 days. So far, NMDFC has organized 17 Hunar Haat exhibitions since 2016-17 at various locations including New Delhi, Mumbai, Puducherry, Allahabad, Jaipur, Ahmedabad, Hyderabad, Indore, and Ranchi during the last four years. A unique feature of Hunar Haat is that it also encompasses the traditional cuisines served by Minorities from various States. A total of 1,624 artisans and 282 Culinary experts have participated in these 17 Hunar Haats.

Hunar Haat showcases the schemes and programmes of the Ministry of Minority Affairs. In order to attract visitors, selfie points, theme areas, and fun activities for children are also organized. Further, cultural programmes are organized in the evening in the Hunar Haat. Buyer Seller meets are also organized for establishing forward linkages for the artisans.

Hunar Haat has become a very popular brand. NMDFC has registered Hunar Haat as a Trademark owned by the Ministry of Minority Affairs. Hunar Haats have been widely acclaimed as successful events by print and electronic media, domestically as well as internationally.

4. [1]Grant in Aid Assistance scheme (GIA)

The SCAs of NMDFC are supported under the scheme of Grant in Aid Assistance (GIA) of the Ministry of Minority Affairs. The SCAs are allowed to incur expenditure on Awareness Campaigns, improvement in delivery system & loan recovery, etc. The maximum one-time amount given under GIA is limited to 25 lakhs/annum. During the year 2019-20, the Ministry of Minority Affairs has released Rs. 1.92 Crs. under the GIA scheme.

5. Moratorium Period

A grace period (Moratorium) is offered to the beneficiary for stabilizing the business activity financed under NMDFC loaning program. During this period, it is expected that the turnover of the business would gradually increase to a sustainable level when the business is able to generate sufficient surplus, for repayment of the loan. During the moratorium period, the beneficiary is required to repay only the interest on the credit availed and the recovery of principal along with the interest begins after the expiry of moratorium period. The moratorium period depends on the nature of the scheme and varies from scheme to scheme in the range of 3-6 months. As far as

[1] http://www.minorityaffairs.gov.in/sites/default/files/Final%20REVISED%20GIA.pdf

repayments by SCAs to NMDFC are concerned, NMDFC allows a standard moratorium of six months after the utilization period of three months. If the utilization period increases, correspondingly, the moratorium period gets reduced.

6. Repayment Period

The loan availed under Term Loan & Education Loan schemes shall have to be repaid by the beneficiaries over a maximum period of five years after the expiry of moratorium period. The repayments by the beneficiary may be on quarterly or on monthly basis as decided by the SCA. The SCAs are required to make quarterly repayments to NMDFC over a period of 8 years (Term Loan & Virasat Scheme) & 5 years (Education Loan) after nine months of drawl of funds (3 months' utilization period and 6 months' moratorium period) or after the utilization of funds whichever is later. In case of Micro-Finance Scheme, the repayment period is 4 years after moratorium period & utilization period of 3 months each.

7. Security for Beneficiaries to Avail Loan Under the Scheme

- NMDFC seeks revolving Government Guarantee from the concerned State Govt. and Govt. Guarantee / Letter of Comfort from UT Administration, as security, for the loan disbursed to the State Channelizing Agency.
- SCAs may also seek security from the beneficiaries for the loans disbursed to them. The type of security to be taken from the beneficiaries is to be decided by the SCAs. The norms of security should be such that the poor beneficiaries are able to meet them while necessary leverage for recovery of loan is also available to the lender. In general, following security provisions are advised: -

a)	For loans up to Rs.1,00,000/-	Self-Guarantee & Post Dated Cheques
b)	For loans exceeding Rs.1,00,000/- and up to Rs.5,00,000/-	Guarantee of one employee of PSU/Govt./Bank or one income tax payee/ Public Representative & Post Dated Cheques.
c)	For loans exceeding Rs.5,00,000/-	Guarantee of two employees of Govt./PSU/Bank or two income tax payee/ Public Representative OR Collateral by way of Mortgage of landed property/Immovable Property of not less than the same value & Post Dated Cheques.

- The SCA may also become member of the Credit Guarantee Fund Trust for Micro & Small Enterprises (CGTMSE) for beneficiaries who are not able to provide collateral security for the loan availed under NMDFC scheme. In such a case, the interest rate charged from the beneficiary would increase for payment of commission to the CGTMSE.

- The NGOs desirous of availing funds directly from NMDFC are required to furnish concrete security by way of Bank Guarantee or pledging Fixed Deposits with NMDFC of an equal value, as that of proposed loan amount.

3.2.6. ACHIEVEMENTS (up to 31.03.2020):-

- Since its inception, the NMDFC has disbursed an amount of Rs.5774.32 crores covering over 16.86 lacs families under the above schemes.
- Under the Term Loan scheme, financial assistance of Rs.3,644.92 crores has been given to over 5.35 lacs beneficiaries, spread over twenty-five States and three Union Territories. This includes disbursement of Rs. 295.94 crores for over 32,250 beneficiaries under the Education Loan scheme.
- Implementation of the Micro Financing scheme started from the year 1998-99. Under the Micro-Finance scheme, an amount of Rs.2129.40 crores has been disbursed to over 11.50 lacs families.
- Year-wise funds disbursed during the last five years is as given below: -

Sr. No.	Year	Amount Disbursed (in Rs. crores)
1	2015-16	473.29
2	2016-17	503.32
3	2017-18	570.83
4	2018-19	603.66
5.	2019-20	602.50

CHAPTER-4

STUDY OBJECTIVES

4.1. Scope of the Evaluation Study

The scheme's scope is to evaluate the NMDFC schemes in nine (9) States suggested by MoMA. The scheme's assessment is based on the Beneficiary and SCAs data provided by MoMA for selected nine (9) States of Delhi, Harayana, West Bengal, Tamil Nadu, Gujarat, Kerala, J&K, Himachal Pradesh, and Tripura.

a. Objectives and possible area of inquiry of the Study

1. To Study the Impact of NMDFC schemes (Term Loan, Education Loan, Micro Financing, Vocational Training & Marketing Assistance) and indicating an increase in income, savings, the standard of education, and social status.
2. The recovery mechanism adopted by the SCA is to be evaluated and suggest measures, systems & procedures for improving existing recovery system, with a view to boost grass root level recoveries.
3. Current procedure adopted by the SCA for Publicity & Advertisement of schemes of NMDFC schemes & integrate it with loaning process, so as to bring the schemes of NMDFC, nearer to the targeted Minority communities.
4. To study existing level of computerization of activities in the SCA & suggest further scope of computerization through process re-engineering by integrating all the activities of the SCA, starting with loan application, loan sanction/disbursement, its recovery & accounting, with a view to make loaning faster, credible & transparent.
5. To review the eligibility criteria including income criteria, desirability or otherwise of Minority Community and suggest the changes, if required.
6. To review the relevance of the prevailing schemes being implemented for the socio-economic development of the target group and suggest the areas of the possible expansion/deletion/modification of schemes.
7. To review the present procedure for sanction and disbursement of loan to the target group i.e. Channel Finance System and suggest possible interventions for improvement.
8. To review the compliance of Government directives and DPE Guidelines issued from time to time on effective fund utilization.
9. To review the existing organizational structure, management system and staffing pattern and identify the main constraints affecting the system, if any, and suggest measures for improving the efficiency in delivery of services to the Channel Partners.
10. To assess the organizational 'efficiency' by reviewing the achievements of the targets given vis- à-vis resources available for the socio-economic development of target group.
11. To examine as to how 'economically' NMDFC is carrying out its tasks and implementing / getting implemented various schemes/programmes/projects for the

socio-economic empowerment of the target group by adhering to financial rules and regulations and by ensuring economy in their implementation.

12. To examine the relationship between NMDFC and its Channelizing Agencies and suggest alternative mechanism for better coordination, implementation of scheme, repayment of loan etc. in a time bound manner.
13. To find out the causes of regional imbalance in coverage of target group and suggest measures to eliminate the same.
14. To review the non-credit based scheme and suggest measures and modifications, if any for better employability of the target group.
15. To find out the issues and concerns of Minority Community in concentrated aspirational districts and suggest remedial measures for socio-economic development of the target group living in these districts.
16. To review the existing marketing assistance under the Hunar Haat programme being provided to the target group and suggest possible measures for better earning.
17. To identify the gaps in the scheme's outcomes in light of national priorities/SDGs not being addressed due to (a) absence of interventions or (b) non-performance of existing schemes/interventions.
18. To conduct the study on cross-sectional thematic assessment.
19. Adequacy of the current structure and architecture of the organization n terms of its size, reach, and mode of working through SCAs and suggestions or improvement.
20. Whether the NMDFC has met the objectives of its creation.
21. Whether there is a need for continued government funding to the organization.
22. Adequacy of the current schemes operated by NMDFC to meet the demands/needs of the target population and suggestions for improvement.
23. How does NMDFC meet SDG and NDP goals?

4.2. Outline of the Project Report

The report consists of an executive summary and six chapters, including the chapter on Overview of the scheme, which embodies the brief background about the Scheme along with its brief features, the importance of the scheme in terms of National Priorities, Mechanism of implementation, Structure & Stakeholders of the scheme, and scheme performance.

Chapter 5 embodies the detailed methodology adopted by the project team. These details are about the target population (Beneficiaries &other Stakeholders), target sample units for collection of data from the two sets of the population (Beneficiaries, and SCAs), Meta-analysis plan, Focus group discussion, data collection instruments/ methods (structured or semi-structured questionnaires), preparation of the analysis plan and sampling design**,** triangulation of the data of different sources, coding and cleaning of data for the purpose of analysis.

Chapter 6 presents the analysis of data collected from 1242 beneficiaries of the schemes of NMDFC covered under this study. These beneficiaries are from the nine states of India. The data was collected using a structured and semi-structured questionnaire given in the Annexure. Analysis of the data is presented in subsequent sections of this chapter. The universe and sampling frame are presented in section 6.2, while the beneficiaries' demographic profiling is done in section 6.3. Analysis of awareness of the NMDFC scheme is discussed in section 6.4, while the impact of credit-based schemes of the NMDFC is covered in section 6.5. The overall impact of the NMDFC schemes is discussed in section 6.6. finally, Problem areas and suggestions for the improvement of the NMDFC schemes is elaborated in section 6.7. Section 6.8 concludes this chapter.

Chapter 7 presents the analysis of data collected from the 15 State channelizing agency (SCA). This Analysis of the data is presented in subsequent sections of this chapter. Background in the form of Demographics are covered in section 7.2, Review of Eligibility Criteria is discussed in section 7.3, while Evaluation of Recovery Mechanism is discussed in section 7.4. Publicity & Advertisement in section 7.5, level of computerization of SCA's in section 7.6, Relevance wrt other schemes in 7.7., Sanction & disbursement of loans is covered in section 7.8, fund utilization in Section 7.9., review of organization structure in section 7.10, the impact of the scheme in Section 7.11., Problems faced and suggestions for improvement in Section 7.12 and finally concluded in section 7.13.

Chapter 8 consists of findings and recommendations with respect to various objectives of the assignment. These findings are based on three sets of data, i.e., (i) data collected from stakeholders, (ii) data collected from beneficiaries, and (iii) data collected from different secondary resources.

4.3. Concluding Remarks

This chapter has tried to discuss the Scope of the evaluation study of the schemes of "National Minorities Development and Finance Corporation." The chapter mentioned all Possible areas of inquiry and objectives of an evaluation study of the schemes of NMDFC (2019-20) required to cover during the evaluation study. The next chapter of the report will discuss the detailed research methodology applied in this study.

CHAPTER-5

STUDY APPROACH & METHODOLOGY

5.1 Introduction

This chapter primarily deals with the methodology of data collection, data analysis, and data presentation in the subsequent sections of this chapter. Two sets of data were collected for the purpose of the evaluation of the NMDFC schemes across India. The first set of data was about State Channelizing Agencies (SCA's). The second set of data was collected about beneficiaries of the NMDFC schemes.

5.2 Methodology

The methodology involves meta-analysis, designing of the discussion guides for focus group discussions, interview guides for in-depth interviews, and structured questionnaires/schedules for studies, Preparation of the analysis plan and Sampling design. The steps are elaborated in the following paragraphs.

A. Meta-analysis

The data and methods will involve a review of:

a. National and International development goals and scheme documents;
b. Financial data on allocation and expenditures of the scheme;
c. Annual reports of the Ministry/department for output and outcome assessment;
d. Available evaluation reports for output and outcome assessment;

Based on meta-analysis and key informant interviews, and community, the evaluation study will provide insights into reasons for the success and failure of scheme design, institutional arrangements, human resources, political economy considerations, among others. The study will also provide strategic insights into:

a. Gaps between intended and actual outcomes both due to lack of specific interventions and failure or poor outcomes of existing schemes;
b. Institutional provisions for monitoring and evaluation;
c. Degree of adoption of the outcome-output framework;

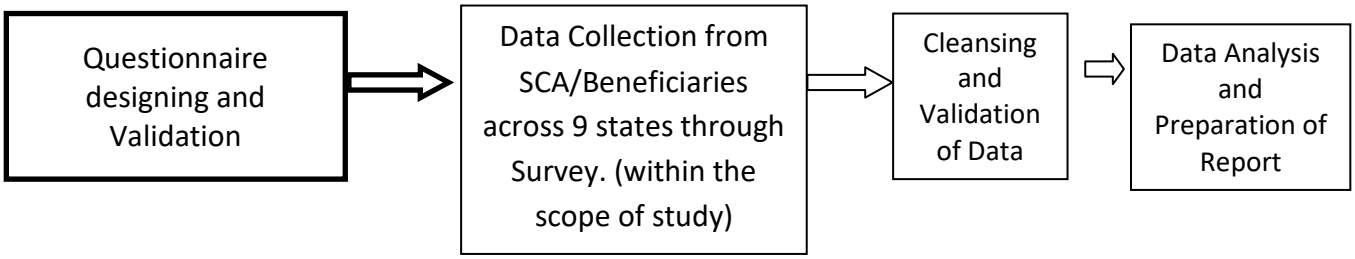


Fig. 5.1 Methodology

B. Designing of the discussion guides for focus group discussions, interview guides for in-depth interviews, and structured questionnaires/schedules for studies

a. **Key informant interviews & focus group discussions:**

Herein, it is proposed that key informant interviews with Ministry/department personnel at the national level, State channelizing agencies, other stakeholders supporting implementation, or indirectly enabling the scheme's success such as National Minorities Development and Finance Corporation. Additionally, focus group discussions were conducted, involving stakeholders, opinion-makers as well as selected beneficiaries.

b. Focused Group Discussion (FGD)

The team has conducted **TWO Focus Group Discussions (FGD).** Each FGD comprised of 10-15 Beneficiaries and 5-7 SCAs.

The main purpose of the FGD:

i. Conducting FGD is a part of the requirement
ii. To gather information through discussions to understand the issues and challenges faced by the SCA's and beneficiaries and to discuss improvements in the NMDFC Scheme.
iii. Pretest the questionnaire.

A qualitative study backed with extensive meta-analysis was adopted to provide the scheme assessment. The

The Team has conducted the FGD on 19th and 24th August 2020; in mutual consultation with the MoMA. Officials from MoMA were also present and helped the team during the interactions.

c. Questionnaire Design:

questionnaire (structure) was formed in consultation with MoMA. A focus group interview was also conducted with the help of MoMA.

Probable information required through the questionnaire addressed all the objectives of the study, such as:

i. Demographics including socio-economic status (beneficiary)
ii. Information on infrastructure, facilities and resources (SCA).
iii. Problem and issues related to loaning process (SCA and NMDFC)
iv. Income, opportunities and social status of beneficiary before and after the loan (beneficiary)
v. Performance of all the loan schemes.

Note: A separate questionnaire for Beneficiary and SCA was formed and tested.

C. Preparation of the analysis plan and Sampling design

a. Field Study Method:

Sampling Method –

I. The stratified sampling method is adopted based on the
   - Percentage of Beneficiaries and SCAs concentration in a Geographical coverage
   - Percentage of Religious group concentration
   - Types of credit based schemes

II. Survey Administration is done by the local Market research executives in local language.

b. Proposed Sample size

I. The study was conducted in 9 States (states were decided in consultation with MoMA).

II. More than 15 SCAs are contacted in total.

III. A total of more than 1242 beneficiaries have interacted across the selected states

c. States selected for the Field Study**:**

The team has contacted the stakeholders for the study across the following states:

I. North: Delhi, Himachal Pradesh, Haryana, and J&K

II. West: Gujarat

III. East: West Bengal

IV. North East: Tripura

V. South: Kerala and Tamil Nadu

d. **Beneficiary Household surveys**:

A selected sample of household surveys was conducted to assess the beneficiary-level impact of the scheme. This household survey design was quasi-quantitative in nature. Additionally, the key information areas to be covered in the discussion guides/questionnaires for key informant interviews and beneficiary surveys covered data points included but not limited to NITI Aayog's Output-Outcome Monitoring Framework corresponding schemes.

Collecting and compiling the data from selected areas and Collation and data cleaning. Data collected is validated through phonic calls or through personal visits to the concerned SCAs. Data, once collected, was compiled and cleaned using different statistical techniques and tools for finding unengaged respondents, inconsistency, capture sensitivity, and univariate & multivariate outliers. Excel tools and other statistical packages were employed for the purpose.

D. Running data analysis:

The collected data, cleaned through the cleansing process, was used to analyze the key performance indicators using Qualitative techniques like trend analysis, Pareto, etc. and statistical tools like SPSS, Stata, MS-Excel.

E. Report preparation

A detailed report is prepared to address the study's scope as per the structure provided by the MoMA.

5.3 Conclusion

This chapter focused on the methodology of the study. Methodology covers Sampling design, including Meta-analysis, Focused group discussions, questionnaire design, sample size, and target beneficiary states. In the next chapter, an analysis of the evaluation study based on key performance indicators is performed using information received from the beneficiaries

CHAPTER-6

BENEFICIARIES RESPONSE DATA ANALYSIS

6.1 Introduction

The objectives of the "National Minorities Development and Finance Corporation" Schemes are (i) To finance income-generating schemes of eligible Minority Community (Muslims, Christians, Sikhs, Buddhists, Jains, and Parsis), (ii) To provide Educational Loans to the target group through SCAs to pursue full-time professional/technical education through recognized institutions, (iii) To provide loans to the target group through SCAs and seek employment linked Vocational Education & skill Training Courses, (iv) To provide grants for Skill Development Training Programmes of the target group, (v) To organize/participate in the Exhibitions cum Fairs for the marketing of the products of beneficiaries. Keeping these objectives of the scheme and terms of reference in view, data was collected on the schemes' different parameters/dimensions. These dimensions/ parameters are (i) Analysis of the demographic profile of the beneficiaries, (ii) level of awareness of the NMDFC schemes, (iii) impact of the credit-based NMDFC schemes, (iv) overall impact of NMDFC schemes, (v) Problem areas and suggestions for the improvement of NMDFC schemes. In all, 1242 beneficiaries were part of this study from nine states across India. The data was collected in September - October 2020, having personal interviews with beneficiaries. The information is collected using a structured and semi-structured questionnaire.

Analysis of the data is presented in subsequent sections of this chapter. The universe and sampling frame are presented in section 6.2, while the beneficiaries' demographic profiling is done in section 6.3. Analysis of awareness of the NMDFC scheme is discussed in section 6.4, while the impact of credit-based schemes of the NMDFC is covered in section 6.5. The overall impact of the NMDFC schemes is discussed in section 6.6. finally, Problem areas and suggestions for the improvement of the NMDFC schemes is elaborated in section 6.7. Section 6.8 concludes this chapter.

6.2 Universe and sampling framework of the study

The Proposed sample size for this study is 1200 beneficiaries; we have analyzed 1242 beneficiaries' data. The sample coverage is as shown in Table 6.1. The number of beneficiaries from each state covered for collecting data of beneficiaries is also in Table 6.1 and graphically represented in Figure 6.1. The criteria for selecting sampling units were as per guidelines listed in the ToR concerning the ratio of beneficiaries given to the state channelizing agencies, Types of loans, the beneficiaries' social background, etc.

Table 6.1: Sample of Beneficiaries selected from the target states

States	Beneficiaries (No.)	Beneficiaries (%)
Delhi	20	2%
Gujarat	149	12%
Haryana	163	13%
Himachal Pradesh	143	12%
J&K	153	12%
Kerala	155	12%
Tamil Nadu	68	5%
Tripura	151	12%
West Bengal	240	19%
Total Beneficiaries	**1242**	**100%**

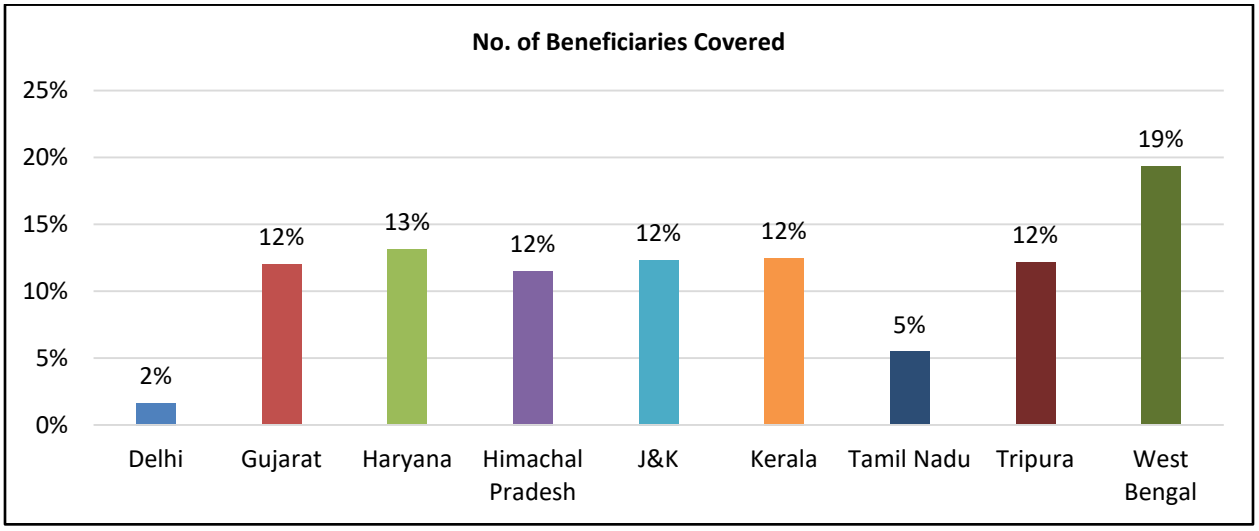


Figure 6.1: Represent beneficiaries selected from each target states

6.3 Demographic details of the beneficiary

This section covers the data analysis of the demography of the beneficiaries. The demographic characteristics chosen for the study were (a) Age, (b) gender, (c) marital status, (d) education level, (e) Minorities community, (f) location, (g) annual income

6.3.1 Beneficiaries- Gender

The beneficiaries were asked to mention their gender in the questionnaire. Females are given a discount on interest rates. The total percentage of female and male beneficiaries administered is 26% and 74%, respectively, as shown in Table 6.2. The maximum female respondents (62%) were from Kerala and 49% from Tamil Nadu.

Table 6.2: Percentage of Beneficiaries (respondents) of different gender

Gender	Male	Female
Delhi	65%	35%
Gujarat	79%	21%
Haryana	87%	13%
Himachal Pradesh	86%	14%
J&K	86%	14%
Kerala	38%	62%
Tamil Nadu	51%	49%
Tripura	77%	23%
West Bengal	75%	25%
Total Beneficiaries	**74%**	**26%**

6.3.2 Beneficiary: Age

The beneficiaries were asked their age in the questionnaire. Figure 6.2 and 6.3 represents the distribution of Age overall and state-wise, respectively. The majority of the beneficiaries (62%) are below the age of 35 years.

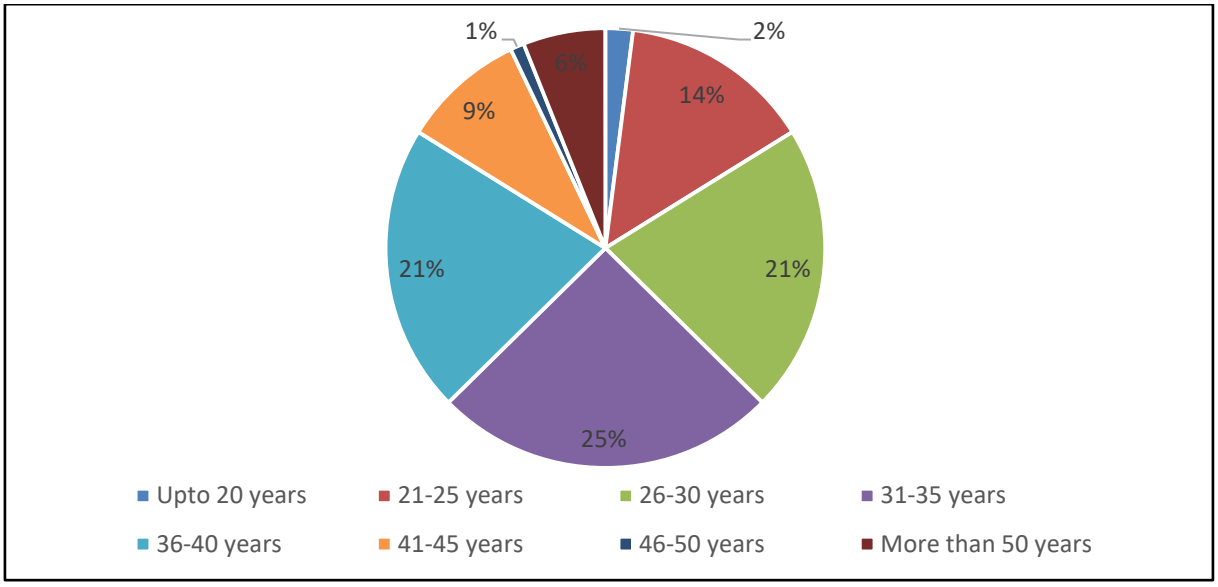


Figure 6.2: Overall distribution of the age of the beneficiaries

More than 50% of the Beneficiaries from the state Haryana (62%), Himachal Pradesh (72%), J&K (77%), Tripura (65%), Tamil Nadu (80%), etc., are less than 35 years of age. Beneficiaries in the group of more than 45 years are less than 7%.

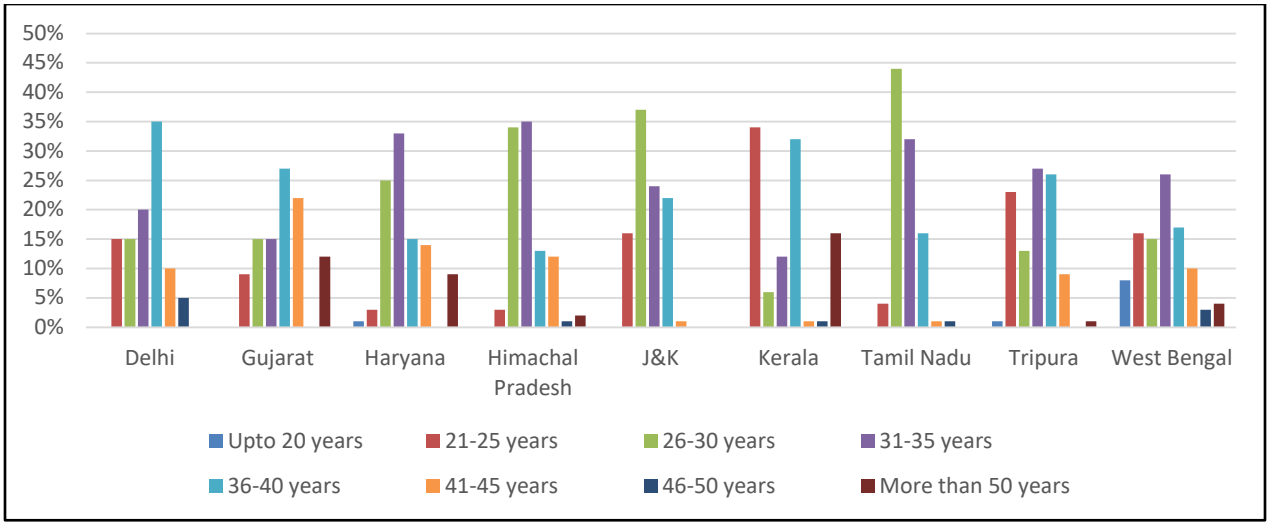


Figure 6.3: States wise distribution of the Age of the beneficiaries

6.3.3 Beneficiary: Marital Status

The marital status of the beneficiaries chosen for the study is graphically represented in Figure 6.4. Most of the beneficiaries (respondents) (70%) were married, and about 30% are unmarried.

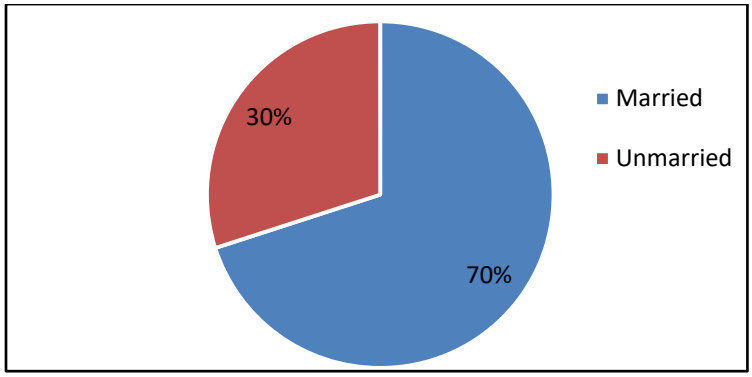


Figure 6.4: Marital status of the respondents (beneficiaries)

6.3.4 Beneficiary: Location Rural/Urban:

The evaluation study of the scheme requires an assessment of beneficiaries (respondents) belongs to both urban and rural areas. The total percentage of respondents from rural and urban areas was 42% and 58%, respectively. The maximum percentage of the rural respondent (more than 70%) were from J&K (79%), Kerala (79%), Tripura (77%), while that of urban respondents were from Delhi (100%), Gujrat (77%), Haryana (94%), Tamil Nadu (99%), etc., as shown in Table 6.3

Table 6.3: Percentage of beneficiaries from a different location

States	Rural	Urban
Delhi	0%	100%
Gujarat	23%	77%
Haryana	6%	94%
Himachal Pradesh	34%	66%
J&K	79%	21%
Kerala	79%	21%
Tamil Nadu	1%	99%
Tripura	77%	23%
West Bengal	30%	70%
Total Beneficiaries	**42%**	**58%**

6.3.5 Beneficiary: Minority category

The schemes of "National Minorities Development and Finance corporations" aim at improving the socio-economic conditions of the minority communities. These minorities category consists of Muslims, Christians, Sikhs, Buddhists, Parsis, and Jains. As shown in Figure 6.5, the beneficiaries (respondents) are mostly from the Muslim minority category (77%),

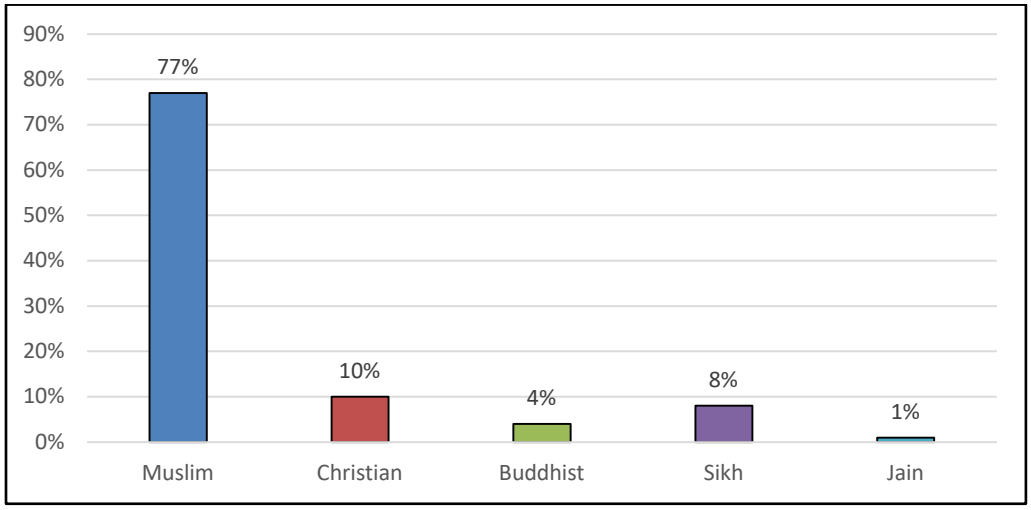


Figure 6.5: Overall minorities category of beneficiaries (respondents)

Buddhist respondents were mostly from West Bengal (7%), J&K (10%), and Kerala (11%), while Sikhs from Delhi (45%) and Haryana (43%), Christians (38% and 40%) were from Kerala and Delhi, respectively. Jain respondents were mostly from Haryana (2%) and Gujarat (1%), as shown in Table 6.4

Table 6.4: Percentage of Beneficiaries (Respondents) of Different minorities category

Minority Category	Muslim	Christian	Buddhist	Sikh	Jain
Delhi	15%	40%	0%	45%	0%
Gujarat	97%	1%	0%	1%	1%
Haryana	53%	1%	0%	43%	2%
Himachal Pradesh	89%	0%	2%	9%	0%
J&K	84%	0%	10%	6%	0%
Kerala	50%	38%	11%	1%	0%
Tamil Nadu	91%	9%	0%	0%	0%
Tripura	99%	0%	1%	0%	0%
West Bengal	75%	19%	7%	0%	0%
Total Beneficiaries	**77%**	**10%**	**4%**	**8%**	**1%**

6.3.6 Beneficiary: Disabled

The data on beneficiaries with respondents shows that percentage of the respondents with disabilities selected for the study are 1% of the total sample of the study.

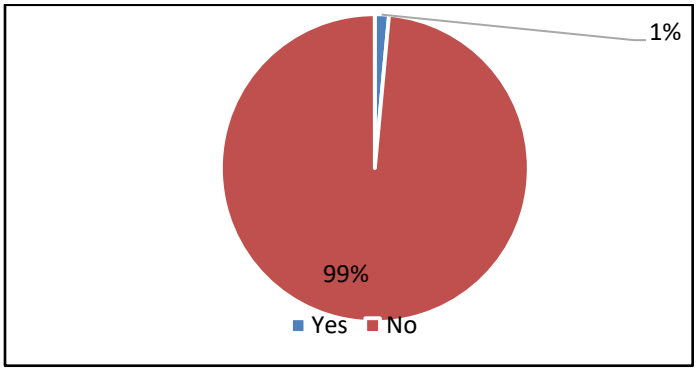


Figure 6.6: Graphical representation of respondents' physical condition

6.3.7 Beneficiary: Educational qualification

The beneficiaries (respondents) were asked to mention their education level in the questionnaire. The distribution of the respondents based on their educational levels are shown in Figure 6.7 and Table 6.5. Most of the beneficiaries (respondents) are either Middle school pass (47%) or matriculate or above (32%), as shown in Figure 6.7. upto 13% of the respondents were technically qualified, as well.

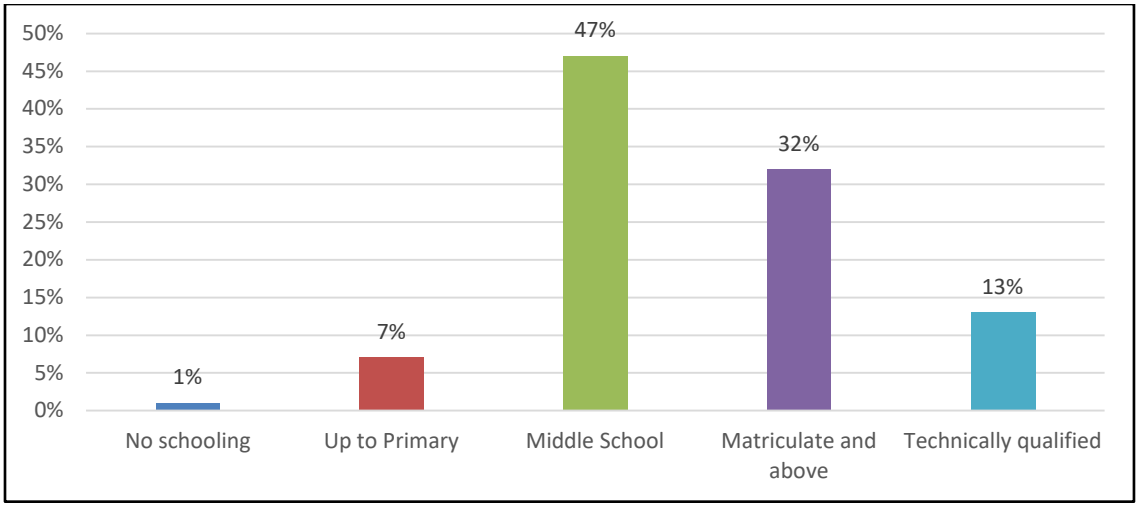


Figure 6.7: Overall educational Qualifications of the beneficiary (Respondents)

More than 40 % of the respondents from Gujarat (41%), Haryana (46%), J&K (55%) are Matriculate or above. Most of the technically qualified respondents are from West Bengal (31%), Kerala (22%), and Delhi (25%), as shown in Table 6.5.

Table 6.5: Statewise educational Qualifications of the beneficiary (Respondents)

Educational Qualifications	No schooling	Up to Primary	Middle School	Matriculate and above	Technically qualified
Delhi	0%	5%	30%	40%	25%
Gujarat	4%	10%	42%	41%	3%
Haryana	4%	7%	40%	46%	2%
Himachal Pradesh	0%	3%	68%	22%	7%
J&K	0%	3%	39%	55%	3%
Kerala	0%	0%	57%	21%	22%
Tamil Nadu	0%	0%	79%	19%	1%
Tripura	0%	18%	47%	18%	17%
West Bengal	0%	10%	32%	26%	31%
Total Beneficiaries	**1%**	**7%**	**47%**	**32%**	**13%**

6.3.8 Beneficiary: Annual Income

The data on annual income of the beneficiaries reveals that most of the beneficiaries (67%) have an annual income up to Rs 1 lakh, and 16% of the beneficiaries had an annual income between Rs 1 lakh to 2 lakh, as shown in Table 6.6. This reflects that most of the beneficiaries have taken the loans under credit line 1. 16 % of the beneficiaries overall might have taken the loans under credit line 2. The same is the scenario at the state level except for the beneficiaries of Tripura (42%), Haryana (19%), J&K (8%), Delhi (45%), Gujarat (21%), and West Bengal (25%), who may have opted for loans under credit line 2.

Table 6.6: Annual income of the beneficiaries

Annual income	Up to Rs.1 lakh	above Rs.1 lakh to 2 lakh	above Rs. 2 Lakh to 3 Lakh	Above Rs. 3 Lakh	Not disclosed
Delhi	0%	55%	45%	0%	0%
Gujarat	57%	21%	20%	1%	0%
Haryana	67%	13%	16%	3%	0%
Himachal Pradesh	81%	19%	0%	0%	0%
J&K	86%	5%	0%	7%	1%
Kerala	96%	2%	1%	1%	0%
Tamil Nadu	99%	1%	0%	0%	0%
Tripura	36%	23%	15%	2%	25%
West Bengal	52%	23%	16%	8%	1%
Total Beneficiaries	**67%**	**16%**	**10%**	**3%**	**3%**

6.3.9 Skill Development Training taken by Beneficiary

The beneficiaries were asked if they have attended any skill development training before. Most of the beneficiaries (64%) shared that they have not undergone any course, as shown in Figure 6.8. While 36% of beneficiaries agreed to have attended skill training. 73% of the beneficiaries who confirmed to have participated in the skill training, took the training in the area of Entrepreneurial development.

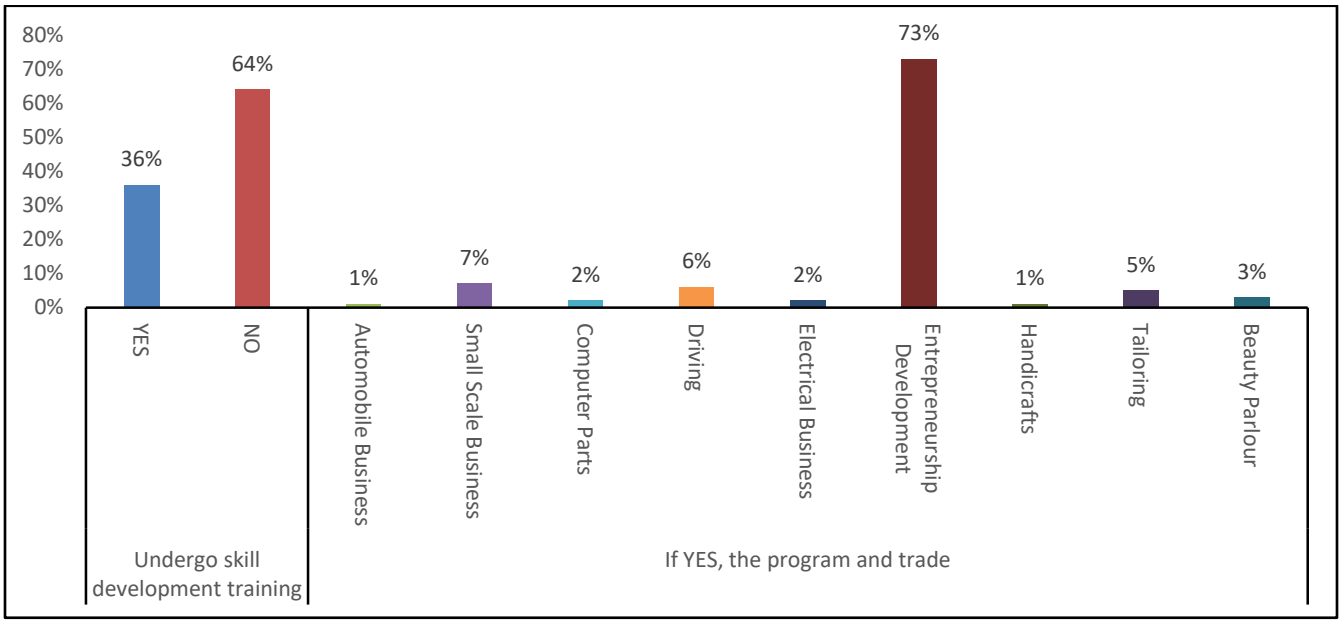


Figure 6.8: Skill training attended by the beneficiaries

6.4 Awareness and Encouragement

Sources of information on the NMDFC Schemes

The beneficiaries (respondents) were asked regarding the sources of information about the "NMDFC" Schemes. As shown in Figure 6.9, relative and friend is a critical source of information

(approx. 76%), followed by awareness through the government officials (42%), newspaper (24%), and then awareness camps (21%). Awareness through camps by Government Agencies can be improved, which is currently at 21%. The use of digital platforms can be enhanced, which is also less at approx 13%. Social media (less than 10%) should be encouraged to increase awareness about the schemes amongst the potential beneficiaries.

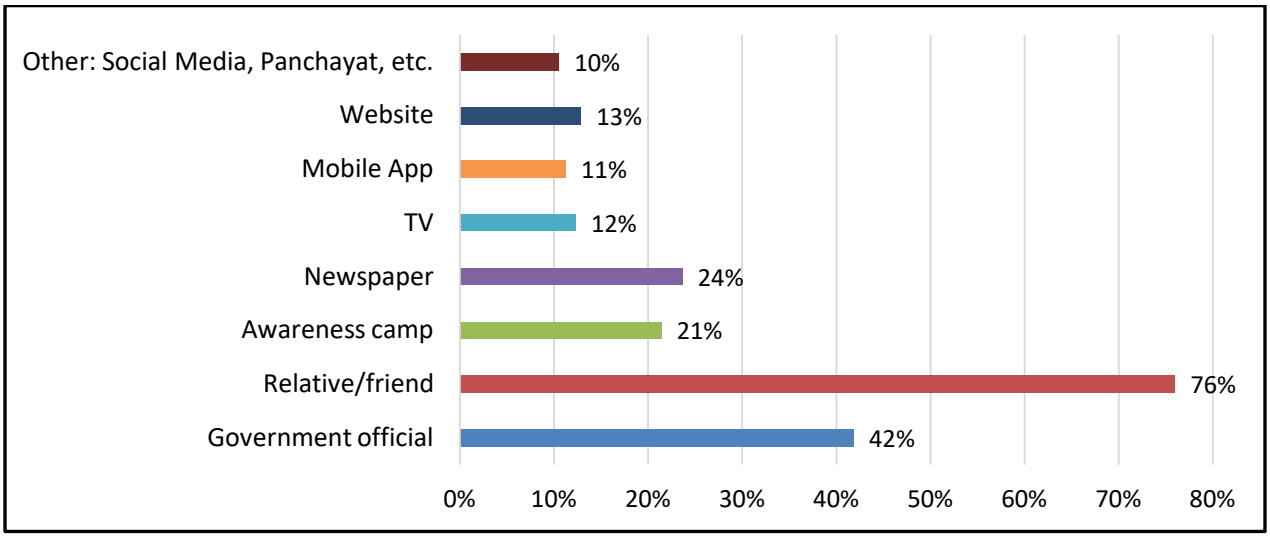


Figure 6.9: Overall source of Information for the "NMDFC" Schemes

6.4.1 Where did you submit the application form?

The study also gathered the information to know where the beneficiaries apply or submit the application form. Most of the beneficiaries (56%) indicated submitting the application form at the district office of the SCAs. About 27% of the beneficiaries also indicated submitting at Gram Panchayat, as shown in Figure 6.10. Only 4% of the beneficiaries submit through agents, block office, Zila panchayat, or field officers of SCAs.

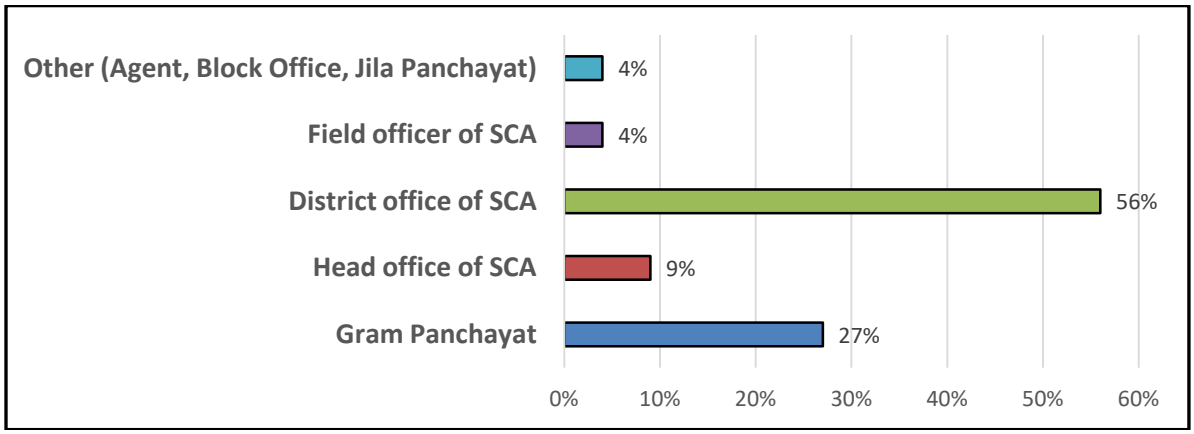


Figure 6.10: Overall channel used for submitting the application form

6.5 Impact of NMDFC schemes: credit-based schemes

The impact of the schemes on the beneficiaries is analyzed on different dimensions/parameters. These parameters include (i) Purpose of the loans, (ii) requirement of any additional credit, (iii) repayments of loans by the beneficiaries, (iv) reasons for being defaulters, (v) Provided employments, the number employed, amount of money given as salary, (vi) Status of the business unit started using the loan, and (vii) details of assets created or purpose of loan utilization.

6.5.1 Mode of disbursement of Loan Amount

The question was asked from the beneficiaries regarding the disbursement mode of the loans once sanctioned by the SCAs. Most of the beneficiaries (91%) indicted receiving the approved amount through direct transfer in the bank account, as shown in Table 6.7. The disbursement mode is also the same state-wise, except beneficiaries of Gujarat (17%), Tamil Nadu (12%), etc., received through cheque, and Tripura (11%) are disbursed through cash.

Table 6.7: Mode of disbursement of loans to the beneficiaries

Mode of disbursement	Cheque	Cash	DBT	RTGS
Delhi	0%	0%	100%	0%
Gujarat	17%	1%	82%	0%
Haryana	7%	1%	88%	5%
Himachal Pradesh	8%	0%	92%	0%
J&K	1%	0%	99%	0%
Kerala	1%	1%	98%	0%
Tamil Nadu	12%	0%	88%	0%
Tripura	5%	11%	80%	4%
West Bengal	1%	0%	98%	1%
Total Beneficiaries	**6%**	**2%**	**91%**	**1%**

6.5.2 Analysis of loan information: loan applied, loan sanctioned, the total amount of loan received, beneficiary's contribution

Each credit-based scheme of NMDFC have a cap on the maximum amount disbursed to the beneficiaries. This section evaluates the scenario of loans applied by the beneficiaries and in return loan SCAs sanctions. Table 6.8 contains the information related to the loan amount applied by the beneficiaries. More than 87% of the beneficiaries applied for the loan for an amount up to Rs5 lakh, while 49% of the beneficiaries applied for an amount up to Rs2.5 lakhs. 10% of the beneficiaries applied for an amount of more than Rs10 lakhs. State-wise application for the amount is also the same, except Gujarat, Haryana, Tripura, and West Bengal, where 14%, 25%, 17%, and 13% of the beneficiaries, respectively, applied for an amount of more than Rs10 lakhs.

Table 6.8: Loan amount applied by the beneficiaries

Loan Applied	Upto Rs.1,00,000	Rs.1,00,001 to 2,50,000	Rs.2,50,001 to 5,00,000	Rs.5,00,001 to 10,00,000	More than Rs.10,00,000
Delhi	100%	0%	0%	0%	0%
Gujarat	52%	31%	3%	0%	14%
Haryana	74%	1%	0%	0%	25%
Himachal Pradesh	0%	24%	73%	3%	0%
J&K	0%	3%	97%	1%	0%
Kerala	10%	39%	41%	5%	4%
Tamil Nadu	47%	19%	32%	1%	0%
Tripura	0%	26%	56%	1%	17%
West Bengal	43%	13%	21%	10%	13%
Total Beneficiaries	**30%**	**19%**	**38%**	**3%**	**10%**

Similarly, the loan amount sanctioned by the SCAs to the beneficiaries is compiled in Table 6.9. Most of the beneficiaries (95%) were sanctioned a loan amount up to Rs5 lakhs, and about 57% of beneficiaries up to Rs2.5 lakhs. Merely 5 % of the beneficiaries were sanctioned amount more than five lakhs. State-wise loan amount sanctioning is also the same except Kerala, Tripura, and West Bengal, where 9%, 11%, and 11% of the beneficiaries were approved more than five lakhs by the SCAs.

Table 6.9: Loan amount approved by the SCA to the beneficiaries

Loan sanctioned	Upto Rs.1,00,000	Rs.1,00,001 to 2,50,000	Rs.2,50,001 to 5,00,000	Rs.5,00,001 to 10,00,000	More than Rs.10,00,000
Delhi	100%	0%	0%	0%	0%
Gujarat	77%	21%	2%	0%	0%
Haryana	99%	1%	0%	0%	0%
Himachal Pradesh	1%	24%	71%	3%	0%
J&K	0%	3%	95%	1%	0%
Kerala	10%	40%	41%	6%	3%
Tamil Nadu	49%	21%	29%	0%	1%
Tripura	1%	28%	60%	0%	11%
West Bengal	56%	12%	20%	8%	3%
Total Beneficiaries	**39%**	**18%**	**38%**	**3%**	**2%**

Loan once sanctioned, the information related to the amount received by the beneficiaries is also collected. The information collected is summarized in Table 6.10. Upto 94% of the beneficiaries received an amount up to 5 lakhs. Only 6 % of the beneficiaries received an amount of more than five lakhs. Kerala, Tripura, West Bengal, J&K, and Himachal Pradesh are the only states where 25 %, 7%, 11%, 1%, and 3% of the beneficiaries received more than five lakhs.

Table 6.10: Loan amount received by the beneficiaries

Loan received	Upto Rs.1,00,000	Rs.1,00,001 to 2,50,000	Rs.2,50,001 to 5,00,000	Rs.5,00,001 to 10,00,000	More than Rs.10,00,000
Delhi	100%	0%	0%	0%	0%
Gujarat	78%	20%	2%	0%	0%
Haryana	99%	1%	0%	0%	0%
Himachal Pradesh	56%	8%	34%	3%	0%
J&K	2%	4%	93%	1%	0%
Kerala	10%	40%	25%	19%	6%
Tamil Nadu	49%	21%	31%	0%	0%
Tripura	5%	32%	57%	7%	0%
West Bengal	56%	13%	21%	9%	2%
Total Beneficiaries	**46%**	**16%**	**31%**	**5%**	**1%**

The scheme requires a contribution of a maximum of 5% from the beneficiaries. Thus, information is collected related to the contribution ensured by the SCA from the beneficiaries. Most of the beneficiaries 95% of the beneficiaries contributed up to 50 thousand, while approx 58% of beneficiaries contributed up to 10 thousand. The SCAs gave 20% of the overall beneficiaries full applied loans. 3% of Kerala's beneficiaries, 28% from Tripura, and 7% from West Bengal contributed more than 50 thousand as their part, as shown in Table 6.11.

Table 6.11: Beneficiaries contribution

Beneficiary Contribution	Nil	Up to Rs.10,000	Rs.10,001 to 50,000	Rs.50,001 to 1,00,000	Rs.1,00,001 to 2,00,000
Delhi	89%	11%	0%	0%	0%
Gujarat	26%	56%	17%	1%	0%
Haryana	22%	61%	17%	0%	0%
Himachal Pradesh	0%	19%	81%	0%	0%
J&K	21%	1%	78%	0%	0%
Kerala	7%	41%	49%	2%	1%
Tamil Nadu	0%	79%	21%	0%	0%
Tripura	25%	18%	28%	15%	13%

West Bengal	32%	46%	15%	4%	3%
Total Beneficiaries	**20%**	**38%**	**38%**	**3%**	**2%**

6.5.3 The purpose of taking the loan

Overall, 74% of the beneficiaries applied for the loans for the new business. 14% and 11% of the beneficiaries applied for expanding an existing business or higher study, respectively, as shown in Figure 6.11. Most of the beneficiaries from the selected states also reflected the same purpose except, Gujarat, Haryana, Kerala, West Bengal, and Tripura. Upto32% from Gujarat and 37% from Haryana took loans to expand an existing business, while 34%, 23%, and 25% from Kerala, West Bengal, and Tripura respectively took loans for higher study. 1% of the beneficiaries from Haryana took loans for fish-farm, house repair, or health reasons.

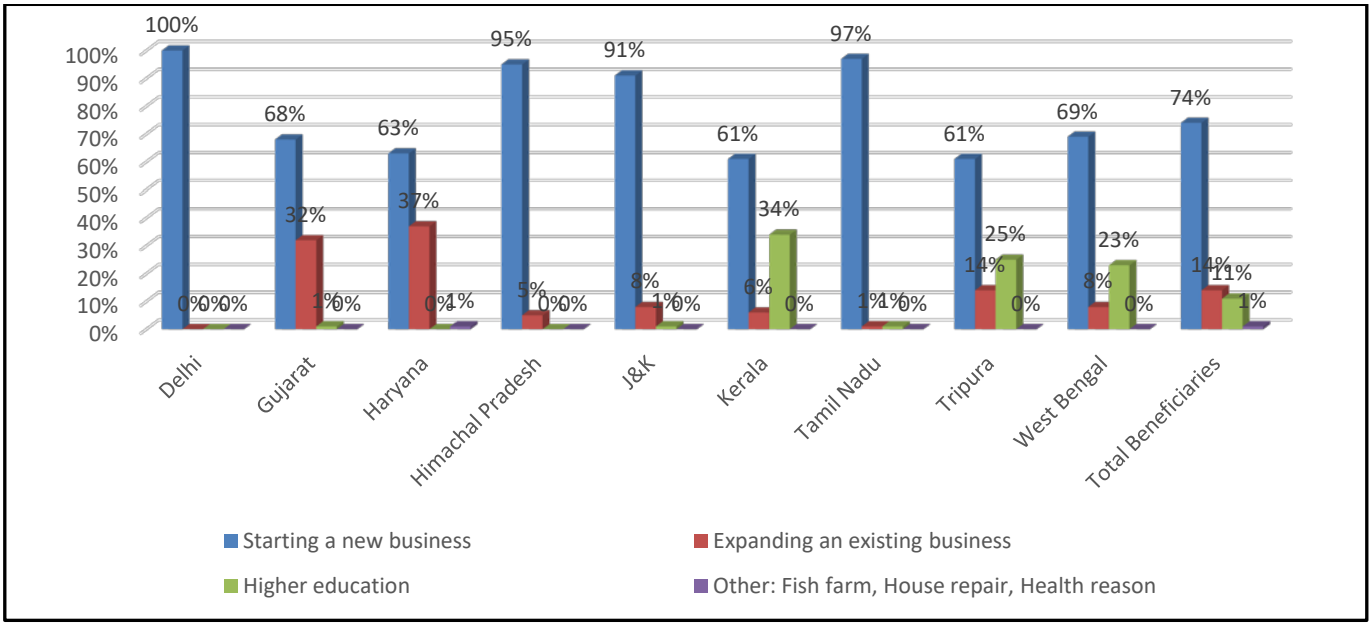


Figure 6.11: Purpose of taking the loans

6.5.4 Need for additional credit after receiving the loan under the NMDFC Schemes and Source of Extra credit

The beneficiaries were asked whether the loan amount sanctioned was sufficient, or they felt a need for extra credit. If any required, how did they managed the additional requirements?. It was found that most of the beneficiaries (89%) were satisfied with the amount sanctioned and did not feel the need for extra credit, as shown in Table 6.12. Upto11% of the beneficiaries, mostly from Gujarat (21%), Haryana (12%), Tripura (42%), and West Bengal (8%) required additional credit. Sources used for meeting the extra credit were: a) loan was taken from money lenders, b)loan is taken from friends/relatives, c) self or family member. Mostly, additional credit requirements were met through a loan from friends/relatives (66%).

Table 6.12: Need for additional credit and source for extra credit

	Need for additional credit		If 'Yes', how did you manage the additional credit			
States	**Yes**	**No**	**Money lender**	**Friend/relative**	**Additional loan not taken**	**Other: Family issues, Own issues**
Delhi	0%	100%	0%	0%	0%	0%
Gujarat	21%	79%	3%	83%	14%	0%
Haryana	12%	88%	8%	77%	15%	0%
Himachal Pradesh	0%	100%	0%	0%	0%	0%
J&K	3%	97%	0%	73%	27%	0%
Kerala	1%	99%	0%	25%	75%	0%
Tamil Nadu	1%	99%	0%	100%	0%	0%
Tripura	42%	58%	4%	60%	26%	11%
West Bengal	8%	93%	5%	55%	30%	10%
Total Beneficiaries	**11%**	**89%**	**4%**	**66%**	**24%**	**7%**

6.5.5 Status of successful loan repayments and model of repayments

The study also tries to understand whether the beneficiaries successfully repaid the loans and if paid the payment channel preferred by the beneficiaries. Upto85% of the beneficiaries successfully repaid the loans, while 15% faced problems in repayments, as shown in Table 6.14. Most of the beneficiaries who faced repayment problems were from Gujarat (45%) and Tripura (50%). 13% of beneficiaries from Haryana also faced repayment problems. Most of the beneficiaries used cash (48%) and cheque (45%) as the repayments mode, as shown in Table 6.13.

Table 6.13: Status of successful loan repayments and model of repayments

	Able to successfully pay the loan installment		Mode of repayment of the loan			
States	**Yes**	**No**	**Cash**	**Cheque**	**Draft**	**RTGS**
Delhi	100%	0%	0%	100%	0%	0%
Gujarat	55%	45%	80%	11%	5%	4%
Haryana	87%	13%	68%	30%	0%	1%
Himachal Pradesh	100%	0%	36%	60%	3%	0%
J&K	91%	9%	2%	97%	1%	0%
Kerala	100%	0%	87%	12%	0%	1%
Tamil Nadu	100%	0%	34%	66%	0%	0%
Tripura	50%	50%	29%	61%	0%	11%
West Bengal	95%	5%	46%	29%	0%	24%
Total Beneficiaries	**85%**	**15%**	**48%**	**45%**	**1%**	**6%**

The study also gathered the information to know how/where the beneficiaries repaid their loans. Most of the beneficiaries (56%) indicated repaying at the banks. About 27% of the beneficiaries

also indicated repaying at the district office of SCAs, as shown in Table 6.14. Only 1% each of the beneficiaries repaid through recovery agents or field officers of SCAs. 11% of the beneficiaries also used the post office, block office, etc., for repayments. These were mostly from Tripura (17%), West Bengal (24%), Himachal Pradesh (21%), and Gujarat (11%).

Table 6.14: Repayment channel for the loans used by the beneficiaries

Repayment Channel	Bank	Head office of SCA	District office of SCA	Field office of SCA	Recovery agent	Other: Post Office, Block Office, etc.
Delhi	100%	0%	0%	0%	0%	0%
Gujarat	83%	0%	1%	2%	2%	11%
Haryana	40%	2%	47%	1%	0%	9%
Himachal Pradesh	22%	3%	53%	0%	0%	21%
J&K	45%	2%	51%	0%	1%	1%
Kerala	97%	0%	3%	0%	0%	0%
Tamil Nadu	68%	0%	32%	0%	0%	0%
Tripura	36%	25%	21%	0%	1%	17%
West Bengal	57%	4%	14%	1%	0%	24%
Total Beneficiaries	**56%**	**4%**	**27%**	**1%**	**1%**	**11%**

6.5.5 Reason for being the defaulter

Some of the beneficiaries found difficulty in paying the installments. The reasons for the late repayments or defaulting the repayments were collected from the beneficiaries. The reasons included: a) COVID-19/Corona/lockdown, b) Course not completed, c) Not having enough Fund, d) loss in business and e) Needing extra time given. 51 % of the beneficiaries gave COVID-19/Corona/lockdown as the reason for defaulting the repayments. 20% and 19% of the beneficiaries, respectively, gave the reasons as “the course not over” and “fund scarcity,” as shown in Table 6.15

Table 6.15: Reasons for defaulting the repayments

Reason for being the defaulter	Due to COVID/ Corona/ lockdown not been able to deposit	Course still not completed	Does not have funds	Loss in the business	Needing extra time
Delhi	17%	0%	33%	50%	0%
Gujarat	74%	0%	21%	5%	0%
Haryana	55%	21%	10%	14%	0%
Himachal Pradesh	60%	26%	11%	4%	0%
J&K	62%	19%	15%	0%	4%
Kerala	33%	33%	33%	0%	0%
Tamil Nadu	44%	16%	34%	6%	0%
Tripura	32%	23%	18%	23%	5%
West Bengal	27%	36%	18%	18%	0%
Total Beneficiaries	**51%**	**20%**	**19%**	**9%**	**1%**

6.5.6 Action taken by the SCA in case of default?

Beneficiaries were requested to provide information on any action taken by the SCAs against the default in repayments of loans. 98% of the beneficiaries denied any action while 2% of the beneficiaries confirmed that action was taken by the SCAs, as shown in Figure 6.12

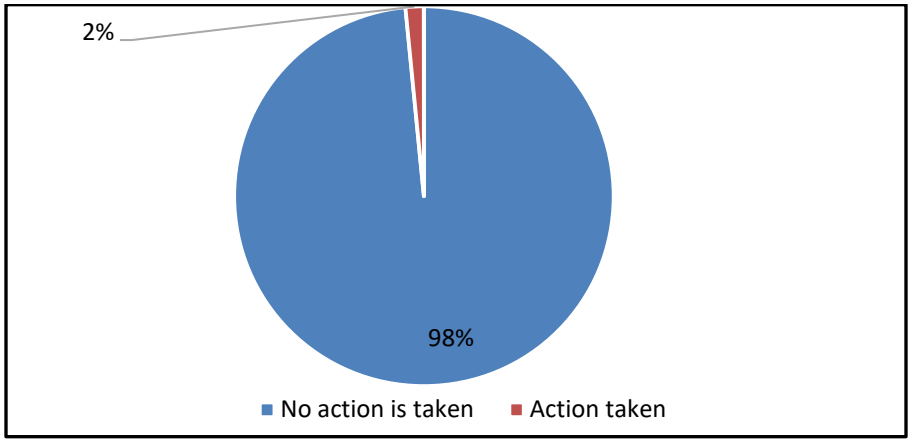


Figure 6.12: Action taken by the SCAs aginst the default in repayment of loans

6.5.7 Employment generation by the beneficiary unit

(a) Number of people employed in the unit

The performance of the business unit was analyzed in this section. The benficiaries were requested to furnish the information on number of perople employed, the average wage given to the employee, and the duration of the employment given in months per year. Mostly one extra person is employed by most of the beneficiaries (70%), or business is handled by self (18%). 12% of the beneficiaries, though employed 2-5 person also, as shown in Table 6.16. Most of the beneficiaries from Delhi (85%), Himachal Pradesh (75%), and Tamil Nadu (84%) did not employ anyone. While, more than 70% of the remaining target states employed one. Tripura (28%) and J&K (27%) are major states having employed 2 to 5 persons.

Table 6.16: Number of people employed

States	None	Only 1	2 to 5	More than 5
Delhi	85%	10%	5%	0%
Gujarat	1%	89%	10%	0%
Haryana	0%	92%	8%	0%
Himachal Pradesh	75%	24%	2%	0%
J&K	0%	73%	27%	0%
Kerala	0%	90%	10%	0%
Tamil Nadu	84%	15%	1%	0%
Tripura	0%	70%	28%	3%
West Bengal	12%	78%	9%	1%
Total Beneficiaries	**18%**	**70%**	**12%**	**0%**

(b) Average monthly salary given to employee in the unit

74% of the overall beneficiaries gave up to Rs.5000 as an average monthly salary, and 24% gave between Rs. 5000 to 10000. State-wise, more than 65% of all states' beneficiaries gave away the average salary up to Rs. 5000. Beneficiaries from Kerala (70%), J&K (41%), Tripura (30%), Haryana (24%), etc., gave Rs. 5000 to 10000 as an average salary, as shown in Figure 6.13.

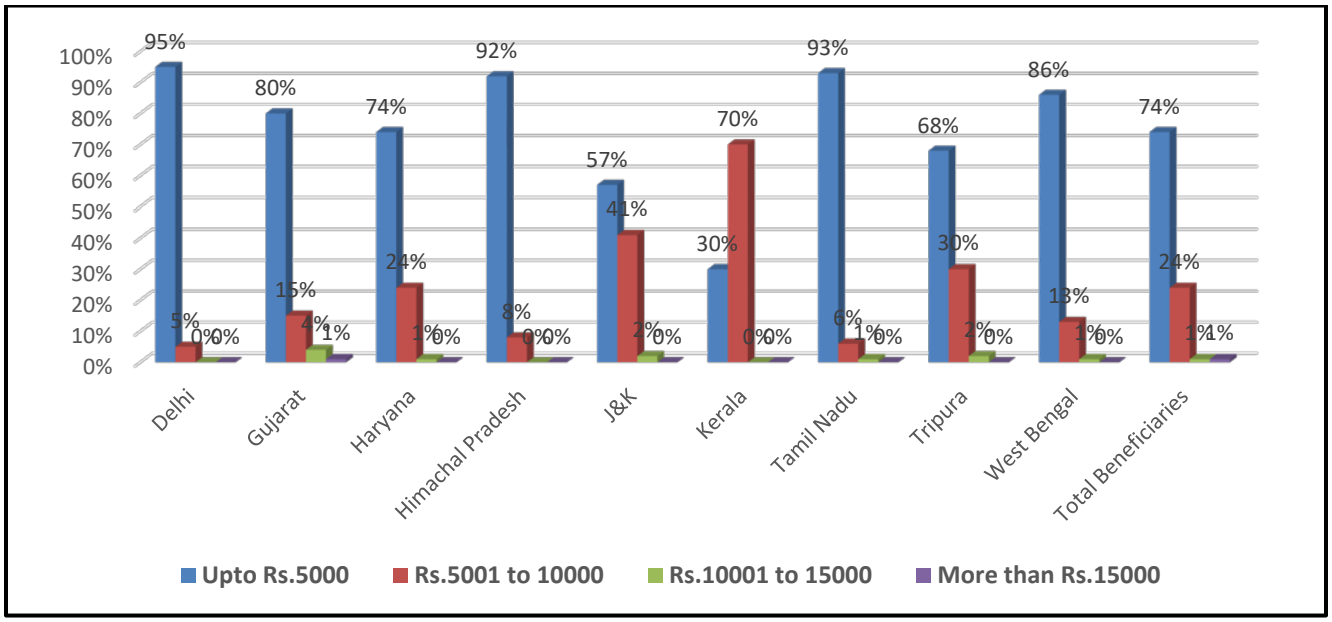


Figure 6.13: Average wage rate given to the employee by the beneficiaries.

(c) Average months (in a year) for which employment is provided

68% of the overall beneficiaries provided employments for an average of 10-12 months, and 20 % gave between 1-3 months. State-wise, beneficiaries from Gujarat (94%), Haryana (90%), Kerala (98%), Tripura (89%), and West Bengal (82%) provided employments for 10-12 months. Beneficiaries from Delhi (90%), Himachal Pradesh (70%), and Tamil Nadu (85%) gave employment for 1-3 months, while beneficiaries from J&K (40%) gave away jobs for 4-6 months, as shown in Figure 6.14.

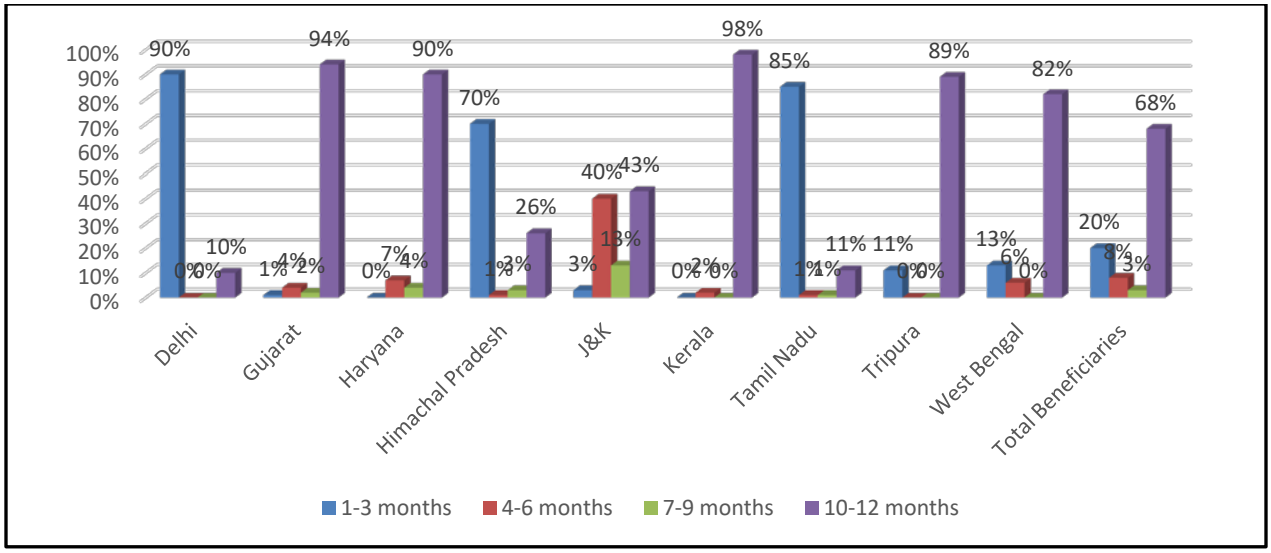


Figure 6.14: Duration in months per year of employments given by the beneficiaries.

6.5.8 Details of assets created/utilized and the intended purpose of the loan

The beneficiaries were asked to provide the details of the asset created or the purpose of using the loans see Figure 6.15. The loan was primarily utilized for the following purposes: a) working capital (60%), b) raw materials (59%), c) machinery (46%), d) tools and equipment (44%), and e) furniture and fixtures (35%).

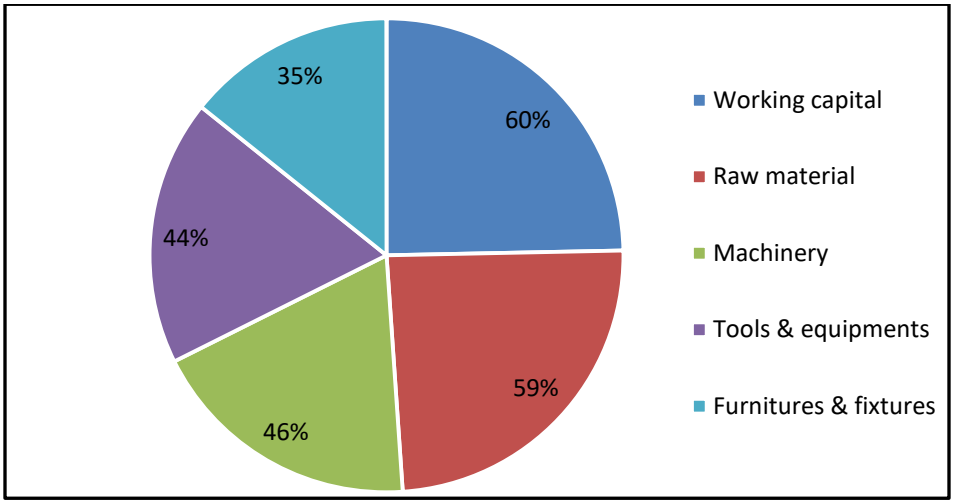


Figure 6.15: Purpose /utilization of the loans

6.5.9 Success of the Unit for which loan is taken

This section focuses on knowing the status of the business unit, and if unsuccessful, collected the reason for the sickness. Upto 84% of the beneficiaries indicated business's successfully running as contrary to 16% being unsuccessful, as shown in Figure 6.16.

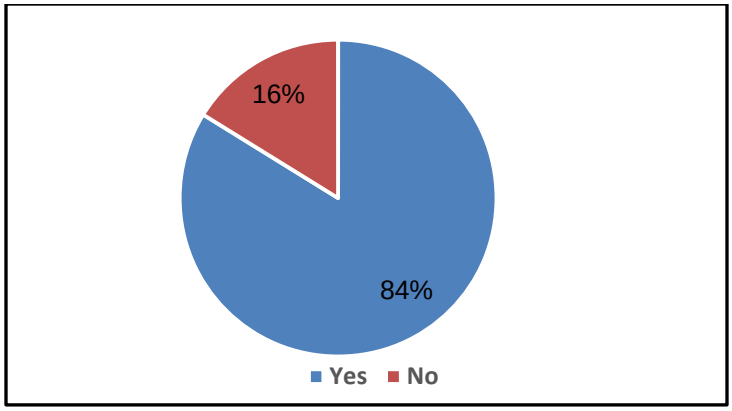


Figure 6.16: Status of the business unit (whether successful)

16% of the beneficiaries indicated the sickness of their business units. The reasons for the sickness found were: a) fund utilized for some other purpose (28%), b) health problems (19%), c) non-recovery of credit given in business (47%), d) competition (47%), e) working capital problem (57%), f) selection of wrong project (36%), as presented in Figure 6.17. Working capital was observed as one of the main reason for the sickness of the business unit.

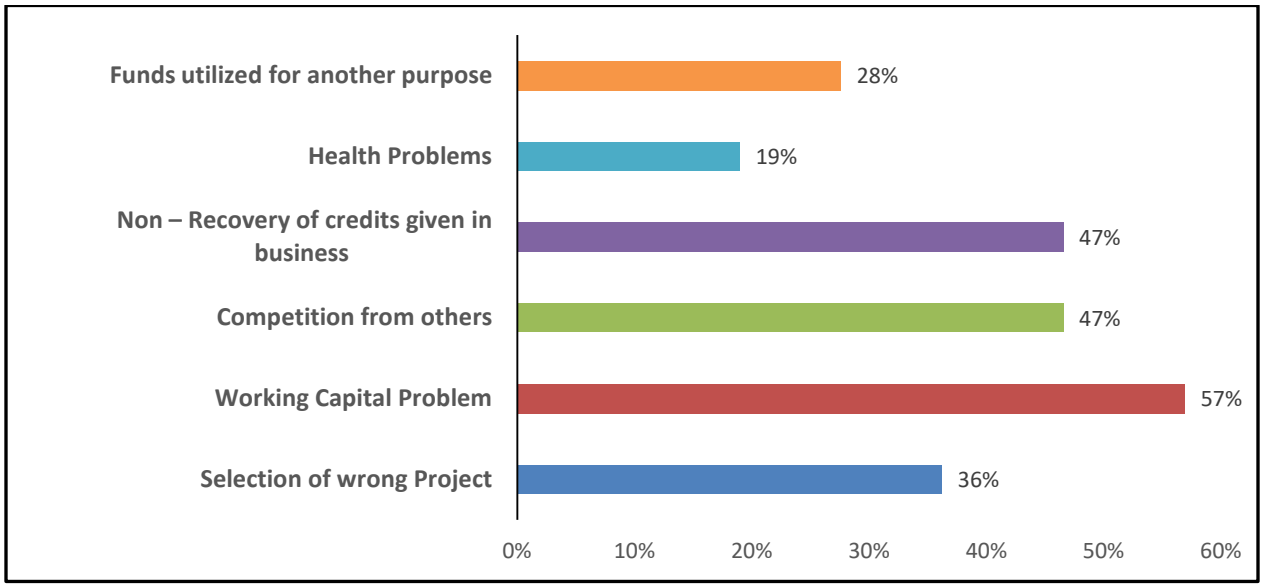


Figure 6.17: Reasons for the sickness of the business unit.

State-wise data reveals that beneficiries from Gujarat mostly face family issues, selection of wrong project, and working capital as the reasons for sickness of the unit. While beneficiaries from delhi faced Non-recovery of crdiet given for business as the main reason. Haryana face family issue as the main reasons while beneficiaries frpm HP utilized Fund for another purpose, as shown in Figure 6.17A.

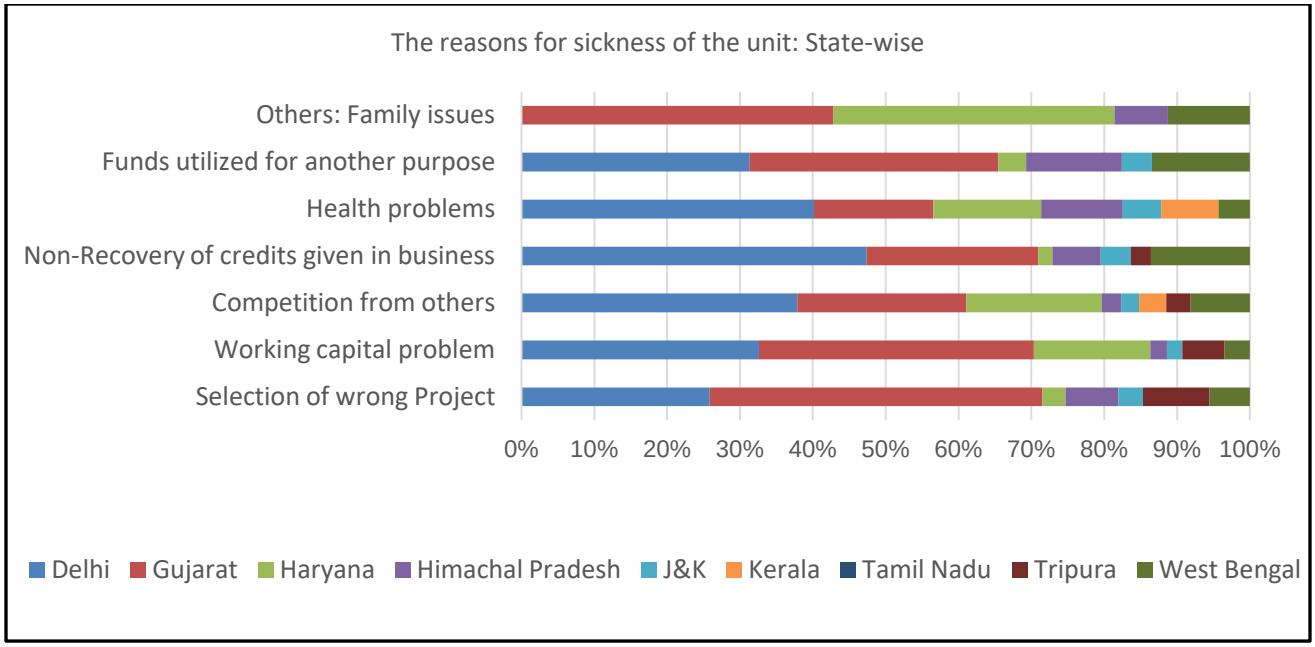


Figure 6.17A: Reasons for the sickness of the business unit state-wise

6.5.10 **Disbursement of the Education loan**

The beneficiaries were asked whether the sactioned education loan was given to them or disbursed directly to the institute. 83% of the beneficiaries confirmed getting the education loan disbursed to them, while 17 % indicated being disbursed directly to the institute, as shown in Figure 6.18.

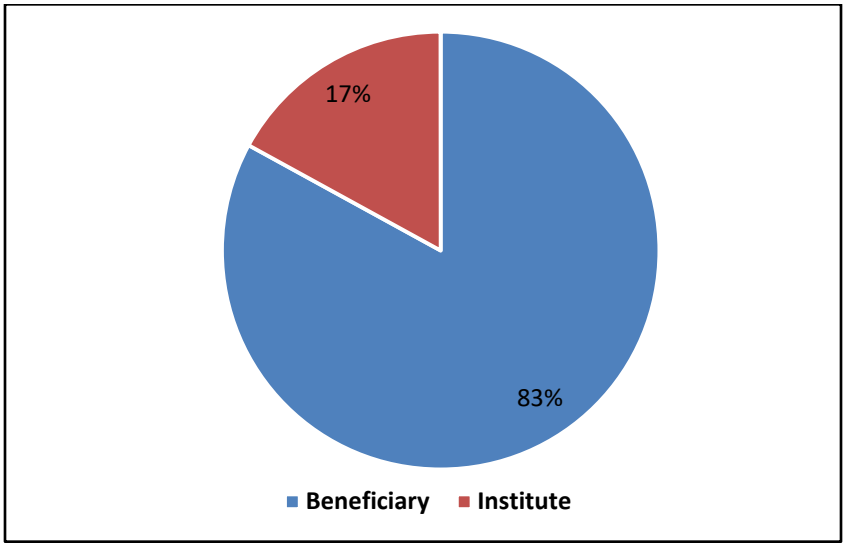


Figure 6.18: Education loan disbursed to beneficiaries or institute

6.6 Overall impact of NMDFC scheme

The study measures the performance of the NMDFC schemes in this section on different parameters like impact on a) Average income, b) average savings, c) education level, d) Nature/type of work, e) Overall satisfaction level of beneficiaries on different parameters.

6.6.1. Average Income before and after joining the scheme

The impact on average income is a performance indicator; thus, respondents (beneficiaries) were asked to mention their average income before and after joining the scheme. It can be observed from Figure 6.19 that the beneficiaries' average income is enhanced. 45% of the beneficiaries were not earning anything, but after the help from the NMDFC schemes, it reduced to 9%. 36% of more beneficiaries started to earn after getting help from NMDFC. Only 4% of beneficiaries were making more than Rs 10000 before joining the scheme, but 29% started to earn more than Rs. 10000 after joining the scheme. 22% of the beneficiaries were earning an average income of more than Rs 5000 before joining the scheme, but after joining the schemes, 68% of the beneficiaries started to make more than Rs 5000.

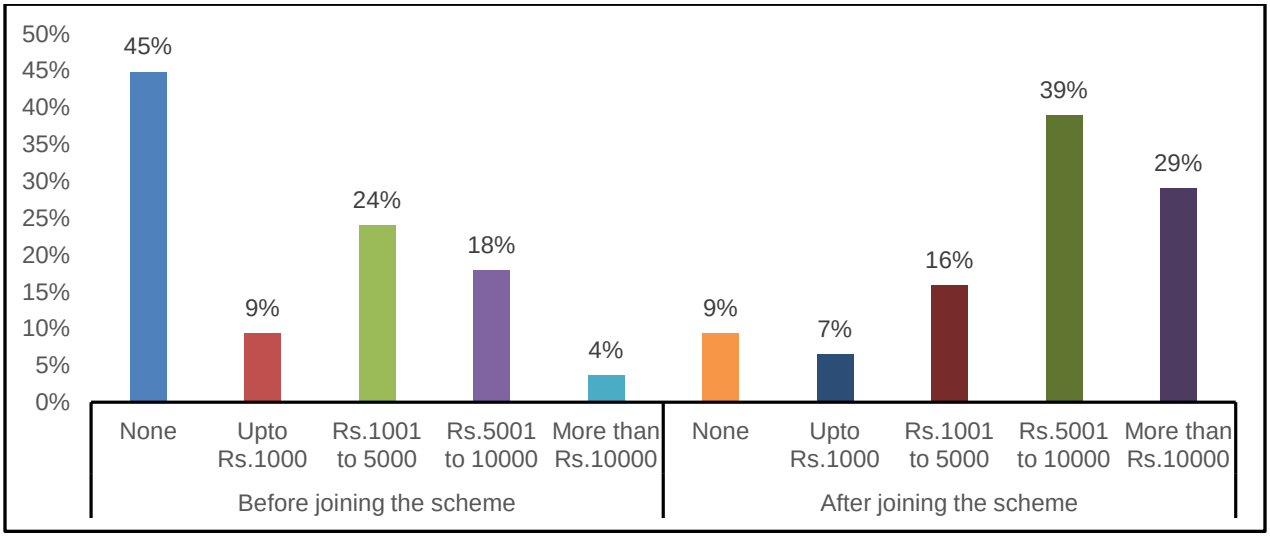


Figure 6.19: Average income of the beneficiaries before and after joining the scheme

6.6.2. Average savings per month before and after joining the scheme

The overall impact of the NMDFC scheme was measured through the change in average savings of the beneficiaries before and after joining the schemes. The collected information from the beneficiaries is presented in Figure 6.20. Most of the beneficiaries started to save from earning after joining the scheme compared to before, as shown in Figure 6.20. 63% of the beneficiaries could not save before joining as compare to 20% after joining the scheme, thus an increase of 43 % of the beneficiaries who started to save. Similarly, 1 % of the beneficiaries saved money more than Rs 5000 before joining the scheme rose to 40% of the beneficiaries saving money more than Rs 5000 after joining the scheme.

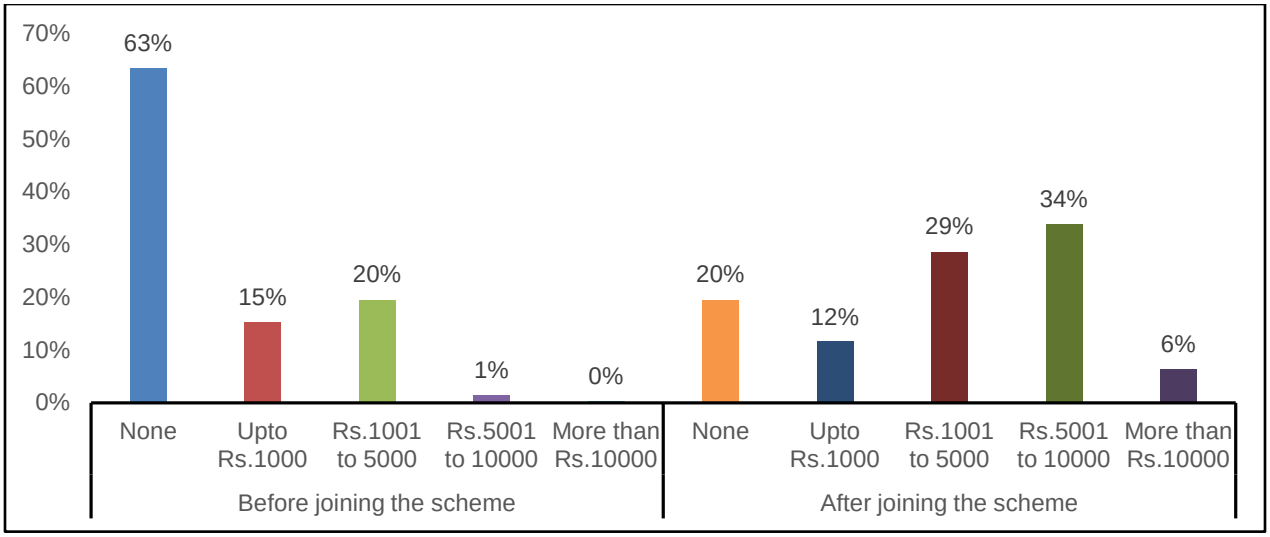


Figure 6.20: Average savings of the beneficiaries before and after joining the scheme

6.6.3. Education level before and after joining the scheme

The scheme provides education loans to the beneficiaries for higher education. Thus education level is also used as a performance indicator. Figure 6.21 indicated that 35% of the beneficiaries has acquired higher or technical education like engineering, medical, Management, etc., after availing of the loans through NMDFC schemes.

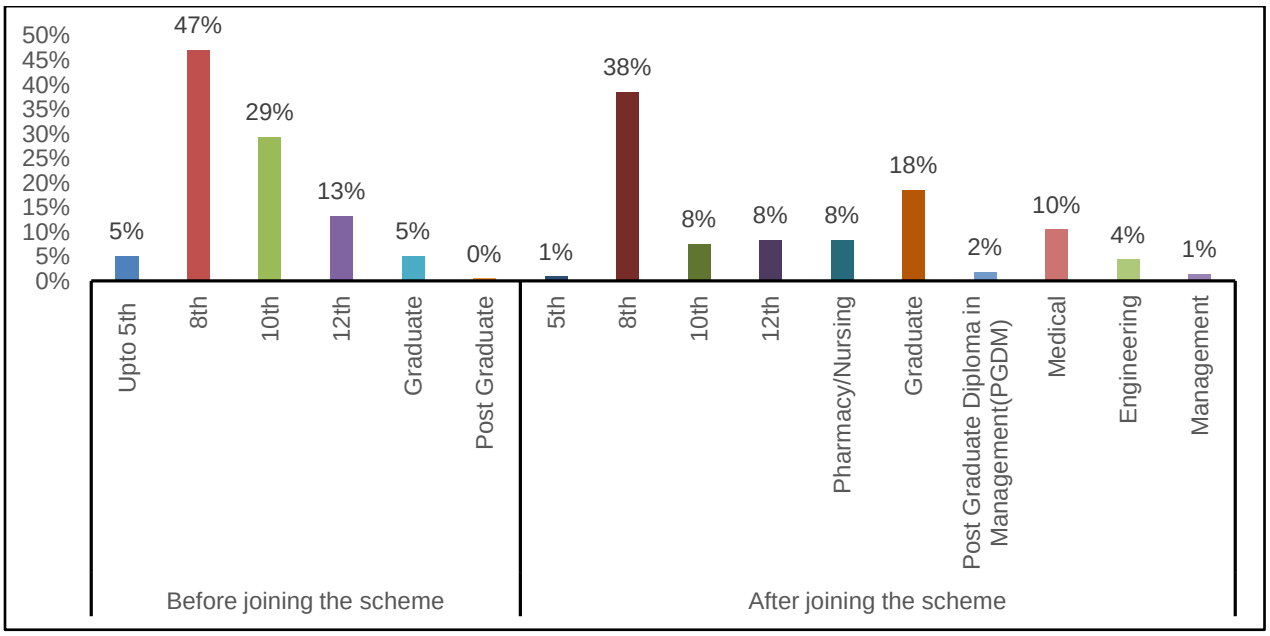


Figure 6.21: Education level of the beneficiaries before and after joining the scheme

6.6.4. Nature of job/work before and after joining the scheme

Since three different types of credit-based schemes are provided through the NMDFC at a very minimal interest rate, thus it is pertinent that proper utilization may enhance the type/nature of job/work done by the beneficiaries. 46% of the Beneficiaries doing nothing before have started to

earn and do better after availing of the help from NMDFC schemes. Most of the beneficiaries (42%) started their own business units, as shown in Figure 6.22.

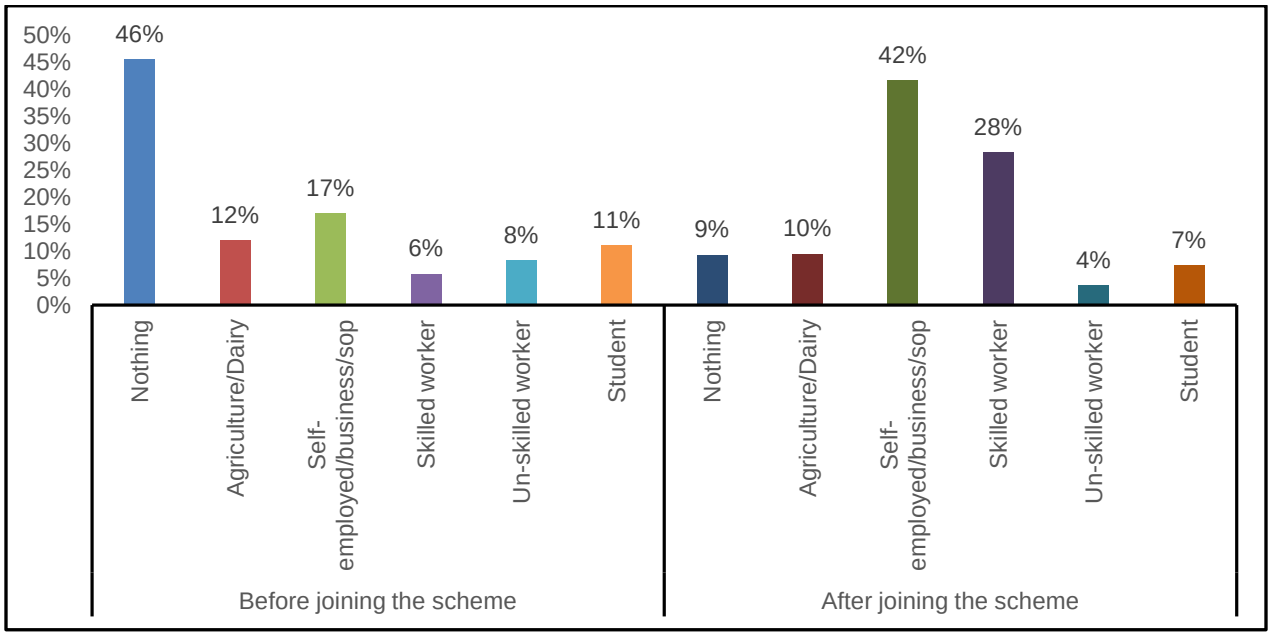


Figure 6.22: Nature of job/work of the beneficiaries before and after joining the scheme

6.6.5. Benefits derived through NMDFC Scheme

The beneficiaries were requested to give information on the overall support they received through NMDFC schemes. The data obtained was compiled and is presented in Figure 6.23. The NMDFC schemes helped the beneficiaries in a) self-dependence (42%), b) Increase in skills (58%), c) improved social prestige (88%), d) better educational facilities (70%), e) better health (85%), f) increase in saving (85%), g) increase in income (90%),h) increase in desire for self-employments (81%). The most important help received by the beneficiaries is the increase in income, increase in saving, social prestige, and desire for self-employment.

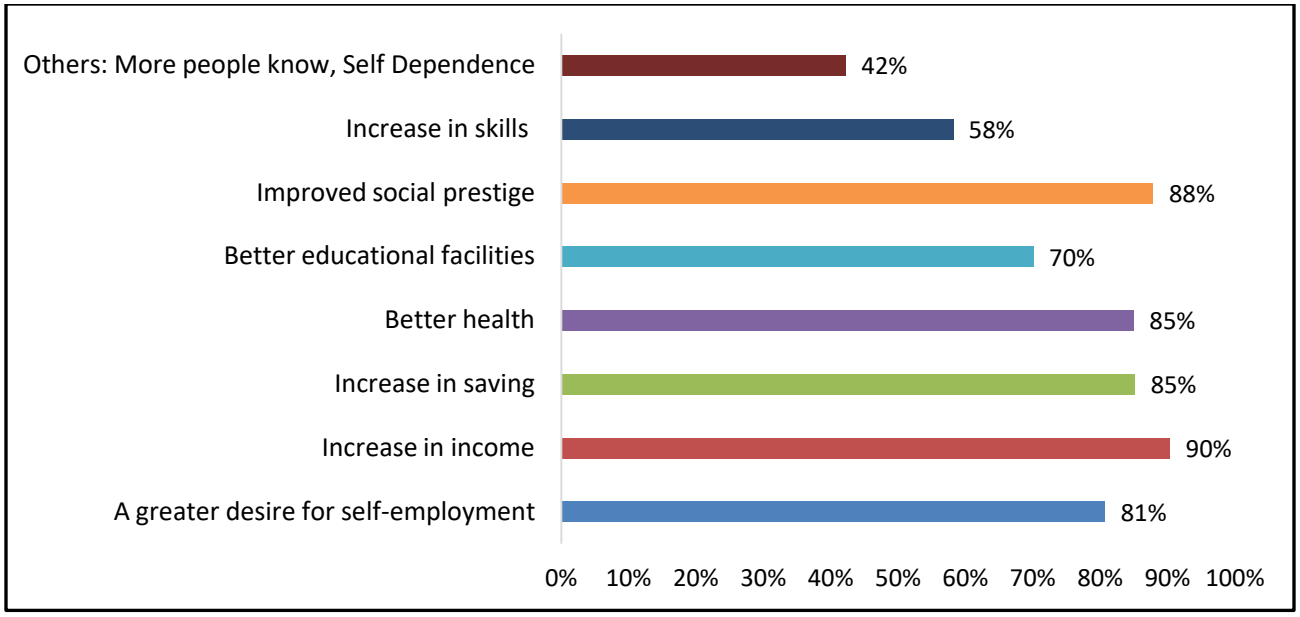


Figure 6.23: Different help (improvement) in Beneficiaries through NMDFC schemes

6.6.6. Overall satisfaction with the scheme

The beneficiaries were requested to rate their satisfaction level on different performance and operational indicators on a scale of 5. More than 75% of the beneficiaries were very or highly satisfied, as shown in Figure 6.24. The indicators used were a) loaning process, b) disbursement of loans, c) living standard, d) type of work, e) increase in income, and f) social prestige.

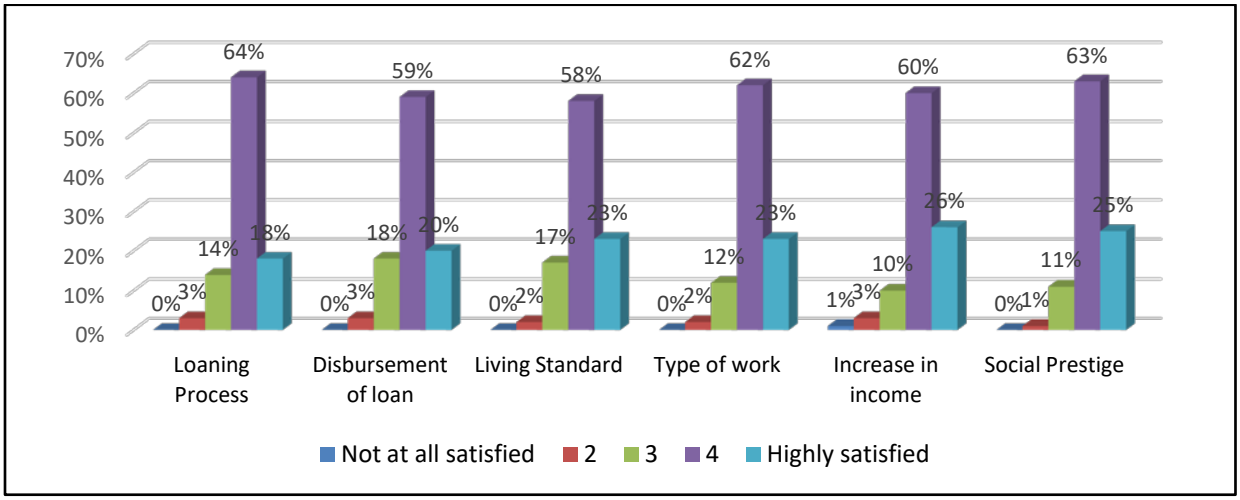


Figure 6.24: Satisfaction level of beneficiaries on different parameters

6.7 Problem areas and suggestions for improvement

This section compiles the information on the beneficiaries' problems and outlines the problem areas received from the beneficiaries. Beneficiaries were also request to give suggestion for the improvement

6.7.1. Difficulty/ procedural delays in getting the loan?

The beneficiaries were asked whether they faced any difficulty or procedural delay in getting the loans. 89% of the beneficiaries denied any difficulty or procedural delay in getting the loans, while 11% confirmed the existence of such problems, as shown in Figure 6.25.

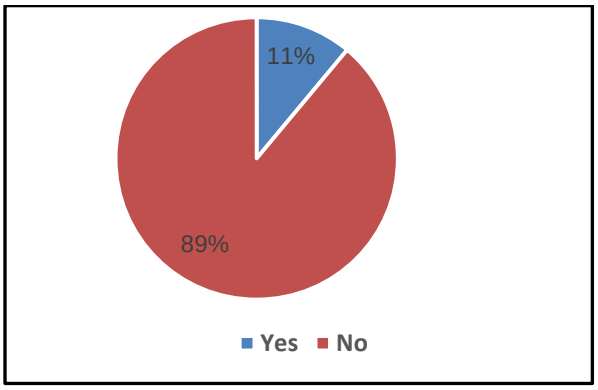


Figure 6.25: Any difficulty/procedural delays in getting the loans

6.7.2. If 'Yes' explain the type of difficulty

The previous section indicated 11% of the beneficiaries faced difficulty in getting the loans from the SCAs. Thus beneficiaries were further requested to give the type of problem they faced in getting the loans. The different problems faced are presented in Figure 6.26. most important issues were a) repeat visits (66%), b) providing required documents (52%), c) security for the loan (50%), d) attitude of the officials (50%), and e) time taken for loan approval and loan processing fee (17%).

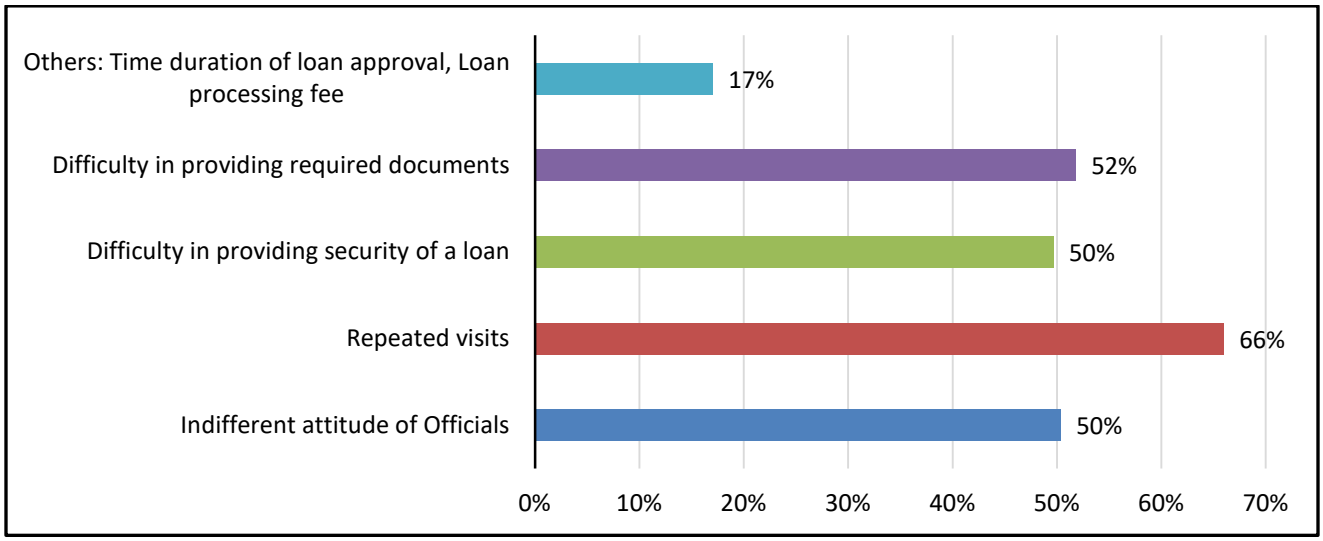


Figure 6.26: Type of difficulty faced in getting the loans

6.7.3. Suggestions for improvement

The beneficiaries were requested to give suggestions based on their experience and highlight the area of improvement. Figure 6.27 reflects the scope for improvement in NMDFC schemes based

on the feedback of the beneficiaries. 27% of the beneficiaries stressed on the margin money, while 22% each emphasized on loan amount sanctioned and time taken for disbursements. 20% of the beneficiaries indicated to increase the duration of repayments.

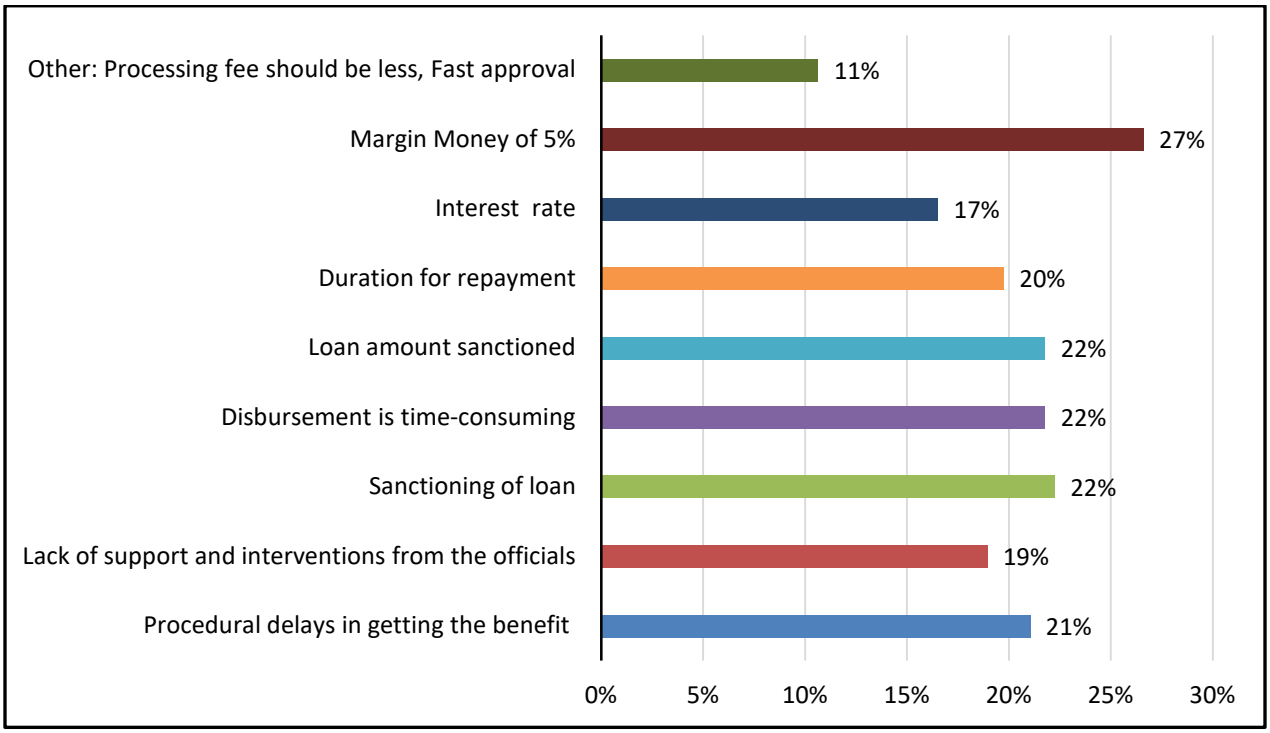


Figure 6.27: Suggestions for improvement from beneficiaries

6.8 Conclusion

This chapter presented the analysis of the demographics of the beneficiaries in terms of their Age, Gender, Marital status, educational classification, minority categories, location, annual income, and any skill training undergone, the sources of awareness of the NMDFC Schemes, the impact of credit-based NMDFC scheme analysis, the channel for application of the loans, loan amount applied, sanctioned and finally disbursed, mode of repayments, problems faced in repayments, number of installments taken by beneficiaries to repay the loans, etc. The impact of NMDFC schemes on the average income, average savings, education level, type of work/job of the beneficiaries, and overall satisfaction of the beneficiaries on different performance and operational indicators. Difficulties in getting the loans and the problem faced, and suggestions for Improvement of the NMDFC schemes were also analyzed in this section. The feedbacks received from the SCAs are analyzed in the next chapter.

CHAPTER-7

STAKEHOLDER RESPONSE DATA ANALYSIS

7.1 Introduction

The State Channelising Agencies (SCAs) are the main channel for implementing the schemes of NMDFC. The individual beneficiaries are assisted through the SCAs under the Term Loan, Educational Loan, and Micro Finance Schemes & Mahila Samridhi Yojana of NMDFC. The SCAs are nominated by the respective State Governments / UT Administrations. The objectives of the NMDFC Scheme are (i) To finance income-generating schemes of eligible Minority Community persons through State Channelizing Agencies (SCAs) nominated by the State Governments/UT Administration and other Channelizing Agencies (SCAs) (ii) To provide Educational Loans to the target group through SCAs for pursuing full- time professional/technical education through recognized institutions. (iii) To provide loans to the target group through SCAs and for pursuing employment linked Vocational Education & skill Training Courses (iv) To provide grants for Skill Development Training Programmes of the target group (v) To organize/participate in the Exhibitions cum Fairs for the marketing of the products of beneficiaries. Keeping these objectives of the scheme and terms of reference in view, data was collected on the different parameters/dimensions of the schemes from SCA's. In all, 15 State Channelizing Agencies (SCA) were part of this study from nine states across India. The data was collected in August-October 2020 after having detailed discussions with SCA. The data was collected using a discussion guide, which is in line with the study objectives.

Analysis of the data is presented in subsequent sections of this chapter. Background in the form of Demographics are covered in section 7.2, Review of Eligibility Criteria is discussed in section 7.3, while Evaluation of Recovery Mechanism is discussed in section 7.4. Publicity & Advertisement in section 7.5, level of computerization of SCA's in section 7.6, Relevance wrt other schemes in 7.7., Sanction & disbursement of loans is covered in section 7.8, fund utilization in Section 7.9., review of organization structure in section 7.10, impact of the scheme in Section 7.11., Problems faced and suggestions for improvement in Section 7.12 and finally concluded in section 7.13.

7.2Demographics

7.2.1 Name of the SCA covered for the purpose of the study

S. No	Name of the SCA	State
1	Punjab Backward Classes Land Development and Finance Corporation (BACKFINCO)	Punjab
2	Chandigarh SC, BC & Minorities Finance & Development Corporation Ltd	Chandigarh
3	Chhattisgarh State Antyavasai Sahakari Vitta Evum Vikas Nigam	Chhattisgarh
4	Delhi SC/ST/OBC Minorities & Handicapped & Development Corporation Limited	Delhi

5	Gujarat Minority Finance and Development Corporation. Ltd	Gujarat
6	Mewat Development Agency	Haryana
7	Haryana Backward Classes and Economically Weaker Section and Kalyan Nigam	Haryana
8	H.P. Minorities Finance & Development Corporation	Himachal Pradesh
9	Jammu & Kashmir Entrepreneurship Development Institute	J&K
10	J&K Women's Development Corporation	J&K
11	Kerala State Cooperative Federation for Fisheries Development Ltd. (MATSYAFED)	Kerala
12	Kerala State Minorities Development Finance Corporation	Kerala
13	Tamil Nadu Minorities Economic Development Corporation	Tamil Nadu
14	Tripura Minorities Cooperative Development Corporation Limited	Tripura
15	The Kerala State Women's Development Corporation Ltd.	Kerala

7.2.2 Is the SCA operating through other agency(s):

SCAs are responsible for the implementation of the scheme on the ground. It was observed that some SCAs operate the scheme through some other agency, as shown in Figure 7.1. Though most of the SCAs (87%) implement the scheme themselves, while still overall, 13% of the SCAs implement through other agencies in the state.

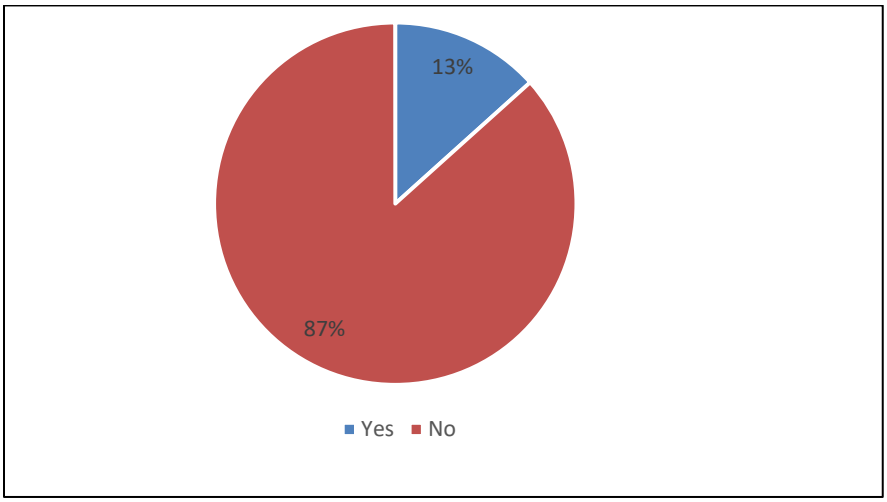


Figure 7.1: percentage of SCA operating the scheme through other agency

7.2.3 If yes, type of operation of other agency(s)

The District Central Co-operative Banks and Urban Banks are the external agency whom the SCAs (overall 13%), as in Figure 7.1, collaborate to implement the scheme.

7.3 Review of Eligibility Criteria

To review the eligibility criteria including income criteria, desirability or otherwise of Minority Community and suggest the changes, if required.

Overall insights across the states include

- For education loans, the loan condition should be relaxed from Rs. 4.00 lakhs per annum in India and Rs. 6.00 lakhs per annum in aboard
- In North east special category state under North Eastern Council, the present funding pattern of 90:5:5 should be changed
- A provision for bad debts should be made by NMDFC based on the loan disbursed by each state
- A rebate of 0.5% may be given to beneficiaries who make timely repayment
- For Virasat Scheme and Kaushal se kushalta scheme, NMDFC should provide some fund to SCA for the purpose of identification of artisans in the state

For Term Loan, Interest rate may be reduced and moratorium may be granted in the context of COVID-19 because the livelihoods in the fisheries sector have been severely affected. In addition to monetary assistance, beneficiaries need assistance in setting up their ventures. In order to sell the final product, market linkage facilities are also necessary. Annual family income of the applicant from all the sources, at present is Rs 1.25 lakh which is not at par with NMDFC, NBC office where it is Rs 3 lakh. This criterion is unrealistic in Delhi where cost of living is much higher and the minimum wages are also higher. For a metropolitan, the criteria should be different. Also, subsidy may be given under the schemes. 100% share to be bear by the NMDFC because the state Government is not providing 5% contribution and rate of interest could be reduced.1% lower interest rate can be charged to women beneficiaries.

For Education Loan, Guarantee is main hurdle for actual beneficiary who wants to pursue higher education. A person having annual income up to 120000/- cannot avail loan up to 20 lacs. For providing education loan, the allocation of fund is made to an extent of 10% only which should be flexible keeping in view with quantum of loan. This slab of Rs 20 lakh and Rs 30 lakh should be only for student studying abroad. The condition should be relaxed from Rs. 4.00 lakhs per annum in India and Rs. 6.00 lakhs per annum in aboard. The loan limit for EL in India, may be increased to 30 Lakhs to meet the fee requirement of certain professional courses such as MBBS.

Tripura SCAs suggested that Tripura belongs to a special category state under North Eastern Council, presently funding pattern is 90:5:5 and it should be changed. A suggestion came towards providing 100% fund by the NMDFC and rate of interest charged by NMDFC may be made to 1% for all schemes. In OBC Creamy layer the income limit is Rs. 8.00 Lakhs further benefit under Economic Weaker Section is given upto Rs.8 Lakhs. Based on this, income criteria for minority loan

may be increased from Rs 6 Lakhs to Rs 8 Lakhs. Recovery of loan from beneficiaries is only 84 to 85% to SCAs, whereas SCAs are making 100% repayment to NMDFC. It should be better to reduce the rate of interest in this pandemic situation and extension of moratorium period. A rebate of may be given to beneficiaries who make lump-sum repayment. A moratorium of 6 months may be given considering the present pandemic situation. Also Subsidy can be provided for loans. Education loan should be interest free for the North Eastern States.

For Micro Financing, Interest subvention schemes may be introduced to save the fisheries sector from interest burden or Interest rate shall be reduced and moratorium may be given in the context of COVID-19 since the livelihood in Fisheries sector has been seriously affected. Micro-financing should also be routed through SCA. The corporation can also lend to (SHG) and group members. Like other National Corporations NBCFDC, NSFDC etc, the eligibility for sanction may be given to accept groups with at-least 60% of Minority community as it is extremely difficult to identify groups with present condition of 70: 30 ratio. Age limit can be specified for Micro Finance loan beneficiaries.

For Virasat Scheme, NMDFC should provide some fund to SCA for the purpose of identification of artisans in the state. This scheme is not yet implemented by most of the SCAs.

For Mahilasamridhi Yojana, the number of the beneficiaries to be imparted training under MSY may be increased as the SCA faces difficulty in effective implementation of the schemes. Keeping in view the cost escalation in rates, training expenses may be enhanced from Rs. 1500 to Rs. 2500 and similarly stipend may also be increased from Rs. 1000 to 1500 per month. Micro-financing should also be routed through SCA. Allow lending that can be done even without training and direct loan can be given to the trained beneficiary. This scheme is not yet implemented by many other SCAs.

For Kaushal se Kushalta Scheme, a lot of paper work is involved for training agency, Pre-requisite such as Empanelment by NSDC/ related Sector Skill Council/ State Skill Mission/ Directorate of Technical Education, having proper infrastructure and trained staff is sufficient for agency who wants to conduct skill development training. However, NMDFC should provide some fund to SCA for the purpose of identification of artisans in the state. This scheme has reported good response in few states. Under this scheme, 5 institutions for 5 trades of 570 candidates for sum of Rs 76 Lakhs was sanctioned. It is suggested that annual allocation for each state may be fixed for which proposals may be sent by SCA's and viable trades may be sanctioned by NMDFC.

The Marketing Assistance scheme, has reportedly not been implemented by most SCAs.

7.4 Evaluation of Recovery Mechanism

7.4.1 Loan recovery measures, systems and procedures

Overall insights across the states include

- Loan schemes are implemented through their primary cooperatives
- Outsourced agents are hired for recoveries
- In cases of defaulters, field officer initiates the proceeding under land Revenue.
- As a last resort, the field officer files a complaint under section of Negotiable Instrument Act 1881.
- Some SCAs hae developed software for sending text messages to the beneficiaries as well as notices
- Loan distress relief scheme called Ashwas Benevolent scheme, one time settlement scheme, field recovery drive are conducted to recover funds

Haryana state SCAs reported that loan recovery measures adopted are personal contacting the individuals, following up with them and issuing notices to them where required.

Jammu & Kashmir state SCAs reported that, three major effective recovery mechanisms have been adopted. Firstly, outsourced recovery agents are engaged on temporary arrangements without any claim. They work on adhoc, consolidated or daily Wage and their payments are released after 90% to 100% of recovery. There have been fruitful results from this practice. Secondly, notices are issued from the desk of the Managing Director in favour of the Guarantor's Drawing and Disbursing Officers for the attribution of their respective wages. This technique has proven very fruitful as well. Third, recovery is also achieved through Tehsildar recoveries, and 2% of the recovery received is released in favor of the Tehsildar recoveries concerned. They also reported that District Manager, field officer and field staff contacted the beneficiaries personally and telephonically for the recovery of loans.

Haryana and Kerala State SCAs, reported that loan schemes are implemented through their primary cooperatives in which the beneficiaries are members. The societies are in charge of Project Officers who verify the eligibility of loan applications and forward to district offices where the District Manager places the loan applications before the District Beneficiary Selection Committee. The recommended applications are approved for sanction and funds are requested from head office for release to beneficiaries through the societies. Repayments from beneficiaries are collected at societies and Project Officers in charge of the societies transfer the collected repayment through RTGS to District Office and from District Offices, repayment is transferred to Head Office.

Punjab state SCAs reported that their field staffs are employed for recovery of loans. Field officer is the head of the district field staff. There are three types of measures/procedures adopted to recover the loans. Head office at Chandigarh issues recovery schedule to beneficiary and a copy is forwarded to district field officer for intimation. Field officer issues a recovery notice as per need and field staff telephonically calls the beneficiary to deposit loan installment. In some districts beneficiaries comes to office to deposit the loan installment. In case of defaulter beneficiaries,

field officer visits the beneficiary's location and in some cases field officer initiates the proceeding under land Revenue. Finally, the field officer files a complaint under section of Negotiable Instrument Act 1881.

Delhi state SCAs reported that for security recovery DSFDC takes one Government employees or Collateral security apart from the ECS mandate/post-dated Cheque. In the event of default, recovery is made from the guarantor and criminal case under 138 NIA Act.

H.P. state SCAs reported that notices are given to the defaulters. In future, they are planning to put in place a system to notify the arrears through SMS every month.

Gujarat state SCAs reported that they issue notices to the defaulters and guarantors at regular intervals.

Tripura state SCAs reported that the Corporation has developed software for sending text messages to the beneficiaries as well as notices. The corporation has recovery staff who visits the addresses of the Beneficiaries for recovery of loans.

Chandigarh state SCAs reported that they have a separate recovery cell in which analysis of the beneficiaries done at ground level. Their field officers follow up on regular basis and legal notices from revenue officer are issued.

Chhattisgarh State SCAs reported that according to the existing structure loan applications are submitted by beneficiaries at district offices which are forwarded to the concerned banks, which are then scrutinized by Co-operative banks and these applications, are placed before the District Monitoring Committee under the chairmanship of district collector and eligible applications are recommended and forwarded to TAMCO. TAMCO after perusal, sanctions the loan amount to Co-operative Banks along with the schedule of repayment both for individual and for co-operative banks. These loan amounts received from TAMCO are disbursed by Co-operative banks to beneficiaries. The beneficiary as per the schedule repays to Co-operative banks, which in turn are repaid by co-operative banks to TAMCO after deducting service charges. Every quarter, loan outstanding loan amount that are not paid on due dates are sent to concerned bank and are also placed before the District Monitoring Committee for follow up action. To seek more attention, the list of loan accounts with 0% recoveries are separately sent to banks to take steps to recover the amount from beneficiaries.

Kerala state SCAs reported that Pre Disbursement Counseling is conducted and Beneficiaries are regularly reminded of their date of remittance via telephone calls / SMS. Field visits are carried our fortnightly for defaulters and field inspections are performed on regular basis for project monitoring. Loan distress relief scheme called Ashwas Benevolent scheme, one time settlement scheme, field recovery drive are conducted to recover funds.

7.4.2 Issues and challenges in Loan Recovery

Overall insights across the states include

- SCAs faced difficulty in recovering loan amount in cases like death, migration and failure of business
- Difficulty faced in reaching out to beneficiaries due to tough terrain especially in hilly regions
- Problems also faced with recovering loans due to less or no source of income
- In the event of non-establishment of an entity, the beneficiaries are directed to reimburse the entire loan in one step.
- SCAs suggested that Government can bring out policies that guarantee loan waiver to the beneficiaries
- Low education loan recovery due to migration of the students

Haryana state SCAs reported to be facing difficulty in recovering loan amount in cases like death, migration and failure of business. Mewat Development Agency reported that, as compared to other parts of the country, the problems faced with recovering loans are due to less source of income compared to family sizes, backward area, and no industry.

Jammu & Kashmir state SCAs reported that bouncing of cheques, change of contact numbers by beneficiaries and reaching out to beneficiaries due to tough terrain are the problems and challenges faced with recovering loans. J&K Women's Development Corporation reported that their office conducts post disbursement inspection immediately after releasing the loan to determine whether the beneficiaries have used the loan judiciously for the purpose for which the loan has been sanctioned. In the event of non-establishment of an entity, the beneficiaries are directed to reimburse the entire loan in one step.

Kerala state SCAs, reported issues such as recovery from deliberate defaulters, recovery during calamities, pandemics especially being faced at present due to COVID-19, mismanagement of funds by primary societies resulting in default in repayment, etc.

Punjab state SCAs, reported some issues and challenges which are faced by their field force are: Most of their beneficiaries lived in villages so there is no mode of transportation provided to them to reach in rural area. Time is, therefore, wasted in transportation from one village to another. There is a lack of manpower in the field and no adequate field staff. Most of the field officers are charged additional fees from other districts. Also, Government may bring out policies that guarantee loan waiver to the beneficiaries.

Delhi state SCAs reported no problems or difficulties in recovering loans.

Himachal Pradesh state SCAs, reported that the issues and challenges to recover loans is availability of transportation facility to conduct door-to-door visit to the door steps of the

beneficiaries. Vehicle should be provided for recovery purposes to the officers/officials of the Corporation so they can visit at the door steps of the beneficiaries safely and securely.

Gujarat state SCAs, reported manpower issue on the field especially for recoveries. They also said that there is no recovery unit at the district level. It is difficult to locate beneficiaries in case of migration.

Tripura state SCAs reported that the problems and challenges of recovering loans are that despite several persuasions, some beneficiaries are very reluctant to give installments. Some of the beneficiaries are very poor and, for many reasons, some of the beneficiaries were unable to run the company they started and, in those cases, were unable to make regular payments.

Chandigarh state SCAs reported that the issues and challenges to recover loans are migration and death of beneficiaries.

Chhattisgarh state SCAs reported that the issues and challenges to recover loans are scarcity of staff and proper transportation facility.

Tamil Nadu state SCAs reported the issues and challenges to recover loans are that the Co-operative banks wait for all the beneficiaries to repay the amount and thereby make delayed payments. This leads to penal interest. But while paying the second installment they pay only the due amount without paying penal amount for first installment. Further, with regard to education loan, many beneficiaries go for jobs in other cities/states after completing their studies and many are untraceable, due to which there is very poor recovery in education loan and banks are reluctant to sanction fresh education loans. Few beneficiaries who do small trades incur losses in their business due to which banks are unable to recover due amount from them.

Kerala state SCA, Kerala State Minorities Development Finance Corporation reported the issues and challenges in recovering loans is that a large number of borrowers are in financial crisis due to flood and pandemic situation, so the repayment levels are very low. The Kerala State Women's Development Corporation Ltd reported the issues of beneficiaries' financial instability as they are not fit to remit the repayment from their profit. Most of the beneficiaries find it too difficult to remit the repayment due to past two years flood, landslides and Covid 19 issues.

7.4.3 Suggestions for improvement of loan recovery measures, systems and procedures

Overall insights across the states include

- A Special recovery agency should be provided to the SCAs
- Adequate manpower needed especially in the district field offices
- Adequate transportation facility be provided for improved recoveries
- Field offices should be enabled with complete computerization for enhanced productivity
- A mechanism for fixed percentage amount from interest income for the recovery expenses.

- ECS method to be used to automatically recover installment from beneficiary account

SCAs in Punjab state suggested that there should be adequate staff at tehsil level with proper transportation facility. Field officers are required to attend district Level meeting, programmes, Rojgar Melas, answer queries of the public in office, to send reports to the head office, have to look after fresh loan applications and they are also required to go for mortgage deeds of new loan cases in the Tehsil. One individual has been assigned many tasks. Therefore, the SCA suggested that more manpower and proper infrastructure be provided in the district field offices. Field offices need to be fully computerized to enhance productivity. There should be ECS method to automatically recover installment from beneficiary account. Also, insurance of asserts and beneficiaries should be done

SCAs in Jammu and Kashmir shared that proper recovery management software helps boost grass-root level recoveries. A suggestion towards adequate manpower at district centre for recovery is needed and would be a good support.

Haryana state SCAs suggested that income generation programmes should be launched in the area by the Government. Transportation facility is a requirement in order to improve recovery. Also adequate staff is required.

Tripura state SCAs shared that loan are being provided on the basis of Government employee guarantee and production of fixed deposit certificate already.

Himachal Pradesh state SCAs suggested requirement of Vehicle for transportation. Hotel charges, TA/DA should also be provided by the NMDFC.

Gujarat state SCAs suggested that there needs to be special agency for recovery. Adequate manpower and transportation facilities be provided to the SCAs for recovery. Also, permission should be granted to use a fixed percentage amount from interest income for the recovery expenses.

Chhattisgarh state SCAs suggested that field offices be equipped with computerized and analytics software. Adequate manpower with transportation should be provided for better recovery.

Tamil Nadu SCAs shared that they send frequent reminders to the banks to recover pending loan amount from beneficiaries. They also contact the banks where the pendency is huge and then they try to recover the amount.

Kerala SCAs suggested that more loan recovery agents can be appointed by giving incentives on repayment on a percentage level. They also suggested that a special subsidy scheme be given for

the loanees who are disturbed due to the Covid 19 Pandemic. A special interest free moratorium can also be given to them.
Under the Grant in Aid scheme of the Ministry, the SCAs are provided a grant to take care of the hiring of recovery assistants, deployment of manpower at field level, TA/DA for recoveries, computerization at the head office, and field-level offices, etc. GIA could be utilized for most of the suggested improvements. Though, SCAs can request enhancements of the GIA fund if needed

7.4.4 Simplification of Loan sanction & disbursement procedure

Overall insights across the states include

- The procedure is already simplified
- Implementation of the tracking system of the application status can be a good initiative
- Suggestions were also given towards not putting a bar on the trade
- A lower rate of interest be given to those who are below the poverty line
- For certain loans, the repayment schedule be made monthly

Punjab state SCAs suggested that there should be no bar on the trade. One should be free to start any work with the loan amount. They also suggested that there should be no collateral security for the loan up to 100000/-. They suggested 3% rate of interest for those who are below the poverty line. Also, the repayment schedule can be made monthly for loan upto Rs 50,000/- to poor beneficiaries.

Haryana and Jammu Kashmir state SCAs reported the procedure as simplified and, therefore, faced no issues. They said that loan sanction method and disbursement is a simple and easy process where after identification loan is sanctioned within no time. Thereafter disbursement is done within 45 days from the date of sanction. However, disbursement is also done within a few days of sanction where all the formalities are completed in time.

Chandigarh state SCA said that the field staff goes in the field to advice/assist the applicants.

Chhattisgarh state SCAs suggested that timely receipt of funds from NMDFC will result in timely disbursement of loan to beneficiary.

Tripura state SCAs suggested that rate of interest should be nominal (1%)

Tamil Nadu states SCAs reported to have launched a software to collect application from beneficiary and process them online. Facility has been provided for beneficiary to track their application status. The fields which NMDFC may require in the application may be standardized and communicated to all SCA's so that there will be uniformity.

Kerala state SCAs suggested special scheme for renewing the defaulted loans on request.

7.4.5 Frequency of Follow up by Recovery Staff/ Agents

The study collected the information from the SCAs related to the frequency of the follow-ups to recover the loans. Most of the SCAs (87%) indicated monthly follow-ups, while approx. 7% of the SCAs denied the deployment of recovery staffs, as shown in Figure 7.2

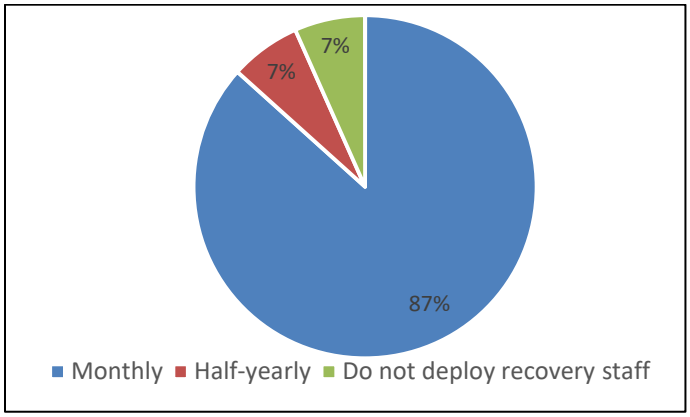


Figure 7.2: Frequency of recovery follow-ups by the SCAs

7.4.6 Overall recovery percentage of the total loan disbursement under NMDFC Schemes

This section summarizes the information on the overall percentage of loan amounts recovered by the SCAs from their beneficiaries. Figure 7.3 depicts that 69% of the SCAs can recover more than 60% of the loan amount, while only 38% of the SCAs can recover more than 80% of the loan amount. Around 23% of the SCAs can recover less than 50% of the loan amount.

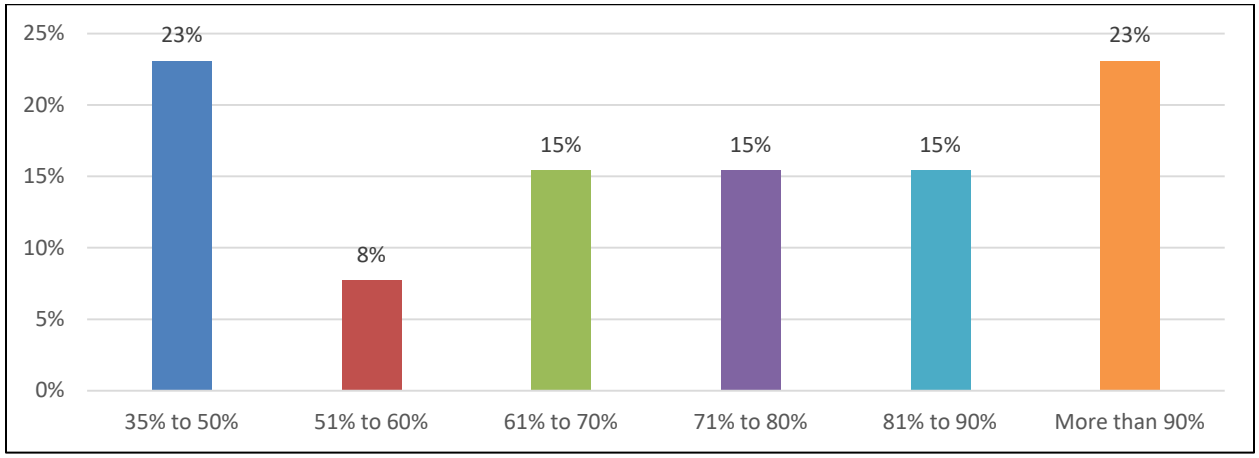


Figure 7.3: Recovery percentage of total loan by the SCAs

7.4.7 Mode of Recovery

The SCAs were requested to provide the information on the beneficiaries' mode for the loan repayments. The information collected is displayed in Figure 7.4. Most of the SCAs (more than 80%) indicated the loans' repayments through cash, cheques, or RTGS.

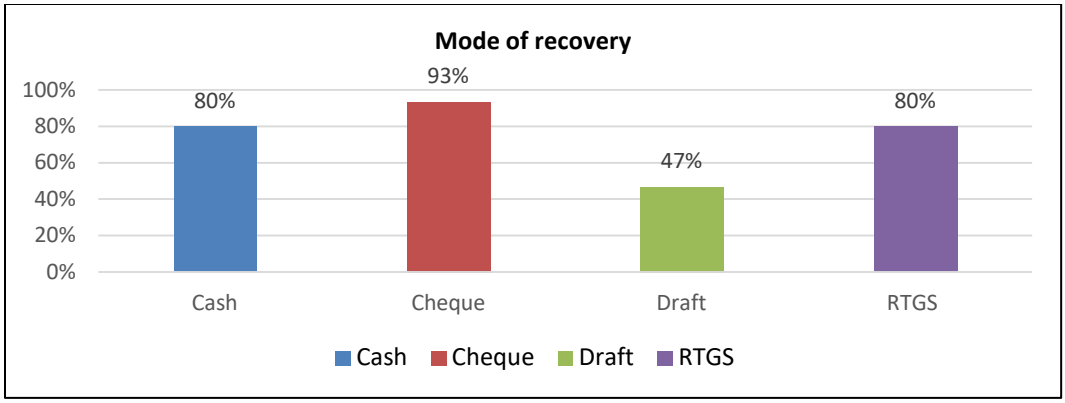


Figure 7.4: Mode of loan repayment

7.4.8 Action against defaulters

Overall insights across the states include

- Post-dated cheques are taken. In the case of default, the action is taken under the negotiable instruments act (N.I. act 1881).
- A notice is issued to the drawing and disbursing officers of the guarantors for attachment of their salaries. A Copy of the said notices are endorsed to HOD, District Administration, respective guarantors, and concerned beneficiaries.
- To recover the default installments, district managers, field officers, and other field staff collect recovery from the beneficiaries personally and issue recovery notices and utilize post-dated cheques in case of default.
- Regular notices are sent to defaulters, project officers & community motivators.
- Actions are taken under the provision of the land revenue act.
- Recovery is made from the Guarantor and criminal case under 138 N. I. act.
- One time settlement or revenue recovery resorts for chronic defaulters.

To avoid/minimize the risk of loan defaults, SCAs have opted for various provisions and steps. Most SCAs (Haryana, J&K, Kerala, Delhi, HP, etc.) take the post-dated cheques from the beneficiaries. In case of a default, the action is initiated by the SCAs under the negotiable instruments act (N.I. act 1881). Apart from post-dated cheques, the SCAs (Delhi, Tripura, J&K, etc.) also ask for a guarantee from the beneficiaries. These guarantors are informed prior to the action against loan defaults, and they are asked to motivate the beneficiaries to repay the amount. If repayment is still not done, the recovery is initiated by attaching the guarantor salary or filling criminal proceeding. The SCA, Kerala State Cooperative Federation for Fisheries Development Ltd. (MATSYAFED), regularly sends notices to the defaulters, project officers & community motivators. Regular visits are made to the defaulters and are encouraged to affect the repayment and avoid penal interest charges. The chronic cases are then suggested for revenue recovery action. The SCAs (Haryana, Chhattisgarh, J&K, etc.) also employ recovery officers who continuously monitor, motivate, recover, serve notice, and for chronic cases, suggest for revenue recovery action under

7.4.9 Rate of Penal Interest for Defaulter

The questions were asked about the penalties levied by the SCAs due to the delay in the repayments of loans by the beneficiaries. 54% of the SCAs charges more than or equal to 5% as an annual penal interest on the beneficiaries, while 9% of the SCAs charged 1% per month, as shown in Figure 7.5.

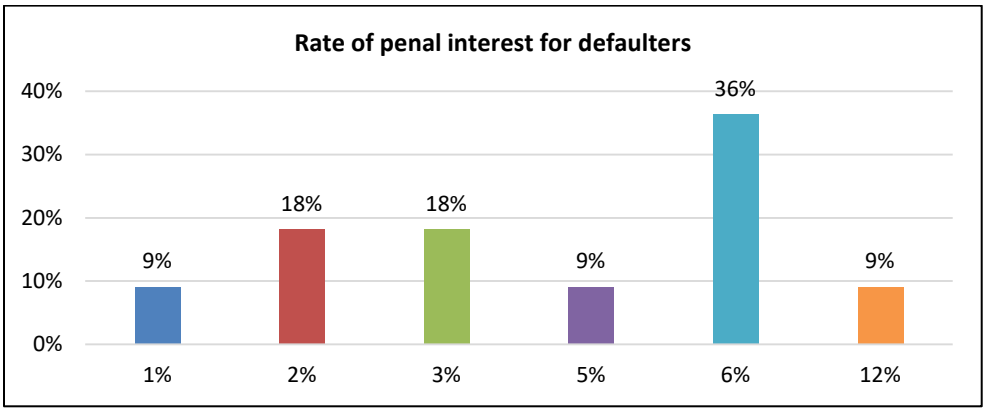


Figure 7.5: Rate of penal interest levied by the SCAs

7.5 Publicity & Advertisement

This section covers the current procedure adopted by the SCA for Publicity & Advertisement of schemes of NMDFC & integrate it with the loaning process so as to bring the schemes of NMDFC nearer to the targeted Minority communities. The SCAs were requested to furnish the different procedures opted for publicity and advertisements. The information received is compiled in Figure 7.6. All SCAs set up awareness camps for publicity and advertisements. Apart most of the SCAs (more than 60%) also opt for publicity through banners, posters, hoardings, and press advertisements in local newspapers, presentations on the scheme by the SCA officials, websites, etc. NMDFC provides grant of Rs. 50,000/- each for organizing awareness Camps. Each SCA is allocated to organize at least 10-15 awareness camps in the beginning of each financial year. SCAs can do the publicity through Panchayat, which is the least used channel/procedure.

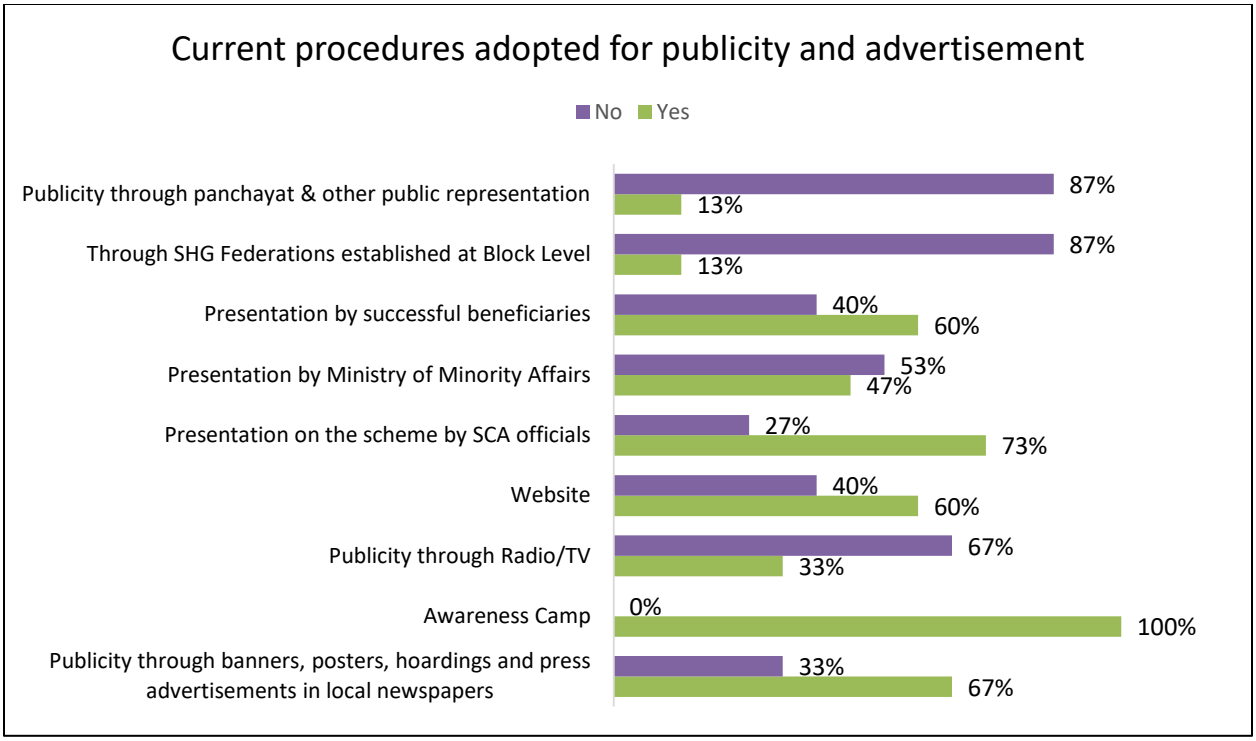


Figure 7.6: Current Procedures adopted for publicity and advertisements by the SCAs

7.6 Extent of IT Infrastructure used by SCA

7.6.1 Level of computerization of SCA's

To understand the extent of IT infrastructure used by the SCAs in the scheme's operations, SCAs were requested to give information about the level of computerization used in the process. More than 50% of the SCAs have computerization for the disbursement of loans, maintaining the beneficiaries list, administration, or account keeping. Computerization for receipt of the application, scrutiny of the applications, and sanctioning of the loan is utilized by only a few SCAs. Thus, more effort towards computerization at the initial loan process is required, as shown in Figure 7.7. Assistance under the Grant In Aid scheme of the Ministry is available for computerization by the SCAs, and the SCAs are encouraged to computerize their record-keeping and use computers in the loan administration process for transparent and speedier implementation of NMDFC schemes.

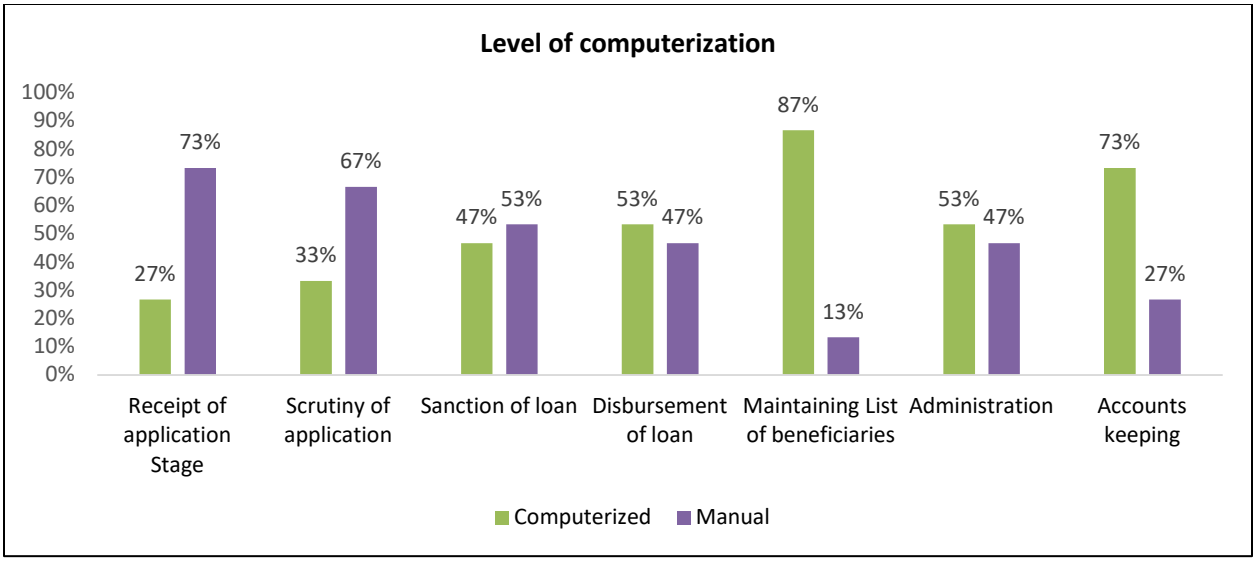


Figure 7.7: Level of computerization used by the SCAs

7.6.2 Suggestions for Improvement of the Process and making it Computerized

- SCAs may be encouraged to do the computerization of the process using GIA funds. Though GIA funds are provided to the SCAs through MoMA, a portion of the fund may be provided to the NMDFC by the MoMA to develop a standard banking software or integrate the process.
- Some of the SCAs have their software, SCAs may be supported for the integration of the different software.
- A common portal like a national scholarship portal in a uniform manner can be launched.

7.6.3 Does the SCA have computer software?

SCAs were asked about the use of banking software in the loaning and other administrative purposes. It was found that 60% of the SCAs interviewed used computer software to implement the scheme, as shown in Figure 7.8. Thus still about 40% of the SCAs used manual operations.

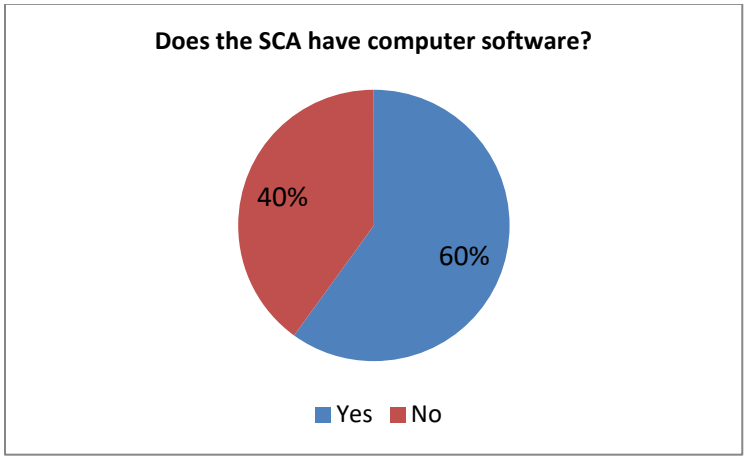


Figure 7.8: Percentage of SCA uses computer software

7.6.4 Does the SCA have its own web site?

It was expected that the SCAs should have their websites. Websites help easy access to information about the scheme to the beneficiaries. Apart from information, this may smoothen the application process. Thus, SCAs were requested for information on whether they have their websites? About 87% of the SCAs confirmed having their own website, as shown in Figure 7.9

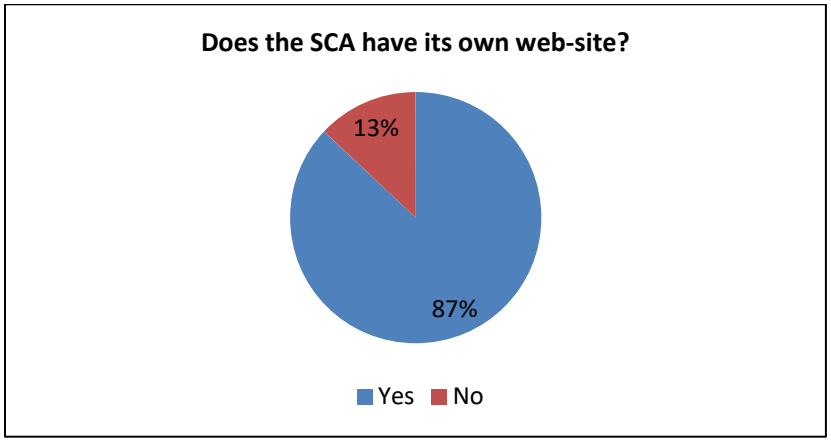


Figure 7.9: Percentage of SCAs having their own websites

7.6.5 Does the SCA upload the beneficiary data on your website?

The SCAs, apart from having their own websites, were also asked about the uploaded beneficiaries' data on their website. 67% of the SCAs confirmed having the beneficiaries data loaded on their website, as shown in Figure 7.10.

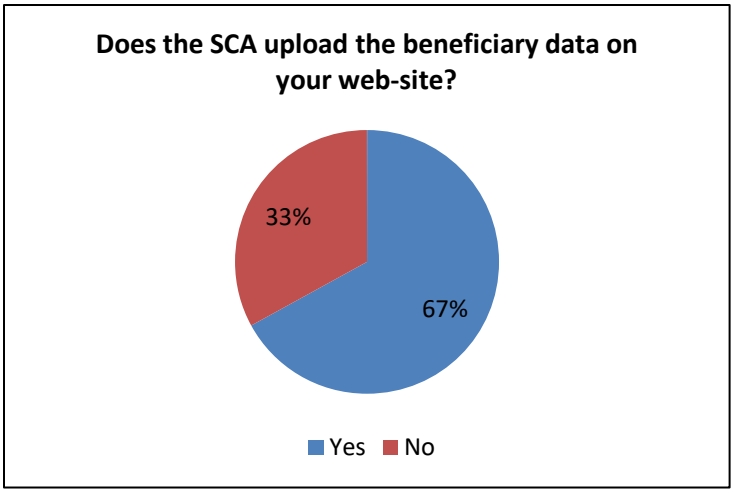


Figure 7.10: Percentage of SCA having beneficiaries data uploaded on the website

7.6.6 Does the SCA display detail of NMDFC schemes/its schemes on the website

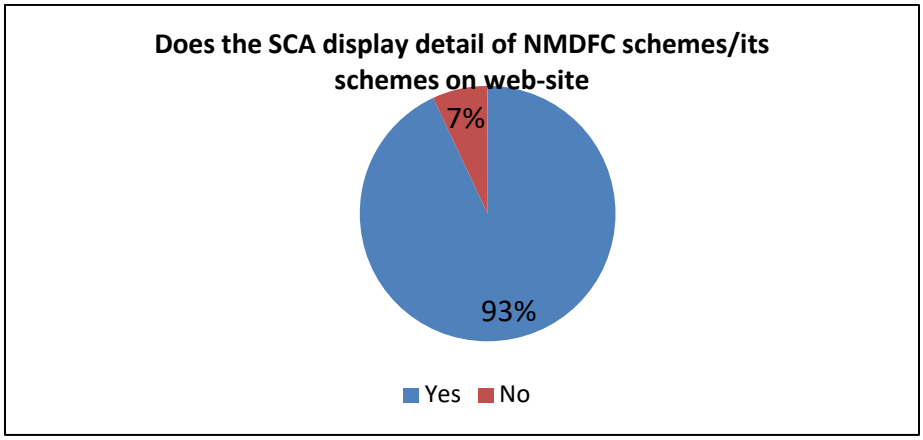


Figure 7.11: Percentage of SCA displaying details of NMDFC scheme/its schemes on the website

7.6.7 Are the disbursement and recovery records up to date? 100 percent Yes

7.6.8 Are the disbursement and recovery records computerized?

The SCAs were asked about the use of the computer for keeping the disbursement and recovery records. Most of the SCAs (87%) maintain the computerized database for the disbursement and recovery records, as shown in Figure 7.12

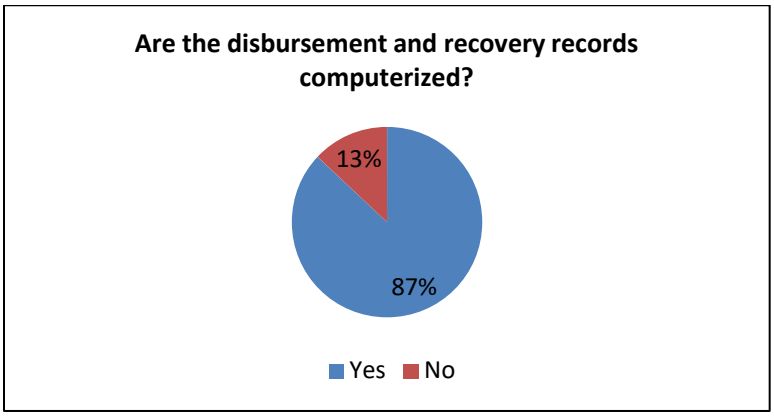


Figure 7.12: Percentage of SCAs keeps computerized disbursement and recovery records

7.6.9 Are the accounts of the SCA audited regularly?

The SCAs were requested to furnish the information on the regular audit of the accounts. Most of the SCAs (87%) confirmed on having their regular audits of the accounts, while 13% denied having regular audits, as shown in Figure 7.13

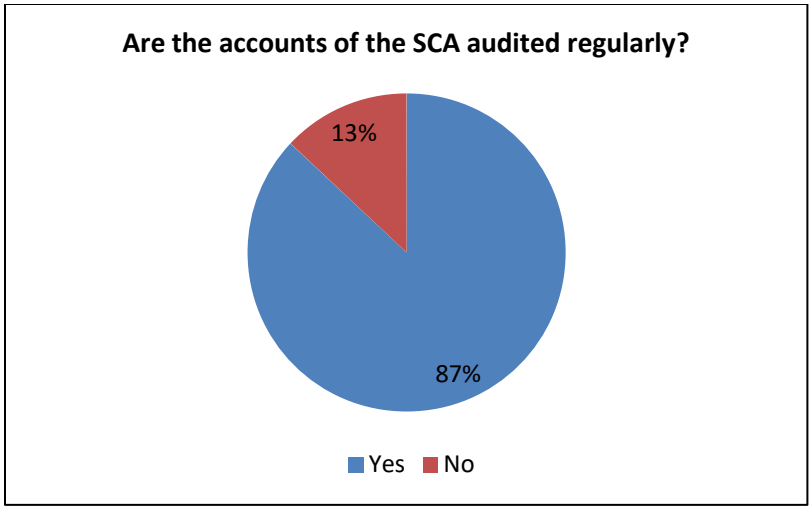


Figure 7.13: Percentage of SCAs having their regular audits.

7.6.10 Do you integrate Mobile SMS for interaction with beneficiaries?

To understand the use of different communication channels enforced by the SCA to keep themselves connected with the beneficiaries, SCAs were requested for information on integrating their website with the mobile SMS. 53% of the SCAs confirmed on having integrated mobile SMS for the interaction with the beneficiaries, as shown in Figure 7.14

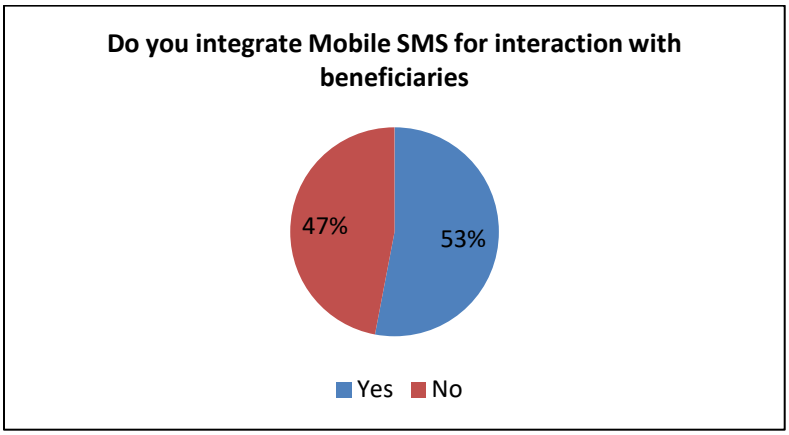


Figure 7.14: Percentage of SCAs having integrated mobile SMS for interaction with the beneficiaries

7.6.11 Type of Software Used by SCA

- ERP/Tally/MS-Excel
- Loan Management and Monitoring System
- In-house developed Software
- LAN based Desktop application in VB.net with SQL Server database at Head office level. Loan Recovery & Management Software (NET Technology)
- Tally for accounts maintenance and loan software in dot net/SQL. Recently on pilot basis online TAMCO loan software is implemented

- Web Application

7.6.12 Date of Last Audit of the SCA

Name of SCA	When the accounts of the SCA last audited
Mewat Development Agency	2018-2019
Jammu & Kashmir Entrepreneurship Development Institute	01/09/2019 (Audit currently going on also)
J&K Women's Development Corporation	16/11/2019 (for the year 2018-19)
Haryana Backward Classes and Economically Weaker Section and Kalyan Nigam	2014-2015
Kerala State Cooperative Federation for Fisheries Development Ltd. (MATSYAFED)	2018-19 (18/12/2019)
Punjab Backward Classes Land Development and Finance Corporation (BACKFINCO)	31/03/19
Delhi SC/ST/OBC Minorities & Handicapped & Development Corporation Limited	The process is in continuation. Right now also is going on
H.P. Minorities Finance & Development Corporation	08/07/20
Gujarat Minority Finance and Development Corporation. Ltd	2017-2018
Tripura Minorities Cooperative Development Corporation Limited	31/12/19
Chandigarh SC, BC & Minorities Finance & Development Corporation Ltd	2018-2019
Chhattisgarh State Antyavasai Sahakari Vitta Evum Vikas Nigam	2018-2019
Tamil Nadu Minorities Economic Development Corporation	2018-19
Kerala State Minorities Development Finance Corporation	2018-19
The Kerala State Women's Development Corporation Ltd.	2016-17

7.7 Relevance wrt other schemes

This section deals with the comparison of implementation of schemes of NMDFC with the similar schemes of other Ministries / Department.

7.7.1 Besides NMDFC, are there other schemes for Minorities that you are associated with/ are aware of

- NBCFDC schemes are also being implemented in Fisheries sector.

- Scholarship Schemes for Minorities is implemented by Department of Social Justice & Empowerment and Minorities, Punjab
- DSFDC implements another scheme named DILLI SWAROJGAR YOJNA. Out of the funds provided by the Govt. of Delhi. Under this scheme loan up to Rs. 5 Lakh is provided and there is component of subsidy of 50% of loan or Rs 10,000 whichever is less. Thus this scheme is more beneficial.
- Employees Loan, Pravasi loan, Madrassa Teachers Housing Loan and General Housing loan of Kerala State Minorities Development Finance Corporation

7.7.2 Suggestions for improvement of NMDFC Scheme keeping in mind the objective for (in terms of recovery, in terms of number of beneficiaries covered, better socio-economic development)

- Allocation of more funds to cover larger portion of Minorities Community.
- One Time Settlement (by the beneficiaries) scheme may be introduced.
- Proper and standardized Software for SCA's should be given by Ministry. Computer Software must be provided by the NMDFC to its State Channelizing Agencies to maintain the computerized record
- Call Centre for Recovery
- Promoting manufacturing sector by increasing quantum of loan
- In the context of COVID-19 pandemic it is requested for interest waiver since Matsyafed schemes are being implemented in an economically and socially backward sector.
- The applicant's annual family income at present Rs 1.20 lakh is not at par with NMDFC, NBC office, where it is Rs 3 lakh. This criterion is unrealistic in Delhi, where cost of living is much higher, and the minimum wages are also higher.
- There is no subsidy under the schemes.
- For providing education loans, the allocation of fund is made to an extent of 10% only. This should be flexible keeping in view the quantum of loan.
- The slab of Rs 20 lakh and Rs 30 lakh should be only for students studying abroad
- The NMDFC should take positive steps to simplify the schemes i.e. loan and training
- Training in various trades may be given more importance for individuals to start their own trade.
- Those states which are making 100% repayment of loan amount can be released fund subject to pending provision of government guarantee in order to avoid delay in disbursement of loan to beneficiaries based on the request given by MD of the SCA itself (in respect of Tamil Nadu MD, TAMCO)
- For better socio economic development, implement Housing Loan, Multipurpose Employees loans and financial assistance for marriage.

7.8 Sanction & disbursement of loans

7.8.1 Procedures adopted by the SCA for receiving applications: Where is the application received?

- SCA office through Block Level Federations
- District Centre/Head office/All Blocks
- Target group is identified in awareness Camps conducted by SCA where Loan application forms are distributed
- Online "Loan Management and Monitoring System" application received by District Office through Online
- At field level in the primary societies
- The District field officer scrutinized the received applications. After physical verification the scrutinized applications are placed in District Level Screening committee (DLSC). Whereas the Additional Deputy Commissioner (Dev) is the chairman of District Level Screening Committee for loans more than Rs 2.00 lacs and District Welfare Officer for loans up to Rs 2.00 lacs. . The Field Officer is Member Secretary of DLSC. There are five other members respectively, District Welfare Officer (DWO), District Lead Bank Manager, Official from District Statically Office, NGO, and Official from District Industry Centre.
- The DLSC conduct physical interview of the respective beneficiary. After that the DLSC recommended for sanctioning of loan to the Executive Director Backfinco
- Beneficiary are at liberty to submit application with the zonal office throughout the year
- Field Officer/Field Assistants
- Advertised in the newspaper, on-line applications are taken.
- The applications received in the field during camp organized by corporation time to time and in its head office
- Applications are received in District Offices and at the place where the loan mela are conducted.
- In Regional wise offices of KSMDFC. We are inviting schemes applications through newspapers, on social media and updating websites
- We advertise in press media conduct loan melas cum awareness camps and applicants can apply via Regional Offices. At present we have 3 Regional offices and 4 District offices where applications are received.

7.8.2 Is the application received on a continuous basis or a limited period? Is the application form given free of cost or chargeable? If chargeable, how much do you charge per application form?

The SCAs were requested to give information on the application flow and whether applications are chargeable? If chargeable, how much it costs to the beneficiaries. The information received is compiled in Figure 7.15. 87% of the SCAs indicated continuous receipt of the application for the

loans from the beneficiaries. Similarly, 67% of the SCAs does not charge anything for the application to the beneficiaries, while 33% charge beneficiaries for the application forms. 40% of the SCA collect 10 Rs for the application form, and a similar percentage also charges 100 Rs for the application.

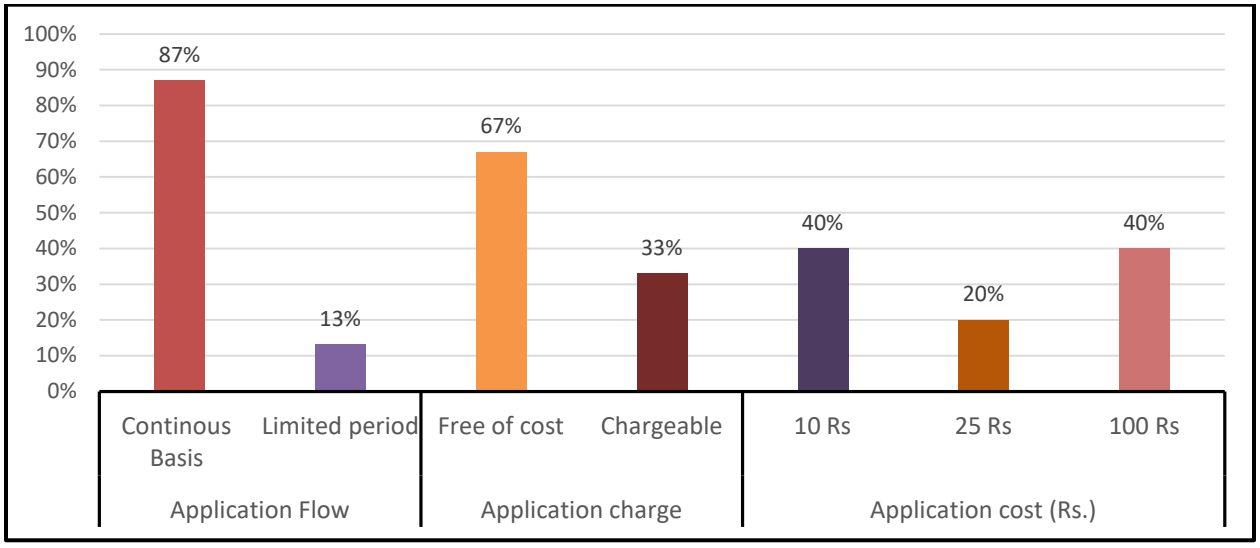


Figure 7.15: Application related information compiled from SCAs (Flow, Application chargeable, and cost of application)

7.8.3 Documents required to be submitted for getting the loan sanctioned

- Proof of identification (In all cases): Aadhar, Bank Account Guarantee
- Proof of residence (In all cases): Property Tax Receipt &Deed, Ration Card copy
- Proof of qualification (80%)
- Project Proposal (73%)
- Others: For heavy loan/Vehicle loan quotations are demand
- Income Certificate
- Proof of religion and certificates, educational qualification, admission letter for education loan
- Previous year mark sheet for renewal of educational loan,
- For self employment loan collecting license and insurance details,

7.8.4 Difficulties faced in sanctioning loan to the beneficiaries

The study also examined the difficulties, if any, faced by the SCAs in sanctioning the loans to the beneficiaries. Various reasons pointed out by the SCAs are a) incomplete documents, b) project not adequately prepared, c) difficulty in providing security of Govt. servant especially by the poor people, d) infeasible projects, and e) due to Covid 19 physical verification or interviews not possible. The reasons like incomplete documents and project not adequately prepared are indicated by 87% and 73% of the SCAs, respectively, as shown in Figure 7.16

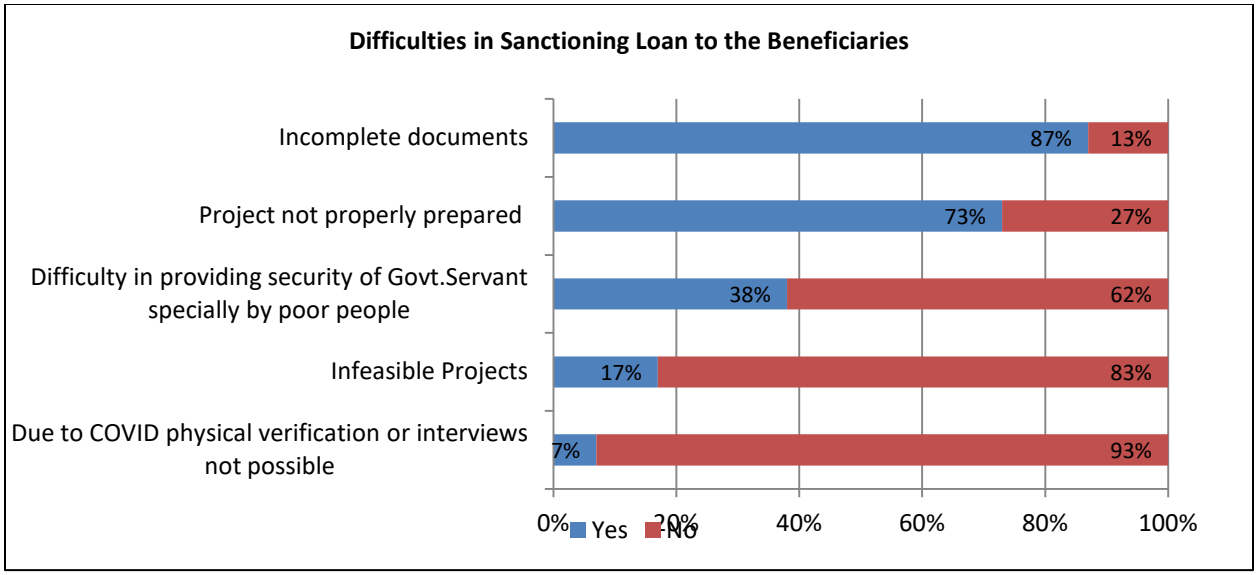


Figure 7.16: Difficulties faced by the SCAs in sanctioning the loans to the beneficiaries

7.8.5 Procedure adopted for the selection of beneficiaries

- Through the Institute, project manager, field coordinator and the dealing official.
- The SCA at J&K shared that sanction survey is conducted by the field staff. Thereafter the case is scrutinized by the committee headed by development officer. Then video calls are conducted by Managing Director to ascertain the authenticity of the beneficiary and the trade. Lastly, on the recommendations of the selection committee the case is sanctioned by competent authority i.e. Managing Director.
- The SCA in Haryana state shared that the selection of beneficiaries is done by the field officer on the basis of viability, profitability and experience of the entrepreneur. If this selection is for loan upto Rs 1 lakh then it is finalized by the district manager. For loans more than Rs.1.00 lakh, the applications are forwarded to the Head Office for approval.
- The SCA from Kerala reported that their loan schemes are implemented though their primary cooperatives in which beneficiaries are members. The societies are in charge of project officers who verify the eligibility of loan applications and forward to district offices, where the district manager place the loan applications before the district beneficiary selection committee. The recommended applications are approved for sanction and funds are requested from Head Office for release to beneficiaries through societies.
- The SCA from Kerala shared that the applications are received in the field office. The District field officer scrutinizes the received applications. After physical verification the scrutinized applications are placed in District Level Screening committee (DLSC). The Additional Deputy Commissioner is the chairman of District Level Screening Committee and the Field Officer is member secretary of DLSC. There are five other members respectively, District Welfare Officer (DWO), district lead bank manager, official from District Statically Office, NGO, and official from District Industry Centre. The DLSC conducts physical

interview of the respective beneficiary. After that the DLSC recommends sanctioning of loan to the Executive Director of SCA

- Delhi state SCA shared that the Branch/Zonal incharge are competent to select the beneficiary and for the recommendation of the loan
- The Himachal Pradesh and Tripura state SCAs shared that the field officer and field assistants of the corporation scrutinize the documents of the loanee and after checking all documents submit for further approval to the Managing Director of the SCA.
- Gujarat state SCA reported that beneficiaries are selected by a beneficiary selection committee appointed by the Department of Social Justice and Empowerment.
- Chandigarh and Chattisgarh state SCAs reported that the beneficiaries are selected by the District Monitoring Committee under the chairmanship of District Collector
- The Tamil Nadu state SCAs shared that selection of beneficiaries by a committee which include board members and regional head. All details are thoroughly verified by the committee and thereafter, sent them to legal advisor for scruitinization.

7.8.6 System adopted for the appraisal of the proposals submitted by applicants

- Personal visit at the residences of the applicant, local enquires and scrutinizing of documents.
- The SCAs in J&K reported that in pre-sanction survey the field staff judges the income of the beneficiary, Know-how of the activity to be undertaken by the beneficiaries, viability of the project, age-bar, qualification of beneficiaries with regard to technical trades, thereafter, the proposals are scrutinized by the selection Committee and on the basis of the report of the selection committee, the case is being sanctioned.
- The SCAs in Kerala and Punjab shared that the applications are verified and recommended for assistance as per scheme norms. Further loans are sanctioned only if the beneficiary/SHG has closed the earlier loan
- The Himachal Pradesh SCAs reported that the manager, field officer, Tehsil welfare officer, district welfare officer, child development progarmme Officer check the project proposals and submit reports to Managing Director
- The Gujarat state SCAs reported that the on-line application is verified at the district level, and then at the corporation level
- Tamil Nadu state SCAs reported that they are providing counselling as a business consultant for issuing start up loans. They also evaluated these projects whether they are feasible and how much projects would cost along with collecting quotation for the machineries and finally, disbursing the amount directly to the dealer
- SCAs from Kerala reported that in their case, bank authorities check the viability of the project by taking into consideration the requirement in the locality in which project proposed, availability of labour, raw materials etc.

7.8.7 Who does the appraisal of the proposals of the applicants?

- Appraisal of the proposals of the applicants conducted by project managers, field coordinator, field officials and the selection committee
- Himachal Pradesh SCA conducted appraisals via Tehsil Welfare Officer, District Welfare Officer, and Child Development Progarmme Officer.
- District centers carry out spot inspections followed by appraisal & securities by experts in business development
- Branch incharge also appraises and thereafter, recommends the loan case
- Co-operative Bank authorities also conduct these appraisals
- In most cases, the Regional Managers sanctions amount up to 5 Lakhs and Manager Director sanctions loan amount above 5 lakhs

7.8.8 Pre-sanction visit made by the SCA officials for verification of beneficiaries

Information was collected from the SCAs on pre-sanction verification of the beneficiaries. 86% of the SCAs indicated to visit for verification of all or most of the beneficiaries. But still, around 13% of the SCAs denied any such visits for verification, as shown in Figure 7.17

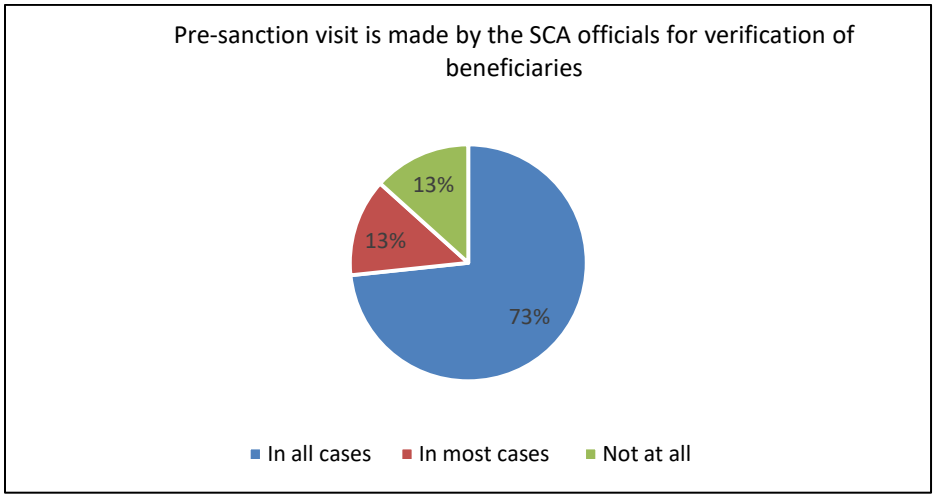


Figure 7.17: Pre-sanction visit is made by the SCA officials for verification of beneficiaries

7.8.9 Type of security taken by SCA from the beneficiaries in order to provide the loan

It was observed that SCAs takes security before accepting the applications for the loans. Thus, the study collects information on different securities taken by the SCAs from the beneficiaries to provide loans. Figure 7.18 represents the types of securities taken by the SCAs. These securities include a) property mortgage, b) income tax guarantee, c) guarantee of a renowned person, d) guarantee of Govt. employee, and e) group guarantee in case of micro-finance. Most of the SCAs either ask for Govt. employee as a guarantor(100%) or mortgage of the property (80%) as a security from the beneficiaries.

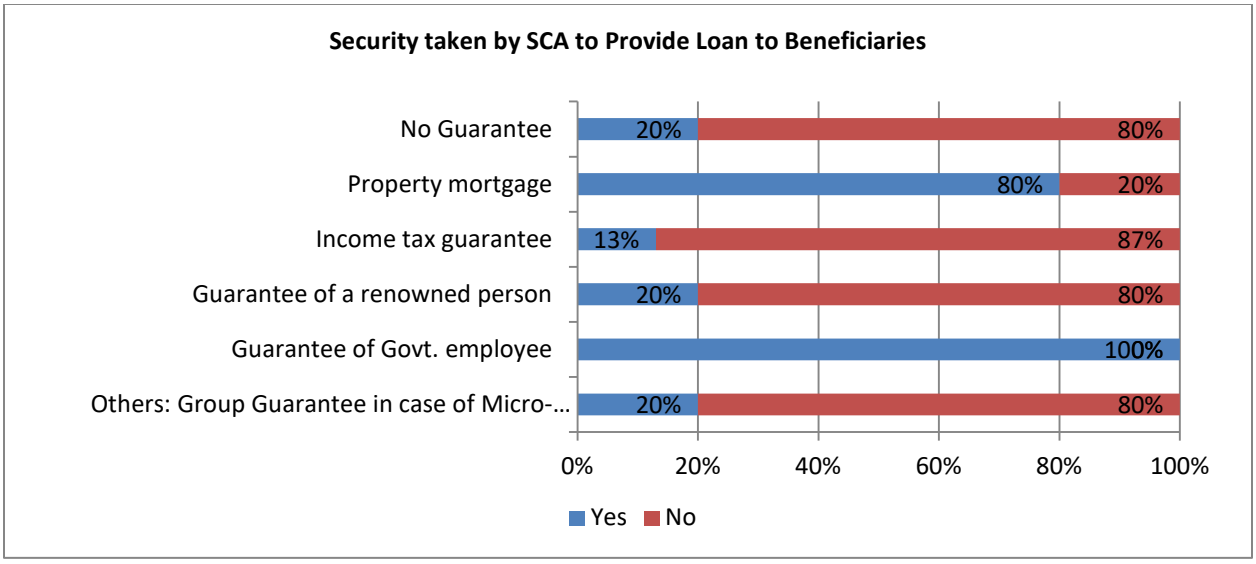


Figure 7.18: Security taken by SCA to Provide Loan to Beneficiaries

7.9 Fund Utilization

7.9.1 Term Loan: Amount of fund received from NMDFC

The SCAs were asked to provide the information regarding the amount of fund received from NMDFC for Term Loan. 50% of the SCA received more than 1000 Lakhs from the NMDFC, while only 10% of the SCAs received less than 100 lakhs, as shown in Figure 7.19.

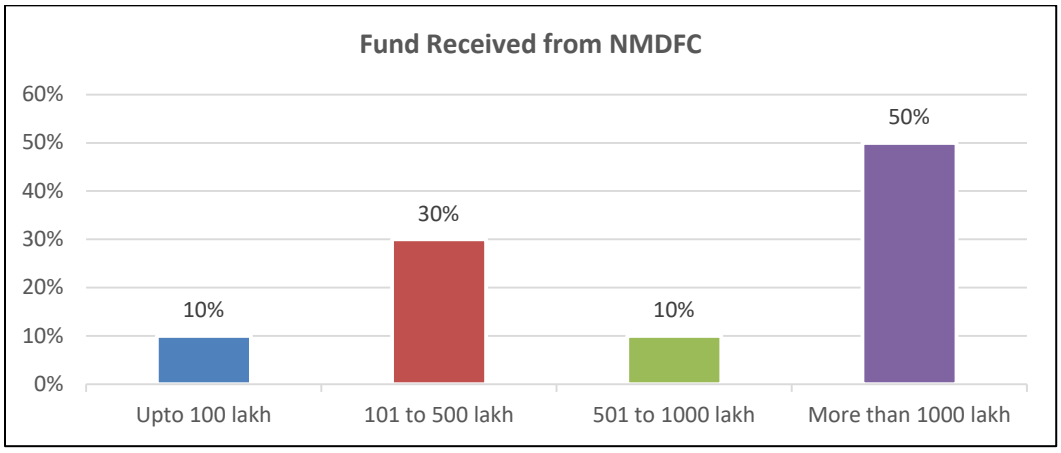


Figure 7.19: Fund Received From NMDFC

7.9.2 Term Loan: Number of beneficiary covered

The SCAs were requested to provide the information about Number of Beneficiary Covered by them under Term Loan. As shown in Figure 7.20, more than 55% of SCAs have covered more than 1000 beneficiaries for providing various help through a term loan scheme, while 36% of the SCAs covered more than 5000 beneficiaries, as shown in Figure 7.20.

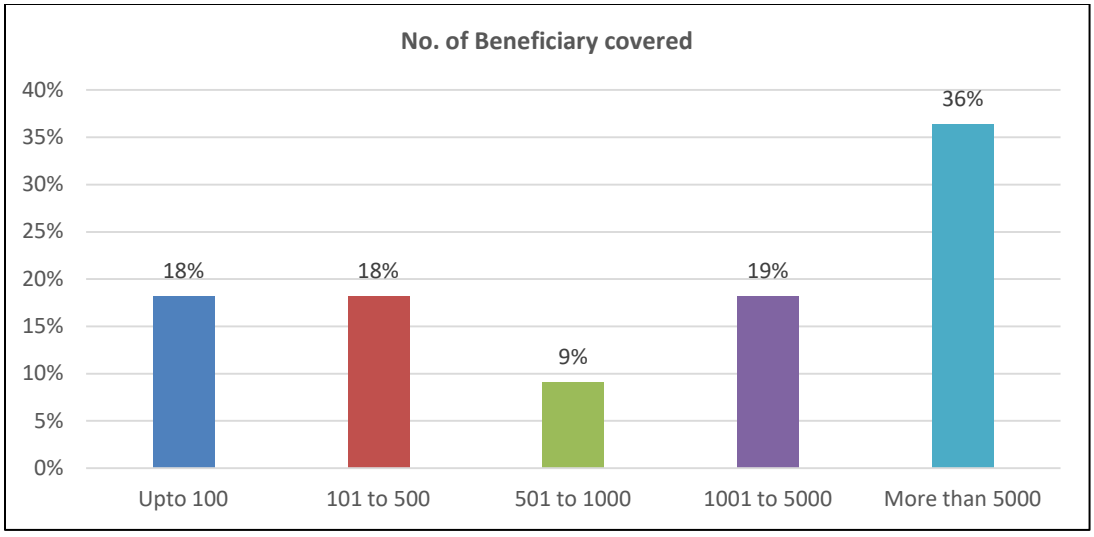


Figure 7.20: Number of beneficiary covered

7.9.3 Annual rate of interest charged from the beneficiary (Term Loan): 6%

7.9.4 Education Loan: Amount of fund received from NMDFC

The SCAs were asked to provide the information regarding the amount of fund received from NMDFC for Educational loan. For education loans. Approx 60% of the SCA received less than 500 lakhs from the NMDFC, while 29% of the SCAs received more than 1000 lakhs, as shown in Figure 7.21.

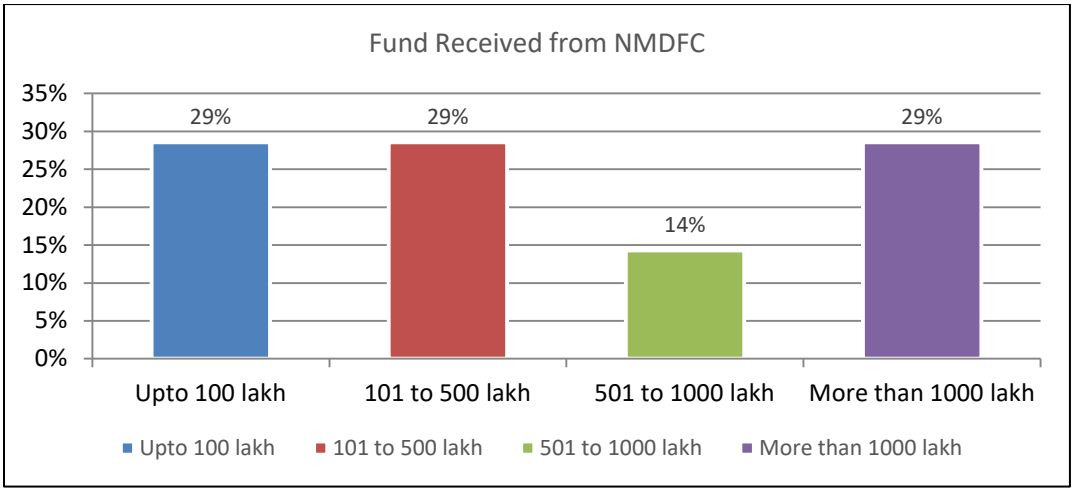


Figure 7.21: Education Loan fund received from NMDFC

7.9.5 Education Loan: Number of beneficiary covered

The SCAs were asked to provide the information about Number of Beneficiary Covered by them under Education Loan as shown in Figure 7.22, more than 50% of SCAs have covered up to 100 beneficiaries for higher education by providing education loans, while 26% of the SCAs covered more than 500 beneficiaries.

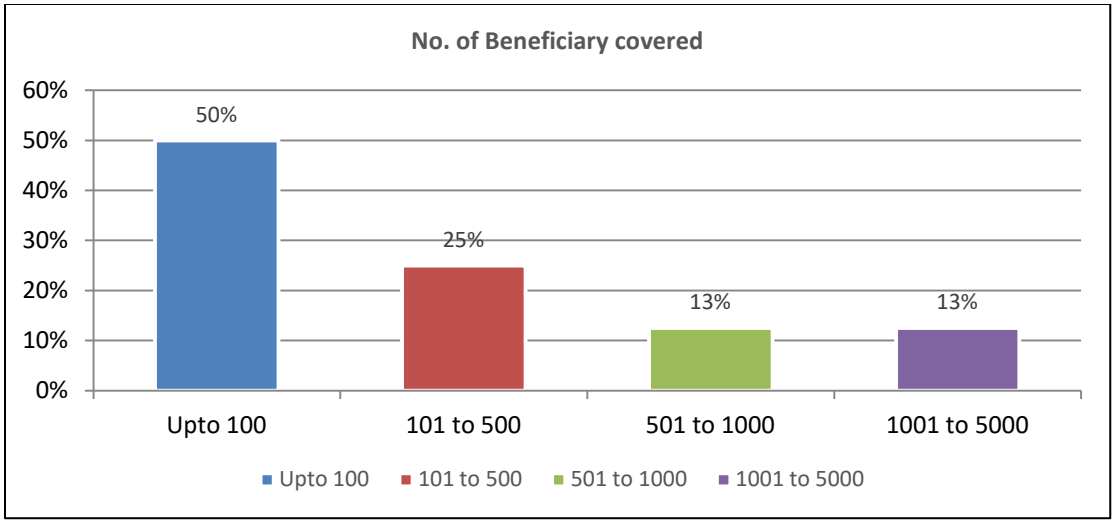


Figure 7.22: Education Loan: Number of beneficiary covered

7.9.6 Annual rate of interest charged from the beneficiary (Education Loan): 6%

Normally 3%-4% annual rate of interest in all education loans

In some cases Credit Line1: 3%, Credit Line: 2%, Male-8%, Female-5%

10% for Male and 8% Female students

Depends on credit time

7.9.7 Micro Finance: Amount of fund received from NMDFC

- **INR 960 lakh to INR 9041 lakh**

7.9.8 Micro Finance: Fund disbursed to the beneficiary

INR 9600 lakh to INR 8249 lakh

7.9.9 Micro Finance: Number of beneficiaries covered

254 to 453

7.9.10 Annual rate of interest charged from the beneficiary (Micro Finance): 3% to 8% (3%, 5%, 6%, 7% and 8%

7.9.11. Fund disbursed to the beneficiary

The average share of NMDFC and SCAs loan amount in the disbursed loan amount to the beneficiaries in different loaning schemes are presented in Figure 7.23. The share of NMDFC in Term loan, education loan, and microfinancing scheme are 92%, 95%, and 92%, respectively. Similarly, the share of SCAs are 8%, 5%, and 8%, respectively.

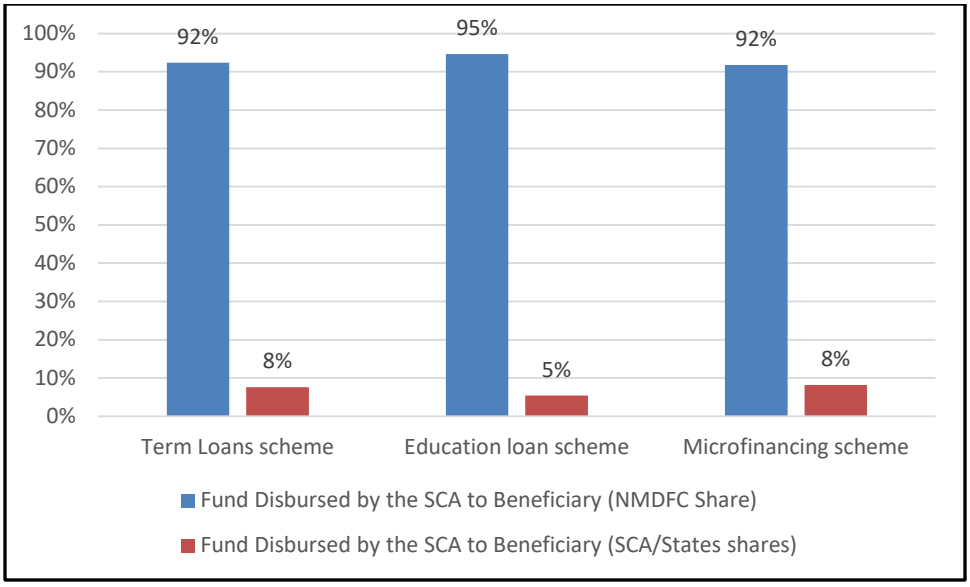


Figure: 7.23: Details of fund disbursed to the beneficiaries

7.9.12. Percentage of beneficiaries given loan through the different scheme

The beneficiaries given loans through a micro-financing scheme is 65% as compared to 35% and 2% covered in Term loan and the education loan, respectively, as shown in Figure 7.24

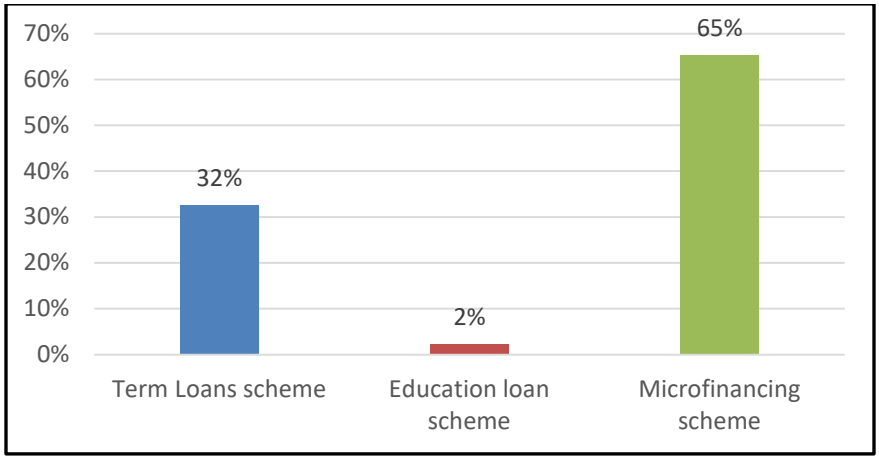


Figure 7.24: beneficiaries covered in different loan schemes

7.9.13 Virasat Scheme: Amount of fund received from NMDFC

Only found one SCA disbursed loan under Virasat Scheme: INR 150 lakh

7.9.14 Virasat Scheme: Fund disbursed to beneficiary

a. NMDFC share: INR 150 lakh
b. SCA share: 7 lakh

7.9.15 Virasat Scheme: Number of beneficiary covered: 73

7.9.16 Annual rate of interest charged from the beneficiary (Micro Finance):

4% to 5%

7.9.17 Details of fund received under Grant-in-Aid (GIA) Scheme

To understand about the details of fund received under Grant-in-Aid (GIA) Scheme, SCAs were requested for information about the utilization of fund by them from the amount which they received Figure 7.25 represents the distribution of amount of GIA received and amount utilized by SCA respectively. 38% of the SCA's reported receiving up to 25 Lakh as 38% out of which 33% was utilized by SCA.

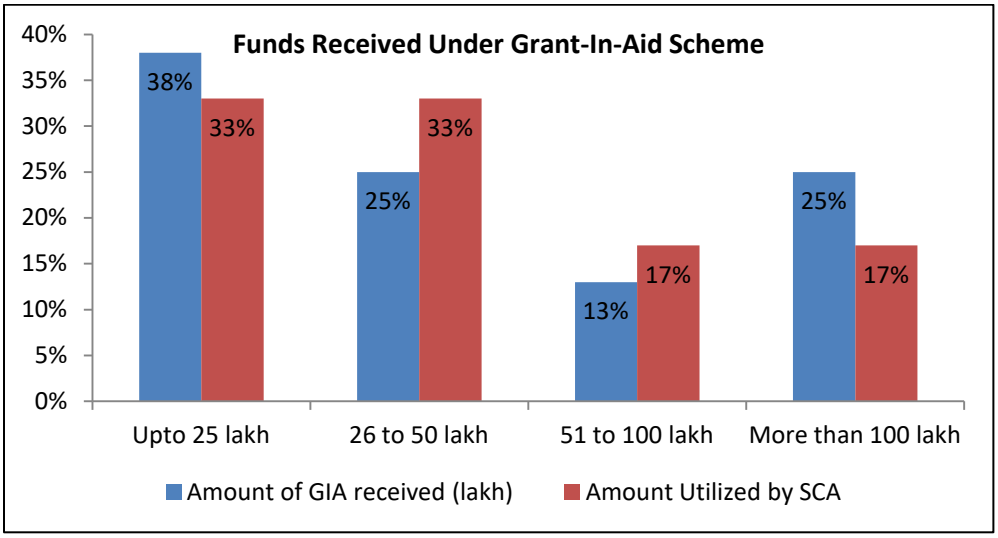


Figure 7.25: Funds Received Under Grant-in-Aid (GIA) Scheme

7.9.18 Is there a need for continued government funding to the organization

The SCAs were asked whether still funding from the Government is required. 93 % of the SCAs agreed for the Government funding while 7% of the SCAs feel otherwise, as shown in Figure 7.26.

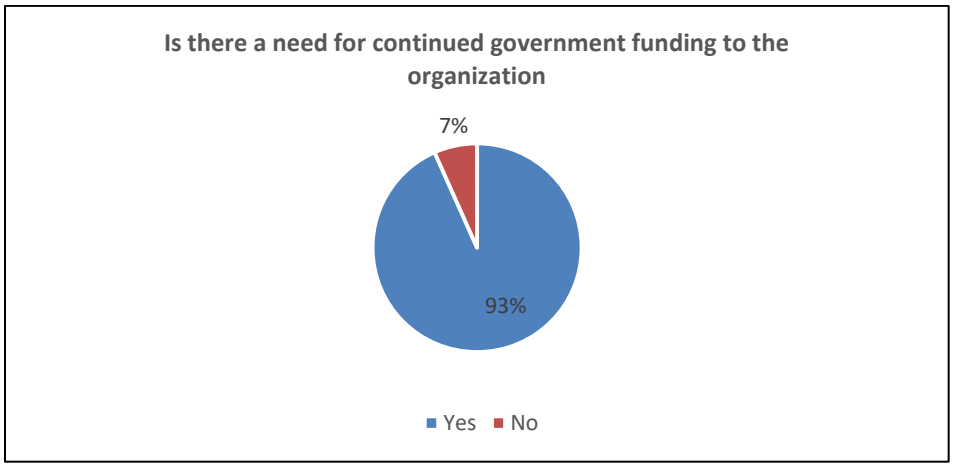


Figure 7.26: Percentage of SCA if there is a need for continued government funding to the organization

7.9.19 Do you have other sources of funding for the Schemes

- The state government also provides funds
- 5% U.T share on loans is being provided by the J&K Government.

7.10 Review of organization structure

7.10.1 Review of existing organizational structure, management system and staffing pattern and identify the main constraints affecting the system, if any, and suggest measures for improving the efficiency in delivery of services to the Channel Partners.

- Shortage of staff
    - Staff strength can be sanctioned as per requirement.
    - Non availability of adequate Government Guarantee in favor of apex corporations.
    - Release of funds in piecemeal
    - Shortage of staff results in delay in recoveries, inspection and identification of needy
- creation of new posts of field Assistants for recovery purpose
- Lack of district level set up.
- Lack of transportation for field staff.
- Lack of ERP, or online system that can help in documentation and risk assessment
- Lack of central government interaction in knowledge transfer - to understand what is being done in different states of India

7.10.2 The SCA has a district or regional office

SCA were also asked to provide information if they have district or regional office in which 80% SCA confirmed that they have regional and district offices as represented in Figure 7.27

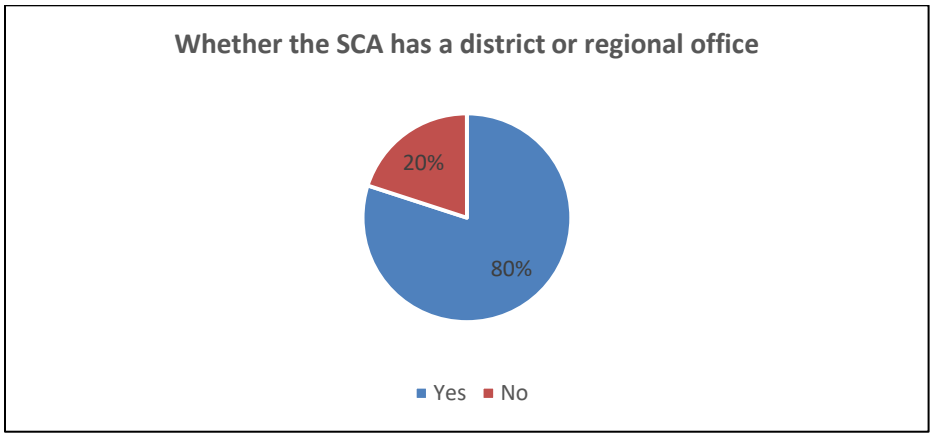


Figure 7.27: Percentage of SCA whether they have a district or regional office

7.10.3 Number of the district or regional office of the SCA

For better coverage of the beneficiaries in the states, SCAs were requested to provide the number of offices they have at the district or regional level. 27% of the SCAs have told that they have more than 20 offices and maximum SCA, i.e., 53% have up to 5 offices, as represented in Figure7.28.

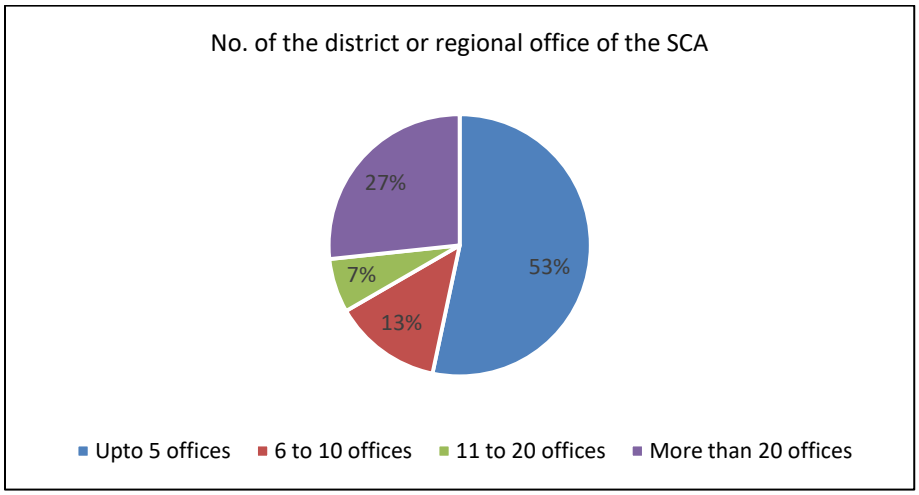


Figure 7.28: Percentage of SCA have a number of the district or regional office

7.10.4 Average number of staff in the head office, Regional office and District Office

SCA were asked to provide the information about the average number of staff they have in their offices Figure 7.29 represents the distribution of staff on regular and contractual basis separately in their head office, regional office and district office.

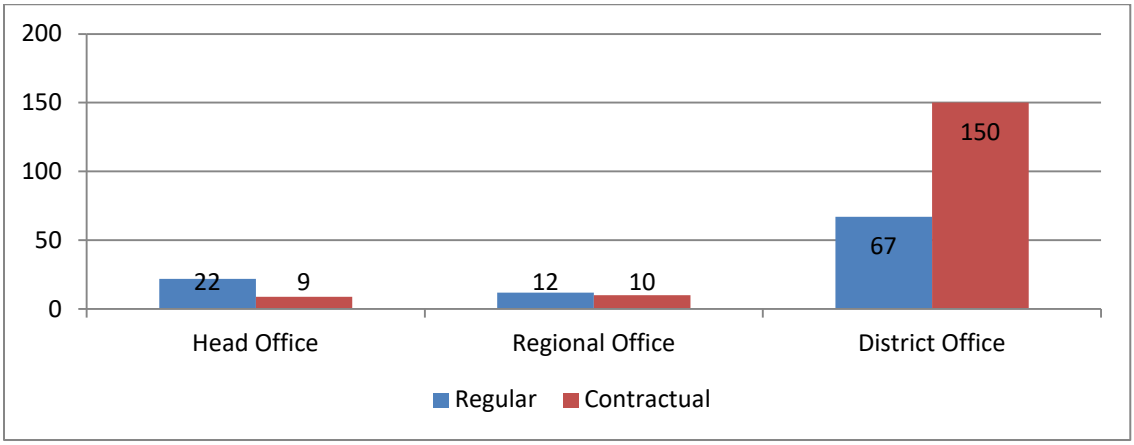


Figure 7.29: Average number of staff in the head office, Regional office and District Office

7.10.5 Is the SCA operating through other agency?

SCA were requested to provide information if they are operating through other agency Figure 7.28 shows that 7% SCA have confirmed that they are operating through other agency and other 93% have been operating on their own.

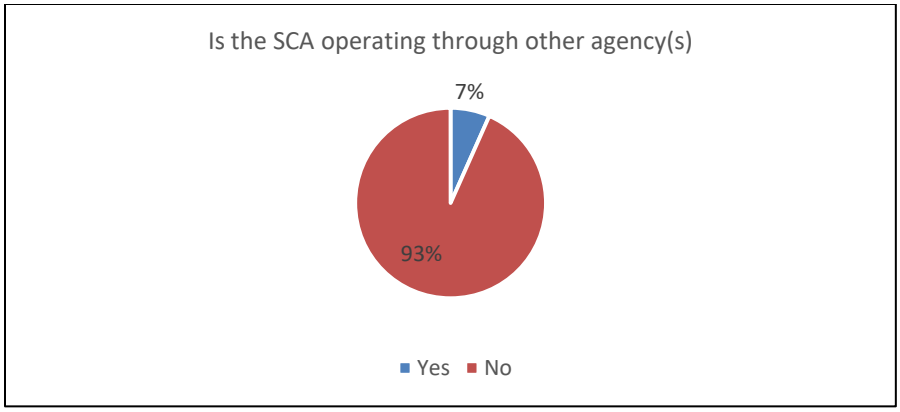


Figure 7.30: Percentage of SCA operating through other agency

7.10.6 If yes, type of operation of other agency(s): Co-operative Banks

7.10.7 Satisfied with the current structure of the organization in terms of its size, reach and mode of working through SCAs

The study collected the information from the SCA whether they are Satisfied with the current structure of the organization in terms of its size, reach and mode of working. Most of SCA 60% have confirmed that they are completely satisfied with current structure of the organization as shown in Figure 7.31.

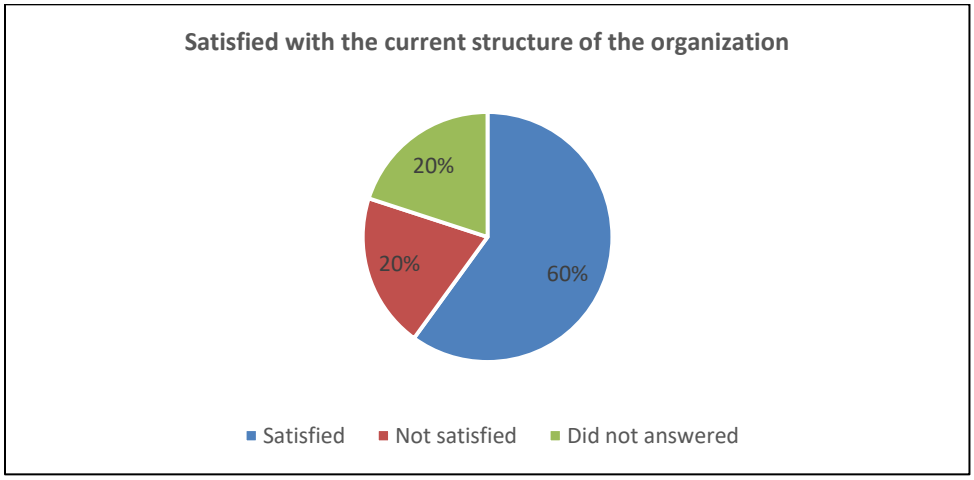


Figure 7.31: Percentage of SCA satisfied with the current structure of the organization

7.10.8 Suggestions for improvement structure of the organization in terms of its size, reach and mode of working through SCAs

- Need for expansion of staff strength,
- Permanent staff, Conveyance for field visits/recovery
- The utilization period may be increased from 90 days to more, in exceptional cases, in-consultation with NMDFC and MoMA.
- Setup approval, Establishment Cost

- Respective state governments may be requested to help the SCAs with staffing problems.
- Nonreceipt of matching share of 49% of the Share Capital of HPMFDC from the Ministry of Minority Affairs, Govt. of India. As per the Articles of Association of the Corporation as per clause 9 of the Memorandum of Association, the share capital to be contributed in the ration of 51:49 by the State Govt. and Govt. of India respectively. The matter to release of Central share of 49% to be contributed by the Govt. of India was taken up with Ministry of Minority Affairs, Govt. of India and State Govt. as well. The decision on this issue would help set the Audit Objection being raised by the Audit from time to time, and the action is taken report be sent accordingly.

7.11 Impact of the scheme

This section summarize of impact of this scheme on different parameter to measure the impact of the scheme such as Average increase in Income, Improving Standard of Education, Improving Social Status.

7.11.1 Average increase in Income

The respondents were asked to mention average increase in income as shown in Figure 7.32, maximum average increase in income of 87% was seen in Term Loan scheme were as Least 7% was seen in Vocational Training Scheme and Marketing Assistance Scheme. The impact is followed by education loans (60%) and micro-financing schemes.

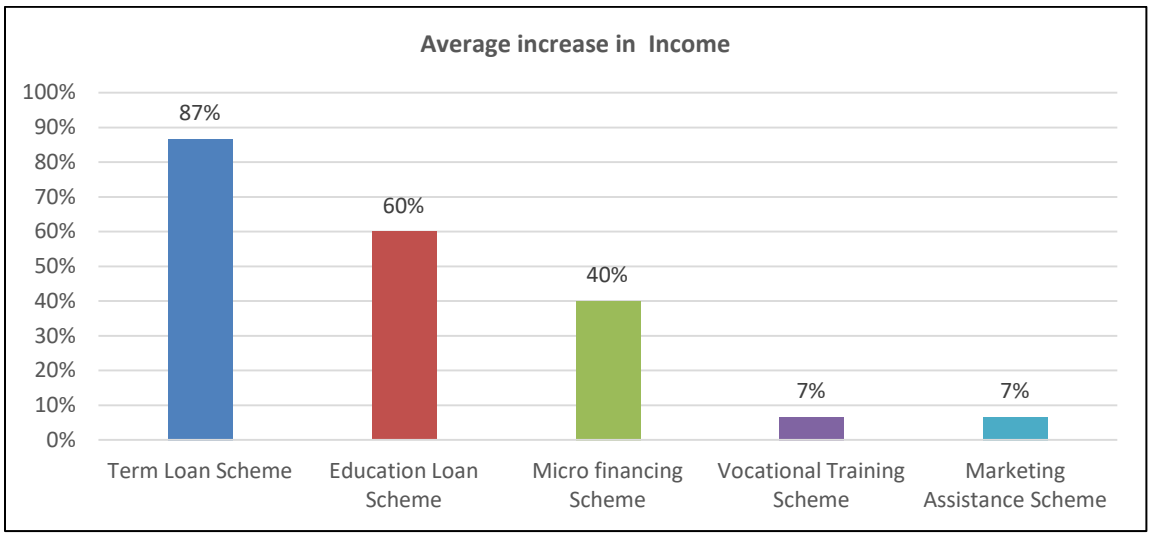


Figure 7.32: Average Increase in Income

7.11.2 Improving Standard of Education

The impact on level or standard of education was greatly impacted by the education loan (73%), which provides beneficiaries financial help at very low interest to pursue higher education. The standard of education is also impacted by term loan (33%) and micro-financing scheme (27%), as shown in Figure 7.33

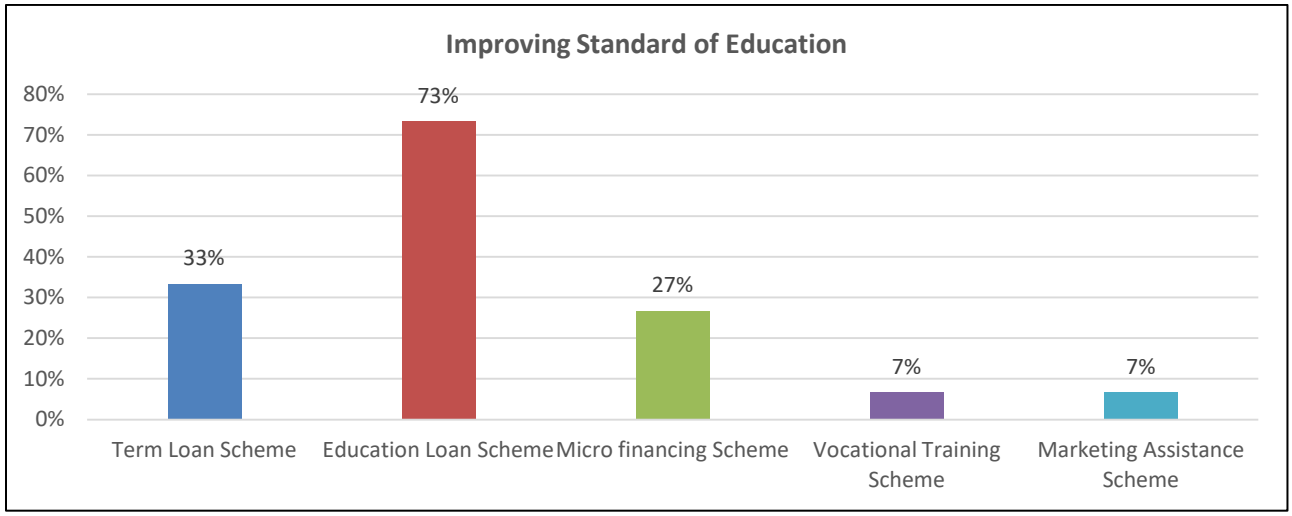


Figure 7.33: Improving Standard of Education

7.11.3 Improving Social Status

The analysis is also done to know the NMDFC scheme's impact on improving the beneficiaries' social status. It was found that term loan (60%) has higher impacts as beneficiaries get financial help for improving their livelihood, followed by education loan (40%) which helps for getting a higher education and micro-financing scheme (27%) which helps with working capitals, as indicated in Figure 7.34.

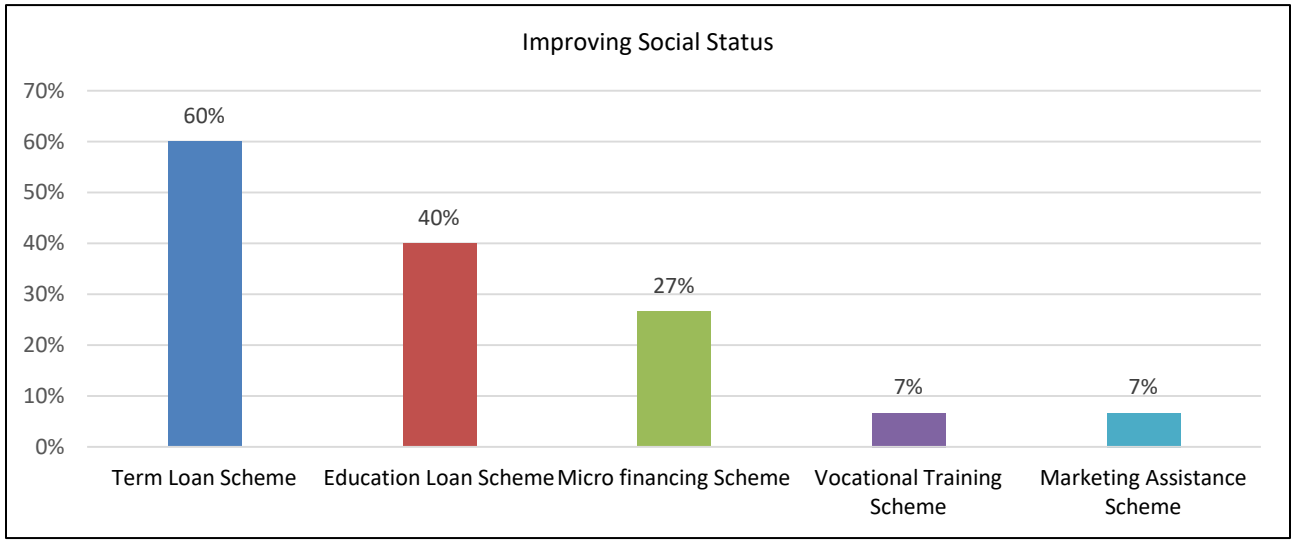


Figure 7.34: Improving Social Status

7.12 Problems faced and suggestions for improvement

7.12.1 Term Loan

- Interest subvention schemes may also be introduced to save the fisheries sector from interest burden or Interest rate shall be reduced and moratorium may be given in the context of COVID-19 since the livelihood in Fisheries sector has been seriously affected.
- The applicant's annual family income at present Rs 1.20 lakh is not at par with NMDFC, NBC office, where it is Rs 3 lakh. This criterion is unrealistic in Delhi, where the cost of living is much higher, and the minimum wages is also higher. Since the Annual Family income eligibility criteria is based on the Double the Poverty Line concept for Rural & Urban Areas approved by the Central Govt. Metro city's under very large Urban Agglomerations (census, 2011) may be set at different family incomes.
- Income criteria may be enhanced to cover more number of beneficiaries
- 100 funding by NMDFC interest rate should be 1%
- It should be better to decrease the rate of interest
- A minimum rebate may be given to beneficiaries who make timely repayment. Moratorium period may be granted Repayment period for SCA may be extended
- State Govt. provides 5% as Margin Money. In NBCFDC schemes, 10% margin money is proved by State Govt. In the case of NMDFC schemes, it should also be 10%, NMDFC should provide 85% of the total project cost

7.12.2 Education Loan

- The applicant's annual family income at present Rs 1.20 lakh is not at par with NMDFC, NBC office where it is Rs 3 lakh. This criteria is unrealistic in Delhi where cost of living is much higher and the minimum wages is also higher. There is no subsidy under the schemes. Since the Annual Family income eligibility criteria is based on the Double the Poverty Line concept for Rural & Urban Areas approved by the Central Govt. Metro city's under very large Urban Agglomerations (census, 2011) may be set at different family incomes.
- For providing education loan, the allocation of fund is made to an extent of 20% only which should be flexible keeping in view with quantum of loan.
- This slab of Rs 20 lakh and Rs 30 lakh should be only for student studying abroad.
- Income criteria may be enhanced to cover more number of beneficiaries
- Need a separate scheme for the students who are studying abroad, the evaluation process of abroad study different, and the income criteria must be revised for abroad study
- A minimum rebate may be provided to beneficiaries who make timely repayment. The moratorium period may be extended.

For Education Loan, would it help to give the Loan in one go?

- Fees under Education Loan scheme is released through RTGS directly to the institute/college based on the system for fees payment of the respective institute/college. Generally, institute/college seek fees payment on trimester/semester/annual basis once

the student clears the exam of the last trimester/semester/year. The student has to submit the application for next instalment along with the demand letter and result of last trimester/semester/year. This is done to ensure that the instalment is released only if the student has passed last session and is eligible for the next session. Similar procedure is adopted by all banks/financial institutions

- Education loan be given as per the existing pattern i.e. as per demand of fee by the educational institution.
- Percentage of allotment for educational loan is very low which may be increased to 40% from existing 20% as this segment is more important for this area.
- Since the student have to pay the fee semester/Year wise, providing loan in one go will not help
- One-go is more beneficial. Payments in installments will reduce paper work for both beneficiary and SCA

7.12.3 Micro Finance

- Interest subvention schemes may also be introduced to save the fisheries sector from interest burden, or Interest rate shall be reduced, and moratorium may be given in the context of COVID-19 since the livelihood in the Fisheries sector has been seriously affected.
- Income criteria may be enhanced to cover more number of beneficiaries

7.12.4 Virasat Scheme

NMDFC should provide some fund to SCA for the purpose of identification of artisans in the state

7.13 Conclusion

This chapter analyzed the information collected from the SCAs in terms of (i) Review of Eligibility Criteria (ii) Evaluation of Recovery Mechanism (iii) Publicity & Advertisement (iv) Level of computerization of SCA's (v) Relevance wrt other schemes (vi) Sanction & disbursement of loans (vii) fund utilization (viii) review of organization structure (ix) impact of the scheme (x) Problems faced and suggestions for improvement. The next chapter will cover Summary and recommendation of the study.

CHAPTER 8

SUMMARY AND RECOMMENDATIONS

8.1 Introduction

National Minorities Development & Finance Corporation Scheme (NMDFC) is a nodal scheme of Ministry of Minority Affairs to improve the socio-economic conditions of the minority communities through affirmative action and inclusive development. The scheme aims to facilitate every citizen with equal opportunity to actively build a vibrant nation and provide an equitable share for minority communities in education, employment, economic activities and to ensure their upliftment. The prime mandate of NMDFC is to provide concessional finance to the Minorities for self-employment and income generation activities. The evaluation of the "NMDFC" Scheme across nine states was conducted in August-October 2020. The evaluation study's central purpose is to assess the contribution of the scheme to the enhancement of livelihoods of the targeted minority youth. The scheme's assessment is based on the beneficiary, SCA data provided by MoMA for selected nine (9) States of J&K, Delhi, Haryana, Himachal Pradesh, Gujarat, West Bengal, Tripura, Kerala, and Tamil Nadu. The evaluation study encompassed field trips, designing questionnaires and data collection instruments; interactions with beneficiaries, validation, and analysis of the scheme's overall functioning. The survey was conducted impartially as MDI Gurgaon approached the beneficiaries independently and not through the SCA's. The study also included an extensive analysis of secondary data and stakeholder perception data.

8.2. Strategic Fit of the "National Minorities Development and Finance Corporation " Scheme vis-à-vis Objectives of This Study

The key objectives of the "National Minorities Development and Finance Corporation" scheme and their linkage with the objectives of this study have been discussed in the following section:

8.2.1. Scheme performance analysis

The scheme's stated objectives and outcome analysis based on the National Minorities Development and Finance Corporation's impact and evaluation study from 2017-18 to 2019-20 are briefly summarized in the following section.

(RO1) To Study the Impact of NMDFC schemes (Term Loan, Education Loan, Micro Financing, Vocational Training & Marketing Assistance) and indicating an increase in income, savings, the standard of education, and social status.

Data was collected from the 1242 beneficiaries across nine Indian states. Section 6.5 of the report covers the study of NMDFC schemes' impact on the beneficiaries' income, savings, the standard of education, and social status. The outcome of the study is summarized below.

- The beneficiaries' **average income** is enhanced:
  - 45% of the beneficiaries were not earning anything, but with help from the NMDFC schemes the number of such beneficiaries reduced to 9%.
  - Before joining the scheme, only 4% of beneficiaries were making more than Rs 10000. After joining the scheme, 29% started to earn more than Rs. 10000.
  - Before joining the scheme, 22% of the beneficiaries were earning an average income of more than Rs 5000, but after joining the schemes, 68% of the beneficiaries started to make more than Rs 5000.
- Change in **average savings** of the beneficiaries before and after joining the schemes:
  - Most of the beneficiaries started to save from earning after joining the scheme compared to before.
  - Before joining the scheme, 63% of the beneficiaries could not save money. After joining, the percentage of such people reduced to 20%. Therefore, there has been an increase of 43% in beneficiaries who started to save.
  - Similarly, 1% of the beneficiaries saved money of more than Rs 5000 before joining the scheme rose to 40% of the beneficiaries saving money more than Rs 5000 after joining the scheme.
- The **Standard of Education**: Approx. 40 % of the beneficiaries have acquired higher, technical or professional education like engineering, medical, management, etc., after availing loans through NMDFC schemes compared to no postgraduates or beneficiaries having technical/ professional education before joining the scheme.
- **Social Status**: The beneficiaries were requested to rate their satisfaction level on different performance and operational indicators on a scale of 5. More than 75% of the beneficiaries were very or highly satisfied with the following indicators a) loaning process, b) disbursement of loans, c) living standard, d) type of work, e) increase in income, and f) social prestige.

(RO2) The recovery mechanism adopted by the SCA is to be evaluated and suggest measures, systems & procedures for improving the existing recovery system, with a view to boosting grass-root level recoveries.

Section7.4 of the report covers the study of NMDFC schemes' Evaluation of Recovery Mechanism**'**. The outcome of the study is summarized below.

- SCAs reported that their field staffs are employed for recovery of loans.
- State SCAs reported that loan recovery measures adopted are personal contacting the individuals, following up with them and issuing notices to them where required.
- The Head office issues recovery schedule to beneficiary and a copy is forwarded to district field officer for intimation. Field officer issues a recovery notice as per need and field staff telephonically calls the beneficiary to deposit loan installment.

- Outsourced recovery agents are engaged who work on ad hoc, consolidated or daily Wage and their payments are released after 90% to 100% of recovery.
- District Manager, field officer, and field staff contacted the beneficiaries personally and telephonically for the recovery of loans.
- Notices are issued from the Managing Director's desk in favor of the Guarantor's Drawing and Disbursing Officers for the attribution of their respective wages.
- In some districts, beneficiaries come to the office to deposit the loan installment.
- In the case of defaulter beneficiaries, the field office visits the beneficiary's location, and in some cases field officer initiates the proceeding under the land Revenue Act.
- Some SCAs have developed software for sending text messages to the beneficiaries as well as notices
- SCAs reported that the department takes guarantee from Government employee or Collateral security apart from the ECS mandate/post-dated Cheque for security recovery. In default, recovery is made from the guarantor or sometimes a criminal case.
- Field visits are carried out fortnightly for defaulters, and field inspections are performed on a regular basis for project monitoring.

Suggestions for improvement of loan recovery measures, systems, and procedure

- Field offices should be enabled with complete computerization for enhanced productivity. It is suggested that standardized software may be provided to the SCA's to manage the loaning process. MoMA may support the development of such software as a onetime initiative. This will ensure uniformity and standardization in processes. Apart, a centralized portal to capture the relevant parameters may be considered.
- A Special recovery drive may be organized by the SCAs, especially in areas reporting poor recoveries
- Presently the workforce for loan recovery in district field offices looks adequate and needs to be improved. Adequate transportation facility may be provided for improved recoveries. The grant to SCA's may be considered based on appropriate criteria.
- A mechanism for a fixed percentage amount from interest income for the recovery expenses.
- ECS method to be used to recover installment from the beneficiary account automatically

Under the Grant in Aid scheme of the Ministry, the SCAs are provided a grant to take care of recovery assistants' hiring, deployment of manpower at the field level, TA/DA for recoveries, computerization at the head office, and field-level offices, etc. GIA could be utilized for most of the suggested improvements.

(RO3) The current procedure adopted by the SCA for Publicity & Advertisement of schemes of NMDFC schemes & integrate it with the loaning process, to bring the schemes of NMDFC nearer

to the targeted Minority communities.

Section 7.5 of the report covers the study of the relevance of NMDFC schemes' for socio-economic development. The current procedure adopted by the SCA for Publicity & Advertisement of schemes of NMDFC schemes are: a) Awareness Camp, b) Presentation on the scheme by SCA officials during public meetings, c) Narration of success stories by successful beneficiaries, d) Website, e) Publicity through banners, posters, hoardings and press advertisements in local newspapers, f) Publicity through Radio/TV, etc.

All SCAs set up awareness camps for promotion and advertisements. Apart most of the SCAs (more than 60%) also opt for publicity through banners, posters, hoardings, and press advertisements in local newspapers, presentations on the scheme by the SCA officials, websites, etc. NMDFC provides a grant of Rs. 50,000/- each for organizing awareness Camps. Each SCA is allocated to organize at least 10-15 awareness camps at the beginning of each financial year. If required, more camps are also sanctioned by NMDFC. The SCAs are suggested to associate local bodies/public representatives/local officials to participate in the awareness camps. During the camps, besides dissemination about schemes of NMDFC, success stories are also narrated to motivate the participants to apply for loan/benefit under NMDFC schemes. Publicity through Panchayat is the least used channel/procedure. The SCAs may take more publicity initiatives involving the Panchayat officials during awareness camps.

(RO4) To study the existing level of computerization of activities in the SCA & suggest the further scope of computerization through process re-engineering by integrating all the activities of the SCA, starting with a loan application, loan sanction/disbursement, its recovery & accounting, with a view to make loaning faster, credible & transparent.

To understand the extent of IT infrastructure used by the SCAs in the scheme's operations, SCAs were requested to give information about the level of computerization used in the process. More than 50% of the SCAs have computerization for the disbursement of loans, maintaining the beneficiaries list, administration, account keeping. Only a few SCAs utilize computerization for receipt of the application, scrutiny of the applications, and sanctioning of the loan. Thus, more effort towards computerization at the initial loan process is required. Use of E-Mitra kiosks can also be encouraged for uploading the application by the applicant by paying a minimal amount to upload their applications.

NMDFC had developed the MIS (mis.nmdfc.org) which is being linked to the SCAs in a phased manner. The beneficiaries data put into this single web platform by SCAs remains accessible to concerned SCAs along with MIS. Now, this web portal is a single platform for all the SCAs of NMDFC for submission of the beneficiaries' data, and the MIS is accessible to the concerned SCAs. Going forward, when the portal is fully operationalized, it should help in monitoring and management of the scheme.

- **Type of Software Used by SCA:** ERP/Tally/MS-Excel, Loan management and monitoring system, In-house developed software

- **Suggestions for improvement**: Assistance under the GIA scheme of Ministry is available for computerization by the SCAs. The SCAs be encouraged to computerize their record-keeping and use computers in the loan administration process for transparent and speedier implementation of NMDFC schemes.
- MoMA may also consider funding NMDFC to develop common banking software to integrate the whole loaning process.
- Some of the SCAs have their own software. SCAs may be supported for integrating the different software.
- A common portal like a national scholarship portal in a uniform manner can be launched.

Loan Origination Software

- The Loan Origination Software should be developed with a facility for the beneficiary to upload applications and required documents even from smart phones.
- The software should support process for scrutiny, loan sanction, and loan disbursement for implementing the scheme more speedily and transparently.
- The loan recovery from the beneficiaries should also be integrated with the software to improve recoveries and fund management.
- Common Loan Accounting software should also be provided and integrated for better record-keeping at the level of SCAs.

(RO5) To review the eligibility criteria, including income criteria, desirability, or otherwise Minority Community, suggest the changes if required.

Section 7.3 of the report covers the study of the relevance of NMDFC schemes for Review of Eligibility Criteria. The outcome of the study is summarized below

- Annual Income Eligibility Criteria should be increased to accommodate more persons from target groups.
- The capital subsidy may also be provided to beneficiaries.
- A rebate may be given to beneficiaries who make Lumsum prepayment.

Suggestions:

- Income eligibility criteria under Credit Line-2 may be increased from Rs.6 lacs to 8 lacs to increase coverage of NMDFC schemes.
- The rate of interest on the beneficiaries is already low. Apart from a rebate on lumpsum prepayment, the beneficiaries may also be considered for a repeat loan. To recognize the beneficiaries' achievements and enhance their social prestige, any recommendations for loan received from such beneficiaries may be given priority in financing.
- For the Virasat Scheme and Kaushal se kushalta scheme, NMDFC may consider providing funds to SCA to identify artisans in the state.

- The success of the loaning program primarily depends on Right selection of beneficiary. Thus SCA should ensure that right beneficiary is selected. The NMDFC may help define the criteria for selection of beneficiaries and projects.
- A provision for bad debts may be made by NMDFC based on the loan disbursed by each state

(RO6) To review the relevance of the prevailing schemes being implemented for the socio-economic development of the target group and suggest the areas of the possible expansion/deletion/modification of schemes.

Section 6.4 of the report covers the study of the relevance of NMDFC schemes' for socio-economic development. The outcome of the study are summarized below.

- Overall, 74% of the beneficiaries applied for the loans for the new business. Approx 14% and 11% of the beneficiaries used for expanding an existing business or higher study, respectively. Most of the selected states' beneficiaries also reflected the same purpose except, Gujarat, Haryana, Kerala, West Bengal, and Tripura. 32% from Gujarat and 37% from Haryana took loans to expand an existing business, while 34%, 23%, and 25% from Kerala, West Bengal, and Tripura respectively took loans for higher study. 1% of the beneficiaries from Haryana took loans for fish-farm, house repair, or health reasons.
- The beneficiaries were requested to furnish the information on the number of people employed, the average wage given to the employee, and the employment duration given in months per year. Mostly one extra person is employed by most of the beneficiaries (70%), or business is handled by self (18%). 12% of the beneficiaries, though employed 2-5 people also. Tripura (28%) and J&K (27%) are major states having employed 2 to 5 persons.
- Similarly, 74% of the overall beneficiaries gave up to Rs.5000 as an average monthly salary, and 20 % gave between Rs. 5000 to 10000. State-wise, more than 65% of all states' beneficiaries gave away the average salary up to Rs. 5000. Beneficiaries from Kerala (70%), J&K (41%), Tripura (30%), Haryana (30%), etc., gave Rs. 5000 to 10000 as an average salary.
- 68% of the overall beneficiaries provided employments for an average of 10-12 months, and 20% gave between 1-3 months. State-wise, beneficiaries from Gujarat (94%), Haryana (90%), Kerala (98%), Tripura (89%), and West Bengal (68%) provided employment for 10-12 months. Beneficiaries from Delhi (90%), Himachal Pradesh (70%), and Tamil Nadu (85%) gave employment for 1-3 months, while beneficiaries from J&K (40%) gave jobs for 4-6 months.
- 84% of the beneficiaries indicated the business's successful running
- The beneficiaries were requested to give information on the overall help they received through NMDFC schemes. The questions were close-ended with multiple parameters. The NMDFC schemes helped the beneficiaries in a) self-dependence (42%), b) Increase in skills (58%), c) improved social prestige (88%), d) better educational facilities (70%), e) better health (85%), f) increase in saving (85%), g) increase in income (90%), h) increase in desire

for self-employments (81%). The beneficiaries' most important help is the increase in income, increase in saving, social prestige, and desire for self-employment.

(RO7) To review the present procedure for sanction and disbursement of loan to the target group i.e. Channel Finance System, and suggest possible interventions for improvement.

The beneficiaries were asked for the difficulty or procedural delays faced in getting the loans. This is covered in section 6.6 of the report.

- 89% of the beneficiaries denied any difficulty or procedural delay in getting the loans. A small percentage of beneficiaries pointed problems due to cumbersome procedures, comments, margin money, time taken in loan disbursement, etc.
- It may be seen that the majority of beneficiaries are satisfied with the loaning procedure and faced no difficulties in getting financial assistance.
- Some beneficiaries may have faced problems in loan documentation, but they may be an exception.
- However, the SCA shortens the loan receipt period for financing to 30-45 days by automating the procedure.

(RO8) To review the existing organizational structure, management system and staffing pattern and identify the main constraints affecting the system, if any, and suggest measures for improving the efficiency in the delivery of services to the Channel Partners.

The PIA's were asked for feedback on the above issues and the insights are put below.

- The PIA's reported shortage of staff which resulted in delays in recoveries, inspection and identification/ selection of beneficiaries.
- They suggested the creation of new posts of field Assistants for recovery purpose
- The PIAs also reported problems related to lack of district-level set up, lack of transportation for field staff.
- Lack of ERP, or online system that can help in documentation and risk assessment
- Lack of central government interaction in knowledge transfer and sharing of best practices- to understand what is being done in different states of India

Suggestions for improvement

- The problem of staff shortage may be looked into and additional staff may be facilitated.
- Transport / dedicated Conveyance may be facilitated for field visits/recovery
- The establishment cost can be provided by the respective State Govts.

(RO9) Adequacy of the current schemes operated by NMDFC to meet the target population's demands/needs and suggestions for improvement

- Annual family income of the applicant, at present Rs 1.20 lakh, which is not at par with NMDFC, NBC office where it is Rs 3 lakh. This criterion is unrealistic in Delhi, where the cost

of living is much higher, and the minimum wages is also higher.

- Income criteria may be enhanced to cover more number of beneficiaries
- State Govt. provides 5% as Margin Money. In NBCFDC schemes, 10% margin money is proved by State Govt. In the case of NMDFC schemes, it should help if this is 10% and NMDFC can provide 85% of the total project cost
- The percentage of allotment for an educational loan is very low, which may be increased to 40% from the existing 20%. Providing loans for higher education can also be a form of indirect income generation activities. Also, more flexibility should be there in availing the Education Loan, for example, as a single installment or multiple installments.
- For students studying abroad, the criteria and evaluation process should be different; the income criteria may be revised for studying abroad.

Suggestions:

- Fees under the Education Loan scheme is released through RTGS directly to the institute/college based on the system for fees payment of the respective institute/college. Generally, institute/college seeks fee payment on a trimester/semester/annual basis once the student clears the last trimester/semester/year exam. The student has to submit the application for the next installment along with the demand letter and result of the last trimester/semester/year. This is done to ensure that the installment is released only if the student has passed the last session and is eligible for the next session. A similar procedure is adopted by all banks/financial institutions and should be continued. Once sanctioned, the loan may be disbursed based on the institute's requirement in respect of both; amount and number of installments.

(RO10) To examine as to how 'economically' NMDFC is carrying out its tasks and implementing /getting implemented various schemes/programmes/projects for the socio-economic empowerment of the target group by adhering to financial rules and regulations and by ensuring economy in their implementation.

- The NMDFC loaning program's objective is to provide financial assistance at a very concessional rate of interest to the target groups. This is possible only if the loan administration both at the end of the State Channelizing Agency and the NMDFC is carried out with minimal administrative expenditure. During the field visit it was observed that SCAs generally operate with skeletal staff to curb administrative expenses however it was also observed that in case of some SCAs, in the absence of field staff/adequate number of field staff it adversely affects the scheme implementation. It may be mentioned here that SCAs which implement State Government schemes and schemes of other Apex Corporations/Departments were better placed to meet the administrative expenditure and efficiently use their staff at Head Quarter and field level, in implementing various schemes including those of NMDFC. The SCAs solely implementing NMDFC schemes do not get

sufficient margin to support even skeletal staff and need grant support from the State Govt. or under GIA schemes of the Ministry. Some additional support to such SCAs under GIA scheme would help to improve their performance. With a view to increase coverage, NMDFC may also consider to engage multiple agencies for implementing its schemes in the States and tie-up with such State Agencies which are implementing multi-agency schemes.

- It has also been gathered that NMDFC at Head office also maintains very skeletal staff to manage scheme implementation at PAN India level. The administrative expenses are also capped at about 0.5 % of the outstanding loan amount. The surplus generated is used for implementing the development mandate of the corporation such as providing grant for Skill Training under the Kaushal se Kushalta scheme, Training to women under the Mahila Samridhi Yojana, grant of up to Rs.50,000/- for organizing each Awareness Camp cum Loan Melas, Providing market to artisans/SHG members/beneficiaries under Marketing Assistance program, meeting liability under CSR funding programs, etc. Besides, the leftover portion of surplus is ploughed back for extending financial assistance to the target groups under various schemes. In fact this ability of NMDFC to plough back surplus has helped it to have loan outstanding of over Rs.2,800 crs against paid-up capital of Rs.2137.51 crs. Besides by maintaining good recovery in excess of 95% has helped the corporation to extend financial assistance of over Rs.6, 100/- crs since incorporation to the beneficiaries from the target groups.
- The mandate given to NMDFC is economic empowerment of the target groups by extending concessional credit for income generation activities. Education Loan scheme is part of Term Loan scheme and was introduced to provide option for pursuing higher studies by the target groups. Presently, 20% of allocation under Term Loan scheme can be used for financing Education Loan cases and balance allocation predominantly for income generation activities. NMDFC charges 1% under the Micro-finance and Education Loan scheme and 3% under the Term Loan scheme. With greater thrust on financing Micro-Finance loans (now 50% as per MOU) and 20% Education Loan cases, the interest margin from other schemes to NMDFC is low.

8.3 Suggestions and Recommendations

Apart from the discussion on the research objectives above as per the Terms of Reference, major suggestions for beneficiaries, stakeholders and a few overall recommendations are as below:

1**. Enhancing Annual Income Eligibility Criteria under Credit Line-2 and Credit Line-1**

- The Annual Income Eligibility Criteria should be enhanced from Rs.6.00 lacs to Rs.8.00 lacs under Credit Line-2. This is in line with the increase in the OBC Creamy layer criteria announced by the Central Govt. This will help to increase the coverage of NMDFC schemes in the income group with enhanced capacity to utilize funds and provide indirect employment.
- The Eligibility criteria on family Annual Household Income of Rs. 98,000/- in Rural areas and Rs. 1,20,000/- in Urban areas may be revised to Rs. 1,50,000/- in Rural areas and Rs.

2,00,000/- in Urban areas. Though the Annual Family income eligibility criteria are based on the double the Poverty Line concept for Rural & Urban Areas approved by the Central Government, it is suggested to have some other robust measures for setting the income criteria. Apart special segments for Metro city's under very large Urban Agglomerations (10 million) (census, 2011) may be set at different family income.

2. Enhancing the loan Amount under education loan

- Loan of up to Rs. 30.00 Lakhs is available for 'technical and professional courses of durations not exceeding five years. Keeping in view a) ranking of the institute, b) type of degree, and 3) the students' historical prospect after completing the course.
- Once sanctioned, the loan may be disbursed based on the institute's requirement in respect of both; amount and number of installments.

3. Greater Publicity of NMDFC Schemes

More awareness camps should be organized, especially in the Minority Concentrated areas, to publicize schemes of NMDFC. The Panchayat institutions may also be involved in organizing awareness camps. In the case of rural financing, detail of financing done by each SCA should also be provided to Panchayat Institutions as a transparency measure.

4. Fund utilization and Coverage of states under NMDFC Schemes

The SCAs sanction loans based on collateral or guarantee received from the beneficiaries. Most loans are sanctioned for an amount of up to Rs 5 lakhs though the loan amount can go up to Rs 18 Lakhs in terms and education loans. The SCA's try to minimize their risk. The SCAs may be encouraged to finance higher value projects as they provide greater opportunity for indirect employment. They may be guided in terms of improving their criteria for project/ beneficiary evaluation/ selection.

5. Need for continued government funding to the Schemes

The scheme is well received as it has helped to significantly enhance the socio-economic status of the beneficiaries. NMDFC has provided concessional credit in excess of Rs.6100.00 crores to over 17.60 lacs families from the target groups. However, looking at the number of families from the target group roughly estimated to be about 2.06 crores (Total Minority population – 23.48 crs as per 2011 census of which 44% are below double poverty line having average 5 persons in each family), the coverage under NMDFC scheme so far is less than 9% of target population. Thus to increase the annual coverage of beneficiaries under NMDFC schemes the Authorised Share Capital may be reviewed and increased. State and UTs/ Central government may be encouraged to enhance their contribution in the share capital.

6. Loan Origination Software

The Loan Origination Software should be developed with a facility for the beneficiary to upload applications and required documents even from smartphones. The software should cover the process for scrutiny, loan sanction, loan disbursement for implementation of scheme in a speedier and transparent manner. The SCAs should be encouraged to computerize their record-keeping and use computers in the loan administration process for transparent and speedier implementation of NMDFC schemes. MoMA may also consider funding NMDFC to develop common banking software to integrate the whole loaning process. A common portal may be launched where the SCA's can upload the information for monitoring of the schemes.

7. Higher Allocation of Funds under the Grant-In-Aid Scheme

The grant received by SCAs of NMDFC under the Grant In Aid Scheme of the Ministry has been extremely useful for strengthening the credit delivery and recovery infrastructure of respective SCAs. Most of the SCAs do not receive an administrative grant from their respective State Govts. However, it was found out that the SCAs would be in a far better position to maintain field level set-up through the deployment of contractual staff & improve their grass root level recoveries if a minimum amount of grant under the GIA scheme is provided to each SCAs. The Ministry may consider providing GIA support to each functional SCA with a certain minimum amount.

8. Common Methodology for Scheme Implementation

The SCAs are found to be implementing schemes by adopting different methodology and procedures. The systems and procedures should be standardized for adopting Common Software at the National level.

9. Synergy with Schemes of Ministry of Minority Affairs

There should be synergy between the Seekho Aur Kamao Scheme with financing scheme of NMDFC. The trainees after completion of training and capacity building under Seekho Aur Kamao scheme may be encouraged to avail of financial assistance under Term Loan scheme & Micro-Finance scheme to start their own venture.

10. Skilling Needs of Target Groups, especially Women

Greater emphasis should be given to impart training to youth from the Minority Communities who do not wish to continue higher education. Also, the focus should be on training women from the target groups for increased participation in the work force for gender equality.

11. Organising Training & Orientation Programs

Training and orientation programs may be organized annually for the Officials of SCAs to enhance their skills and capabilities. Such training programs may be organised at National Level by NMDFC by engaging faculty from reputed institutes.

8.4 Conclusion

The study has evaluated the nine Indian states' performance by a systematic study of 1242 beneficiaries and 15 SCAs as per the sample suggested by MoMA, GoI, New Delhi. All the objectives as per ToR have been studied in detail, and the findings have been discussed in this chapter. The recommendations for the improvement of the scheme across the Indian states have also been shared. It is felt that the scheme has immense potential to benefit all categories of the minorities' population if appropriately administered. Thus, MoMA may think of infusing more equity to cover large minority beneficiaries in the coming years. It is expected that the findings shared in the study shall help to improve the performance of the scheme across the Indian states.

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Annexure-I

Name of the SCA's covered as part of the Survey

S. No	Name of the SCA	State
1	Punjab Backward Classes Land Development and Finance Corporation (BACKFINCO)	Punjab
2	Chandigarh SC, BC & Minorities Finance & Development Corporation Ltd	Chandigarh
3	Chhatisgarh State Antyavasai Sahakari Vitta Evum Vikas Nigam	Chhatisgarh
4	Delhi SC/ST/OBC Minorities & Handicapped & Development Corporation Limited	Delhi
5	Gujarat Minority Finance and Development Corporation. Ltd	Gujarat
6	Mewat Development Agency	Haryana
7	Haryana Backward Classes and Economically Weaker Section and Kalyan Nigam	Haryana
8	H.P. Minorities Finance & Development Corporation	Himachal Pradesh
9	Jammu & Kashmir Entrepreneurship Development Institute	J&K
10	J&K Women's Development Corporation	J&K
11	Kerala State Cooperative Federation for Fisheries Development Ltd. (MATSYAFED)	Kerala
12	Kerala State Minorities Development Finance Corporation	Kerala
13	Tamil Nadu Minorities Economic Development Corporation	Tamil Nadu
14	Tripura Minorities Cooperative Development Corporation Limited	Tripura
15	The Kerala State Women's Development Corporation Ltd.	Kerala

Annexure-II

Evaluation Study of National Minorities Development and Finance Corporation (NMDFC) Scheme

Ministry of Minority Affairs, Govt. of India has awarded above mentioned project to MDI Gurgaon. The study requires feedback from beneficiaries with a view to assess and improve working of the **National Minorities Development and Finance Corporation (NMDFC)** scheme. You are requested to answer the following questions to the best of your knowledge. *(The information will be kept confidential and will be used as input to the evaluation study)*

SECTION-I: DEMOGRAPHICS/ BENEFICIARY PROFILE

1. Name						
2. Gender	Male	Female	Others	**3. Age (in years)**		
4. Marital Status	Married	unmarried	Others	**5. Are you Physically Disabled?**		**YES=1; NO=2**
6. Educational Qualifications	No schooling	Up to Primary	Middle School	Matriculate and above		Technically qualified
7. Minority Category	Muslim 1	Christian 2	Buddhist 3	Sikh 4	Jain 5	Parsis 6
8. CONTACT DETAILS OF THE BENEFICIARY:						
a. Location	Rural=1	Urban=2	**b. Phone (Mobile)**			
c. Village/ City / Taluka		**d. District**		**e. State**		
9.						
10. If Yes above, Pl give skill trade						
11. Please specify your annual income						
12. Did you undergo any skill development training?			**Yes=1; No=2**			
13. If YES above, please specify the program and trade						

SECTION-II: AWARENESS OF THE NMDFC SCHEME

1. What are the sources of information about the NMDFC scheme?

1. Sources of information about NMDFC Scheme		**YES**	**NO**
a	Government official	1	2
b	Relative/friend	1	2
c	Awareness camp	1	2
d	Newspaper	1	2
e	TV	1	2

f	Mobile App	1	2
g	Website	1	2
h	Any Others (Please specify)…		

2. Where did you submit the application form?
   1 – Gram Panchayat, 2 – Head office of SCA, 3 – District office of SCA, 4 – Field officer of SCA**,** 5 – Any other

SECTION-III: IMPACT OF NMDFC SCHEME: CREDIT BASED SCHEMES

TO BE FILLED ONLY IF THE BENEFICIARY HAS APPLIED FOR TERM LOAN, EDUCATION, MICRO FINANCE SCHEME

1. How have you received loan amount? (Mode of disbursement)
   1 –Cheque**,** 2– Cash, 3 - Direct Transfer in Bank Account 4-RTGS
2. Pl provide the following information

S.no	Parameters	Amount in Rs
1	Loan Applied	
2	Loan sanctioned	
3	Total amount of loan received	
4	Beneficiary Contribution	
5	Number of Installments	

3. For what purpose did you take the loan?
   1 – Starting a new business, 2 – Expanding an existing business, 3 – Higher education, 4 – Any other …

4. a. Did you feel the need for additional credit, after receiving the loan under NMDFC Scheme? 1 – Yes, 2 – No

4. b. If 'Yes', how did you manage the additional credit?/
   1 – Loan taken from money lender, 2 – Loan was taken from friend/relative, 3 – Did not take an additional loan, 4 - Other …….

5. Are you able to successfully pay the loan instalment? YES=1;NO=2

6. If Yes,
   a. What is your mode of repayment of loan?
      1 – Cash, 2 – Cheque, 3 – Draft, 4– RTGS
   b. Where do you repay your loan installment?
      1 – Bank, 2 – Head office of SCA, 3 - District office of SCA**,** 4 –Field office of SCA, 5 – Recovery agent, 6 – Other……

7. If NO, in Question 5,
   a. What is the reason for being the defaulter?_____
   b. What action has been taken by the SCA for the recovery of your loan?
      1 – No action is taken, 2 – Action taken……__

8. How many person(s) have been employed by you in your unit currently?_____

9. From the persons applied, how many male=_____; female=_____

10. Average wage rate provided to employees? (Monthly)_____

11. On an average, how many months (In a year) are you able to provide employment to them? ____

12. Details of assets created/utilized the loan for the intended purpose.

Purpose for which loan is utilized *(Tick all Applicable)*		Yes=1	No=2
a	Working capital	1	2
b	Raw material	1	2
c	Machinery	1	2
d	Tools & Equipment	1	2
e	Furnitures & fixtures	1	2

f	Others (Pls specify..)

13 A. Whether the unit is successful? 1 – Yes, 2 – No

13 B. If the unit is closed, What are the reasons for sickness of the unit?

Reason for sickness of unit *(Tick all Applicable)*		**Yes=1**	**No=2**
a	Selection of wrong Project	1	2
b	Working Capital Problem	1	2
c	Competition from others	1	2
d	Non – Recovery of credits given in business	1	2
e	Health Problems	1	2
f	Funds utilized for another purpose	1	2
f	Others (Pls specify..)		

14. For Education loan, pl specify to whom the loan amount was given by the SCA?
1 – Beneficiary, 2 – Institute

SECTION-IV: OVERALL IMPACT OF NMDFC SCHEME

1. Please provide the following information:

S.No	**PARAMETERS**	**BEFORE JOINING THE SCHEME**	**AFTER JOINING THE SCHEME**
a	Average income per month		
b	Average Savings per month		
c	Education		
d	Type of Work		

2. Has NMDFC Scheme helped in any of the following? *(Multiple answers – Use Tick Marks)*

Benefit of the scheme		**YES**	**NO**
a	A greater desire for self-employment	1	2
b	Increase in income	1	2
c	Increase in savings	1	2
d	Better health	1	2
e	Better educational facilities	1	2
f	Improved social prestige	1	2
g	Increase in Skills (for vocational Training non-credit scheme)		
h	Any Others (Please specify)…		

3. **What has been your overall satisfaction with the scheme on the following parameters (*in a satisfaction scale of 1 to 5 where 5 is highly satisfied to 1 as not at all satisfied)***

		Not at all Satisfied……Most Satisfied				
a	Loaning Process	1	2	3	4	5
b	Disbursement of loan	1	2	3	4	5
c	Living Standard	1	2	3	4	5
d	Type of work	1	2	3	4	5
e	Increase in income	1	2	3	4	5
f	Social Prestige	1	2	3	4	5

SECTION-V: PROBLEM AREAS AND SUGGESTIONS FOR IMPROVEMENT

1. Did you find any difficulty/ procedural delays in getting the loan? 1 – Yes, 2 – No

2. If 'Yes' explain the type of difficulty *(Use Tick Marks)*

Type of Difficulty		**YES**	**NO**
a	Indifferent attitude of Officials	1	2
b	Repeated Visits	1	2
c	Difficulty in providing security of a loan	1	2
d	Difficulty in providing required documents	1	2
e	Any Others (Please specify)…		

3. What in your opinion are Problem Areas for NMDFC Scheme? (*Use Tick Marks)*

PROBLEM AREAS		**Yes=1**	**No=2**
a	Procedural delays in getting the benefit	1	2
b	Lack of support and interventions from the officials	1	2
c	Sanctioning of loan		
d	Disbursement is time-consuming	1	2
e	Loan amount sanctioned	1	2
f	Duration for repayment	1	2
g	Interest rate	1	2
h	Margin Money of 5%	1	2
j	Any Other...(Please specify)		

Thank you for your valuable time. It will help in achieving the objectives of the project.

Annexure-III

Evaluation Study of National Minorities Development and Finance Corporation (NMDFC) Scheme

Ministry of Minority Affairs, Govt. of India has awarded above mentioned project to MDI Gurgaon. The study requires feedback from SCA's with a view to assess and improve working of the NMDFC scheme. You are requested to answer the following questions to the best of your knowledge. *(The information will be kept confidential and will be used as input to the evaluation study).*

PLEASE TAKE ATLEAST TWO PICTURES OF SCA FACILITY FOR RECORD

SECTION-I: DEMOGRAPHICS

1. Name of the SCA			
2. District where centre is located		3. State where Centre is located	
4. Address (Registered office) with Pin Code			
5. Contact Person with designation			
6. Telephone No.		7. E-mail ID	
8. Type of SCA (√)			

9. Is the SCA operating through other agency(s)? YES=1; NO=2

10. If yes, type of operation of other agency(s)?

SECTION-II: REVIEW OF ELIGIBILITY CRITERIA

1. To review the eligibility criteria including income criteria, desirability or otherwise of Minority Community and suggest the changes, if required.

S. No	Scheme Type	Eligibility Criteria	Suggested Changes
a	**Term Loan**	Projects costing up to Rs. 20.00 Lakhs Loan to the extent of 90% of the project cost subject to a maximum of Rs. 18.00 lacs. The remaining cost of project is met by the SCA and the beneficiary. The beneficiary has to contribute minimum of 5% of the project cost. **The rate of interest charged from the beneficiary is 6% p.a. on reducing balance method.**	
b	**Education Loan**	Loan of up to Rs. 20.00 Lakhs is available at the rate Rs. 4.00 lakhs p.a. for 'technical and professional courses' of durations not exceeding five years. Further, for courses abroad, maximum amount of Rs.30.00 lakhs is available @ Rs.6.00 lakhs per annum for a course duration of maximum	

		5 years. Funds for this purpose are made available to the SCAs at an interest rate of 1 % p.a. for on-lending to the beneficiaries at 3% interest p.a. The loan is payable in maximum five years after completion of the course.	
c	**Micro Financing**	Micro-credit is extended to the members of the Self Help Groups (SHGs), specially the women belonging to Minority Communities The scheme envisages micro-credit to the poorest among the poor through NGOs of proven track-record and their network of Self Help Groups (SHGs**)** Small loans up to a maximum of Rs. 1.00 lacs per member of SHG are provided through the NGOs / SHGs Funds are given to the NGOs /SCAs at an interest rate of 1%, which further on-lend to the SHGs, at an interest rate not more than 7% p.a. The repayment period under the scheme is maximum of 36 months.	
d	**Virasat Scheme**	This scheme as a component of term loan aims to meet credit requirements of the Artisans, both in terms of Working capital & fixed capital for purchase of equipment/tools/machineries. Maximum loan of upto Rs. 10.00 Lacs can be availed under the scheme at simple interest of 5% p.a. for Male Artisans and 1% concession for Female Artisans at simple interest 4% p.a.	
e	**Mahila samridhi Yojana**	It is a unique scheme linking micro-credit with the training to the women members to be formed in to SHGs, in the trades such as tailoring, cutting and embroidery, etc. Under the Mahila Samridhi Yojana, training is given to a group of around 20 women in any suitable women friendly craft activity. The maximum duration of the training is of six months with maximum training expenses of Rs. 1,500 p.m. per trainee. During the training a stipend of Rs. 1,000 p.m. is also paid to the trainees. The training cost and stipend is met by NMDFC as grant. After the training, need based micro credit subject to a maximum of Rs. 1.00 lac is made available to each member of SHG, so formed at an interest rate of 7% p.a.	

f	**Kaushal se Kushalta Scheme**	Imparting skills to the targeted individual beneficiaries leading to self/wage employment. The scheme is implemented through the State Channelising Agencies, which organize need based skill development training in their States with the help of agencies empanelled by NSDC/ related Sector Skill Council/ State Skill Mission/ Directorate of Technical Education. Preferably be accredited through NSDC SMART portal.	
g	**Marketing Assistance Scheme**	The Marketing Assistance Scheme is meant for individual crafts-persons, beneficiaries of NMDFC as well as SHG members and is implemented through SCAs with a view to support the crafts-persons to promote marketing & sale of their products at remunerative prices. NMDFC assists the SCAs in organizing State/District level exhibitions at selected locations. In these exhibitions, handloom/handicraft products of Minority crafts-persons are exhibited and sold. Such exhibitions also serve the purpose of organizing "buyer seller meet", which is considered very useful for product development and market promotion, for domestic market as well as for exports. NMDFC provide grants for organizing exhibitions, as per the specific guidelines of the scheme, after due appraisal of the proposals.	

SECTION-III: EVALUATION OF RECOVERY MECHANISM

Recovery mechanism adopted by the SCA is to be evaluated and suggest measures, systems & procedures for improving existing recovery system, with a view to boost grass root level recoveries.

1. What are your loan recovery measures, systems and procedures?

   _____

   _____

2. What are the issues and challenges you face while trying to recover loans?

   _____

   _____

3. In view of the above challenges, what are the suggestions for improvement of loan recovery measures, systems and procedures with a view to boost grass root level recoveries

_____

_____

4. How do you feel the loan sanction & disbursement procedure can be further simplified to help poor beneficiaries?

_____

_____

5. How frequently the recovery staff/agents follow up for recovery
   1 – Monthly, 2 – Quarterly, 3 – Half-yearly, 4 – Yearly, 6 – Do not deploy recovery staff/agents 5. Any other ……

6. What is the overall recovery percentage of the total loan disbursement under NMDFC Schemes _____%

7. What is the mode of recovery?
   1 – Cash; 2 – Cheque; 3 - Draft, **4** – RTGS

8. What is the collection process of SCA?
   1 – Centralized 2 - Decentralized

9. What action does the SCA take for the defaulters? -
   _____

10. What is the rate of penal interest for defaulters _____%

SECTION-IV: PUBLICITY & ADVERTISEMENT

Current procedure adopted by the SCA for Publicity & Advertisement of schemes of NMDFC schemes & integrate it with loaning process, so as to bring the schemes of NMDFC, nearer to the targeted Minority communities.

	Procedure Adopted	**YES**	**NO**
a	Publicity through banners, posters, hoardings and press advertisements in local newspapers.	1	2
b	Awareness Camp	1	2
c	Publicity through Radio/TV		
d	Website		
e	Presentation on the scheme by SCA officials.		
f	Presentation by Ministry of Minority Affairs.	1	2
g	Presentation by successful beneficiaries.	1	2
h	**Any Other (Pl Specify…)**		

SECTION-V: LEVEL OF COMPUTERIZATION

To study existing level of computerization of activities in the SCA & suggest further scope of computerization through **process re-engineering by integrating all the activities of the SCA.**

1a. Area of Computerization in SCA		**Computerized**	**Manual**	**Suggestions for Improvement of the Process and making it Computerized**
a	Receipt of application Stage	1	2	
b	Scrutiny of application	1	2	
c	Sanction of loan	1	2	
d	Disbursement of loan	1	2	
e	Maintaining List of beneficiaries	1	2	
f	Administration	1	2	
g	Accounts keeping	1	2	
h	Others (Please specify)…			

1b. Please select the correct option

1b. Please select the correct option		**YES**	**NO**
a	Does the SCA have computer software?	1	2
b	Does the SCA have its own web-site?	1	2
c	Does the SCA upload the beneficiary data on your web-site?	1	2
d	Does the SCA display detail of NMDFC schemes/its schemes on web-site	1	2
e	Are the disbursement and recovery records up to date?	1	2
f	Are the disbursement and recovery records computerized?	1	2
g	Are the accounts of the SCA audited regularly?	1	2
h	Do you integrate Mobile SMS for interaction with beneficiaries		

1c. Type of software used by the SCA _____

1d. When the accounts of the SCA last audited? Date_____

SECTION VI: RELEVANCE WRT OTHER SCHEMES

Comparison of implementation of schemes of NMDFC with the similar schemes of other Ministries / Department. Modification / Changes in scheme may be suggested to improve the currently operational schemes.

1a. Besides NMDFC, are there other schemes for Minorities that you are associated with/ are aware of

_____

_____

1b. How do you compare and what are your suggestions for improvement of NMDFC Scheme keeping in mind the objective for (in terms of recovery , in terms of number of beneficiaries covered, better socio economic development)

_____

_____

SECTION-VII: SANCTION & DISBURSEMENT OF LOAN

To review the present procedure for sanction and disbursement of loan to the target group i.e. Channel Finance System and suggest possible interventions for improvement.

1. What are the procedures adopted by the SCA for receiving applications?
   Where is application received _____

2 Is the application received on a continuous basis or a limited period_____

3 Is the application form given free of cost or chargeable?
   1 – Free of cost; 2 – Chargeable

4 If chargeable, how much do you charge per application form? _____

5 What documents require to be submitted for getting the loan sanctioned? *(Use multiple codes)*

5. Documents required for getting loan		**YES**	**NO**
a	Proof of identification	1	2
b	Proof of residence	1	2
c	Proof of qualification	1	2
d	Project Proposal	1	2
e	Quotations	1	2
f	Any Others (Please specify)…		

6. What difficulties is faced in sanctioning of loan to the beneficiaries?

Difficulties in loan sanctioning		**YES**	**NO**
a	Incomplete documents	1	2
b	Project not properly prepared	1	2
c	Any Others (Please specify)…		

7. What is the procedure adopted for the selection of beneficiaries? Is it by a committee? Please provide details

_____

_____

8. What is the system adopted for the appraisal of the proposals submitted by applicants?

_____

_____

9. Who does the appraisal of the proposals of the applicants?

_____

_____

10. Whether the pre-sanction visit is made by the SCA officials for verification of beneficiaries?

1 – In all cases; 2 – In most cases ; 3 – In some cases 4 – Not at all

11.What type of security does SCA take from the beneficiaries in order to provide the loan?

11.	**Type of security taken by SCA from the beneficiary**	**YES**	**NO**
a	Guarantee of Govt. employee	1	2
b	Guarantee of a renowned person	1	2
c	Income tax guarantee	1	2
d	Property mortgage	1	2
e	No Guarantee	1	2
h	Any Others (Please specify)…		

12.Please indicate the average duration between *(In Months)*

		Duration (in months)
a	Receipt of application	
b	Sanction of loan	
c	Disbursement of first installment / Loan	

13. What is the mode of <u>disbursement of loan</u> amount to the beneficiaries?

1 – Cash, 2 – Cheque, 3 - Draft, 4 – RTGS

14. For the creation of assets of the beneficiaries, to whom the payment is made from the SCA?

1 – Beneficiary, 2 – Supplier, 3 –Other

15. How often do you visit the beneficiaries after they have received the loans to check whether the loans are being properly utilized?

1 – Monthly, 2 - Quarterly, 3 – Half-yearly, 4 – Yearly 5 – Any other …… 6 – Do not visit

16. Is the beneficiary given the repayment schedule at the time of the <u>disbursement of the loan?</u>

1- Yes, 2- No

17. What is the repayment period of beneficiary scheme-wise?

1 – One year 2 - Two years 3 – Three years 4 - Four years 5 - More than four years

18. What is the frequency of loan repayment given to the beneficiaries

1 – Monthly, 2 – Quarterly, 3 – Half-yearly 4 – Yearly, 5 – Any other…….

SECTION-VIII: FUND UTILIZATION

Amount of fund received from NMDFC and disbursed for the years under NMDFC scheme

SNo	Loan type	1.Fund Received from NMDFC	2.Fund Disbursed by the SCA to Beneficiary		3. No. of Beneficiary covered/	4. Annual rate of interest charged from the beneficiary
			(i)NMDFC share	(ii)SCA/State share/		
a	Term Loan					
b	Education loan					
c	Micro Financing Scheme					
d	Virasat Scheme					

5. Details of fund received under Grant-in-Aid (GIA) Scheme

Year	Amount of GIA received	Amount Utilized by SCA	Pending Funds (if any). Please specify reason
2019-2020			

6. Does the SCA maintain separate accounts for different schemes of NMDFC? **YES=1; NO=2.**
7. Is there a need for continued government funding to the organization? **YES=1; NO=2.**
8. Do you have other sources of funding for the Schemes? Please elaborate.

_____

SECTION IX: REVIEW OF ORGANIZATION STRUCTURE

1. To review the existing organizational structure, management system and staffing pattern and identify the main constraints affecting the system, if any, and suggest measures for improving the efficiency in delivery of services to the Channel Partners.

_____

_____

2. a. Whether the SCA has a district or regional office? 1- Yes; 2- No
2. b. If yes, number of the district or regional office of the SCA?
2. c. Total number of staff in the head office :

Staff Details		Head Office	Regional Office	District Office
a	Regular			
b	Contractual			
c	Total			

3. a. Is the SCA operating through other agency(s)?1- Yes, 2- No
3. b. If yes, type of operation of other agency(s)?
4. Are you satisfied with the current structure of the organization in terms of its size, reach and mode of working through SCAs? **What are the problems you face (State Government/ Ministry of Minority Affairs)**

_____

_____

5. What are your **suggestions for improvement structure of the organization** in terms of its size, reach and mode of working through SCAs?

_____

_____

SECTION-X: IMPACT OF THE SCHEME

1. What is the impact of NMDFC schemes in each of these areas.

	Scheme	Average increase in Income	Improving Standard of Education	Improving Social Status
a	**Term Loan Scheme**			
b	**Education Loan Scheme**			
c	**Micro financing Scheme**			
d	**Vocational Training Scheme**			
e	**Marketing Assistance Scheme**			

SECTION-XI: PROBLEMS FACED AND SUGGESTIONS FOR IMPROVEMENT

1. Please comment on the Adequacy of the current schemes operated by NMDFC to meet the demands/needs of the target population and suggestions for improvement.

S. no	Scheme	Suggestions for improvement
a	**Term Loan**	
b	**Education Loan**	
c	**Micro Financing**	
d	**Virasat Scheme**	

e	**Mahila samridhi Yojana**	
f	**Kaushal se Kushalta Scheme**	
g	**Marketing Assistance Scheme**	

2. For Education loan scheme will it be more beneficial to give the loan in one go? Pl comment

_____

_____

Thank you for your valuable time. It will help in achieving the objectives of the project.